

Industry ↴

932 Extractive Activities—Oil and Gas

932 Extractive Activities—Oil and Gas

10 Overall

00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

|             |                                                                   |            |                                                         |            |
|-------------|-------------------------------------------------------------------|------------|---------------------------------------------------------|------------|
| 932-10-00-1 | The following table identifies the changes made to this Subtopic. |            |                                                         |            |
|             | Paragraph                                                         | Action     | Accounting Standards Update                             | Date       |
|             | Condensate                                                        | Added      | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
|             | Oil- and Gas-Producing Activities                                 | Added      | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
|             | Production                                                        | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
|             | Properties                                                        | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
|             | Saleable Hydrocarbons                                             | Added      | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
|             | 932-10-05-2                                                       | Superseded | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
|             | 932-10-05-3                                                       | Amended    | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
|             | 932-10-05-3                                                       | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
|             | 932-10-15-2                                                       | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
|             | 932-10-15-2A                                                      | Added      | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
|             | 932-10-15-3                                                       | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |

|             |       |                                         |            |
|-------------|-------|-----------------------------------------|------------|
| 932-10-15-4 | Added | Accounting Standards Update No. 2010-03 | 01/06/2010 |
| 932-10-65-1 | Added | Accounting Standards Update No. 2010-03 | 01/06/2010 |

# 05 Overview and Background

**General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

- 932-10-05-1**

The Codification contains two Topics for the extractive industry due to the differing accounting treatment for various subindustries. The Topics include:

  - a. This Topic, Extractive Activities—Oil and Gas
  - b. Topic [930](#), Extractive Activities—Mining.
- 932-10-05-2**

[Paragraph superseded by Accounting Standards Update No. 2010-03.](#)
- 932-10-05-3**

This Topic provides guidance specific to [oil- and gas-producing activities](#). It contains several Subtopics that interact with other Topics in the Codification. Guidance in these Subtopics rather than the more general guidance in the other Topics shall be applied to the specific issues addressed. These Subtopics are:

  - a. Overall
  - b. Income Statement
  - c. Notes to Financial Statements
  - d. Interim Reporting
  - e. Segment Reporting
  - f. Investments—Equity Method and Joint Ventures
  - g. Inventory
  - h. Intangibles—Goodwill and Other
  - i. Property, Plant, and Equipment
  - j. Debt
  - k. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
  - l. Other Expenses
  - m. Income Taxes
  - n. Consolidation
  - o. Derivatives and Hedging

p. Interest.

**932-10-05-4** This Subtopic provides overall guidance for extractive activities in the oil and gas industry, including identification of entities that fall within the scope of this Topic and common definitions of industry terms. The other Subtopics address unique requirements for the industry.

## 15 Scope and Scope Exceptions

**i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

**i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

### General

#### > Overall Guidance

**932-10-15-1** The Subtopics within the Extractive Activities—Oil and Gas Topic provide incremental industry-specific guidance for the entities defined in this Scope Section. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

#### > Entities

**932-10-15-2** This Topic applies to all entities with [oil- and gas-producing activities](#).

**932-10-15-2A** Oil- and gas-producing activities include the following:

- The search for crude oil, including [condensate](#) and natural gas liquids, or natural gas in their natural states and original locations
- The acquisition of property rights or [properties](#) for the purpose of further [exploration](#) or for the purpose of removing the oil or gas from such properties
- The construction, drilling, and [production](#) activities necessary to retrieve oil and gas from their natural reservoirs, including the acquisition, construction, installation, and maintenance of field

gathering and storage systems, such as:

1. Lifting the oil and gas to the surface
2. Gathering, treating, and field processing (as in the case of processing gas to extract liquid hydrocarbons).
- d. Extraction of [saleable hydrocarbons](#), in the solid, liquid, or gaseous state, from oil sands, shale, coalbeds, or other nonrenewable natural resources that are intended to be upgraded into synthetic oil or gas, and activities undertaken with a view to such extraction.

## > Transactions

- 932-10-15-3** The guidance in this Topic does not apply to the following transactions and activities:
- a. Transporting, refining, and marketing of oil and gas
  - b. Processing of produced oil, gas, or natural resources that can be upgraded into synthetic oil or gas by an entity that does not serve as a producer of such natural resources
  - bb. Activities relating to the production of natural resources other than oil, gas, or natural resources from which synthetic oil and gas can be extracted
  - c. The production of geothermal steam
  - d. [Subparagraph superseded by Accounting Standards Update No. 2010-03](#).
  - e. Accounting for interest on funds borrowed to finance an entity's oil- and gas-producing activities (for general guidance, see Topic [835](#)).

- 932-10-15-4** This Topic does not prohibit an entity from applying the full-cost method of accounting.

# 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Condensate

Condensate is a mixture of hydrocarbons that exists in the gaseous phase at original reservoir temperature and pressure but that when produced is in the liquid phase at surface pressure and temperature.

## Development Project

A development project is the means by which petroleum [resources](#) are brought to the status of [economically producible](#). As examples, the development of a single reservoir or field, an incremental

development in a producing field, or the integrated development of a group of several fields and associated facilities with a common ownership may constitute a development project.

### Economically Producing

The term *economically producible*, as it relates to a [resource](#), means a resource that generates revenue that exceeds, or is reasonably expected to exceed, the costs of the operation. The value of the products that generate revenue shall be determined at the terminal point of [oil- and gas-producing activities](#).

### Exploration

Exploration involves both of the following:

- a. Identifying areas that may warrant examination
- b. Examining specific areas that are considered to have prospects of containing oil and gas reserves, including drilling exploratory wells and exploratory-type stratigraphic test wells.

### Oil- and Gas-Producing Activities

Paragraph [932-10-15-2A](#) defines the term *oil- and gas-producing activities*.

### Production

Production involves lifting the crude oil and natural gas to the surface, extracting [saleable hydrocarbons](#), in the solid, liquid, or gaseous state from oil sands, shale, coalbeds, or other nonrenewable natural resources that are intended to be upgraded into synthetic oil or gas, gathering, treating, field processing (as in the case of processing gas to extract liquid hydrocarbons), and field storage.

The oil and gas production function shall be regarded as ending at a *terminal point*, which is the outlet valve on the lease or field storage tank. If unusual physical or operational circumstances exist, it may be appropriate to regard the terminal point for the production function as:

- a. The first point at which oil, gas, or gas liquids, natural or synthetic, are delivered to a main pipeline, a common carrier, a refinery, or a marine terminal
- b. In the case of natural resources that are intended to be upgraded into synthetic oil or gas, if those natural resources are delivered to a purchaser before upgrading, the first point at which the natural resources are delivered to a main pipeline, a common carrier, a refinery, a marine terminal, or a facility that upgrades such natural resources into synthetic oil or gas.

### Properties

Mineral interests in properties (hereinafter referred to as properties), which include all of the following:

- a. Fee ownership or a lease
- b. Concession
- c. Other interest representing the legal right to produce or a revenue interest in the production of oil or gas subject to such terms as may be imposed by the conveyance of that interest.

Properties also include:

- a. Royalty interests
- b. Production payments payable in oil or gas
- c. Other nonoperating interests in properties operated by others.

Properties include those agreements with foreign governments or authorities under which an entity participates in the operation of the related properties or otherwise serves as producer of the

underlying [reserves](#) (see paragraph [932-235-50-7](#)); but properties do not include other supply agreements or contracts that represent the right to purchase (as opposed to extract) oil and gas. Properties are classified as [proved properties](#) or [unproved properties](#).

### Proved Properties

Proved properties are properties with proved reserves.

### Reserves

Reserves are estimated remaining quantities of oil and gas and related substances anticipated to be [economically producible](#), as of a given date, by application of [development projects](#) to known accumulations. In addition, there must exist, or there must be a reasonable expectation that there will exist, the legal right to produce or a revenue interest in the production, installed means of delivering oil and gas or related substances to market, and all permits and financing required to implement the project.

Reserves should not be assigned to adjacent reservoirs isolated by major, potentially sealing, faults until those reservoirs are penetrated and evaluated as economically producible. Reserves should not be assigned to areas that are clearly separated from a known accumulation by a nonproductive reservoir (that is, absence of reservoir, structurally low reservoir, or negative test results). Such areas may contain prospective [resources](#) (that is, potentially recoverable resources from undiscovered accumulations).

### Resources

Resources are quantities of oil and gas estimated to exist in naturally occurring accumulations. A portion of the resources may be estimated to be recoverable, and another portion may be considered to be unrecoverable. Resources include both discovered accumulations and undiscovered accumulations.

### Saleable Hydrocarbons

Hydrocarbons that are saleable in the state in which the hydrocarbons are delivered.

### Unproved Properties

Unproved properties are properties with no proved reserves.

## 65 Transition and Open Effective Date Information

**i General Note:** The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.



General

**932-10-65-1** Paragraph superseded on 07/14/2011 after the end of the transition period stated in Accounting Standards Update No. 2010-03, *Extractive Activities—Oil and Gas(Topic 932): Oil and Gas Reserve Estimation and Disclosures*.

S00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

**932-10-S00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                                        | Action     | Accounting Standards Update                                                                                                      | Date       |
|--------------------------------------------------|------------|----------------------------------------------------------------------------------------------------------------------------------|------------|
| <a href="#">Acquisition of Properties</a>        | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">Developed Oil and Gas Reserves</a>   | Added      | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">Development Costs</a>                | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">Development Well</a>                 | Superseded | <a href="#">Maintenance Update 2014-07</a>  | 03/17/2014 |
| <a href="#">Development Well</a>                 | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">Exploration Costs</a>                | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">Exploratory Well</a>                 | Superseded | <a href="#">Maintenance Update 2014-07</a>  | 03/17/2014 |
| <a href="#">Exploratory Well</a>                 | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">Field</a>                            | Superseded | <a href="#">Maintenance Update 2014-07</a>  | 03/17/2014 |
| <a href="#">Field</a>                            | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">Oil and Gas Producing Activities</a> | Superseded | <a href="#">Maintenance Update 2014-07</a>  | 03/17/2014 |
| <a href="#">Oil and Gas Producing Activities</a> | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">Production Costs</a>                 | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">Proved Area</a>                      | Superseded | <a href="#">Maintenance Update 2014-07</a>  | 03/17/2014 |

|                                                          |            |                                                                                                                                  |            |
|----------------------------------------------------------|------------|----------------------------------------------------------------------------------------------------------------------------------|------------|
| Proved Area                                              | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| Proved<br>Developed Oil<br>and Gas<br>Reserves           | Superseded | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| Proved Oil and<br>Gas Reserves                           | Superseded | <a href="#">Maintenance Update 2014-07</a>    | 03/17/2014 |
| Proved Oil and<br>Gas Reserves                           | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| Proved<br>Properties                                     | Superseded | <a href="#">Maintenance Update 2014-07</a>    | 03/17/2014 |
| Proved<br>Properties                                     | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| Proved<br>Undeveloped<br>Reserves                        | Superseded | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| Reservoir                                                | Superseded | <a href="#">Maintenance Update 2014-07</a>    | 03/17/2014 |
| Reservoir                                                | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| Service Well                                             | Superseded | <a href="#">Maintenance Update 2014-07</a>    | 03/17/2014 |
| Service Well                                             | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| Stratigraphic<br>Test Well                               | Superseded | <a href="#">Maintenance Update 2014-07</a>    | 03/17/2014 |
| Stratigraphic<br>Test Well                               | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">Undeveloped Oil<br/>and Gas<br/>Reserves</a> | Added      | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| Unproved<br>Properties                                   | Superseded | <a href="#">Maintenance Update 2014-07</a>  | 03/17/2014 |
| Unproved<br>Properties                                   | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">932-10-S25-1</a>                             | Superseded | <a href="#">Accounting Standards Update No. 2016-11</a>                                                                          | 05/02/2016 |
| <a href="#">932-10-S50-2</a>                             | Superseded | <a href="#">Accounting Standards Update No. 2016-11</a>                                                                          | 05/02/2016 |
| <a href="#">932-10-S99-1</a>                             | Amended    | <a href="#">Maintenance Update 2021-01</a>  | 01/11/2021 |
| <a href="#">932-10-S99-1</a>                             | Amended    | <a href="#">Accounting Standards Update No. 2019-07</a>                                                                          | 07/26/2019 |
| <a href="#">932-10-S99-1</a>                             | Amended    | <a href="#">Maintenance Update 2014-07</a>  | 03/17/2014 |
| <a href="#">932-10-S99-1</a>                             | Amended    | <a href="#">Accounting Standards Update No. 2010-14</a>                                                                          | 04/20/2010 |
| <a href="#">932-10-S99-2</a>                             | Amended    | <a href="#">Accounting Standards Update No. 2012-03</a>                                                                          | 08/27/2012 |
| <a href="#">932-10-S99-2</a>                             | Amended    | <a href="#">Accounting Standards Update No. 2010-22</a>                                                                          | 08/19/2010 |
| <a href="#">932-10-S99-5</a>                             | Superseded | <a href="#">Accounting Standards Update No. 2016-11</a>                                                                          | 05/02/2016 |
| <a href="#">932-10-S99-5</a>                             | Amended    | <a href="#">Accounting Standards Update No. 2009-11</a>                                                                          | 09/18/2009 |

## S15 Scope and Scope Exceptions



**General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Entities

**932-10-S15-1** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10, for entities included within the scope of this Subtopic, which includes smaller reporting companies.

## S20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Acquisition of Properties

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(1), for the definition of acquisition of properties as used within that Rule.

### Developed Oil and Gas Reserves

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(6) for the definition of developed oil and gas reserves as used within that Rule.

### Development Costs

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(7), for the definition of development costs as used within that Rule.

### Exploration Costs

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(12), for the definition of exploration costs as used within that Rule.

### Production Costs

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(20), for the definition of production costs as used within that Rule.

### Undeveloped Oil and Gas Reserves

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(31), for the definition of undeveloped oil and gas reserves as used within that Rule.

## S25 Recognition

**i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

**932-10-S25-1** Paragraph superseded by Accounting Standards Update No. 2016-11.

## S45 Other Presentation Matters

**i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

### General

#### > Royalty Trusts

**932-10-S45-1** See paragraph [932-10-S99-4](#), SAB Topic 12.E, for SEC Staff views on the presentation of statement of distributable income for royalty trusts.

## S50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

### General

#### > Oil and Gas Reserve Data

**932-10-S50-1** See paragraph [932-10-S99-2](#), SAB Topic 2.D, Question 4, for SEC Staff views on the disclosure of oil and gas reserve data by partnerships in an exchange offering.

**932-10-S50-2** [Paragraph superseded by Accounting Standards Update No. 2016-11.](#)

## S55 Implementation Guidance and Illustrations

**i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

### General

#### > Accounting Issues in Oil and Gas Exchange Offers

**932-10-S55-1** See paragraph [932-10-S99-2](#), SAB Topic 2.D, Questions 1 through 3, for SEC Staff views on accounting issues arising in oil and gas exchange offers.

## > Methods of Accounting by Oil and Gas Producers

**932-10-S55-2** See paragraph [932-10-S99-3](#), SAB Topic 12.C, for SEC Staff views on methods of accounting by oil and gas producers.

### · > First-Time Registrants

**932-10-S55-3** See paragraph [932-10-S99-3](#), SAB Topic 12.C.1, for SEC Staff views on changing methods of accounting by oil and gas producers who are first-time registrants.

### · > Consistent Use of Accounting Methods Within a Consolidated Entity

**932-10-S55-4** See paragraph [932-10-S99-3](#), SAB Topic 12.C.2, for SEC Staff views on applying consistent methods of oil and gas accounting within a consolidated entity.

# S99 SEC Materials

**i General Note:** As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

## General

## > SEC Rules, Regulations, and Interpretations

### · > Regulation S-X

#### · · > Regulation S-X Rule 4-10, Financial Accounting and Reporting for Oil and Gas Producing Activities Pursuant to the Federal Securities Laws and the Energy Policy and Conservation Act of 1975

**932-10-S99-1** The following is the text of Regulation S-X Rule 4-10, Financial Accounting and Reporting for Oil and Gas Producing Activities Pursuant to the Federal Securities Laws and the Energy Policy and Conservation Act of 1975 (17 CFR 210.4-10).

This section prescribes financial accounting and reporting standards for registrants with the Commission engaged in oil and gas producing activities in filings under the Federal securities laws and for the preparation of accounts by persons engaged, in whole or in part, in the production of crude oil or natural gas in the United States, pursuant to section 503 of the Energy Policy and Conservation Act of 1975 (42 U.S.C. 6383) (EPCA) and section 11(c) of the Energy Supply and Environmental Coordination Act of 1974 (15 U.S.C. 796) (ESECA), as amended by section 505 of EPCA. The application of this section to those oil and gas producing operations of companies regulated for ratemaking purposes on an individual-company-cost-of-service basis may, however,

give appropriate recognition to differences arising because of the effect of the ratemaking process.

Exemption. Any person exempted by the Department of Energy from any record-keeping or reporting requirements pursuant to section 11(c) of ESECA, as amended, is similarly exempted from the related provisions of this section in the preparation of accounts pursuant to EPCA. This exemption does not affect the applicability of this section to filings pursuant to the Federal securities laws.

#### DEFINITIONS

(a) Definitions. The following definitions apply to the terms listed below as they are used in this section:

(1) *Acquisition of properties*. Costs incurred to purchase, lease or otherwise acquire a property, including costs of lease bonuses and options to purchase or lease properties, the portion of costs applicable to minerals when land including mineral rights is purchased in fee, brokers' fees, recording fees, legal costs, and other costs incurred in acquiring properties.

(2) *Analogous reservoir*. Analogous reservoirs, as used in resources assessments, have similar rock and fluid properties, reservoir conditions (depth, temperature, and pressure) and drive mechanisms, but are typically at a more advanced stage of development than the reservoir of interest and thus may provide concepts to assist in the interpretation of more limited data and estimation of recovery. When used to support proved reserves, an "analogous reservoir" refers to a reservoir that shares the following characteristics with the reservoir of interest:

- (i) Same geological formation (but not necessarily in pressure communication with the reservoir of interest);
- (ii) Same environment of deposition;
- (iii) Similar geological structure; and
- (iv) Same drive mechanism.

*Instruction to paragraph (a)(2)*: Reservoir properties must, in the aggregate, be no more favorable in the analog than in the reservoir of interest.

(3) *Bitumen*. Bitumen, sometimes referred to as natural bitumen, is petroleum in a solid or semi-solid state in natural deposits with a viscosity greater than 10,000 centipoise measured at original temperature in the deposit and atmospheric pressure, on a gas free basis. In its natural state it usually contains sulfur, metals, and other non-hydrocarbons.

(4) *Condensate*. Condensate is a mixture of hydrocarbons that exists in the gaseous phase at original reservoir temperature and pressure, but that, when produced, is in the liquid phase at surface pressure and temperature.

(5) *Deterministic estimate*. The method of estimating reserves or resources is called deterministic when a single value for each parameter (from the geoscience, engineering, or economic data) in the reserves calculation is used in the reserves estimation procedure.

(6) *Developed oil and gas reserves*. Developed oil and gas reserves are reserves of any category that can be expected to be recovered:

- (i) Through existing wells with existing equipment and operating methods or in which the cost of the required equipment is relatively minor compared to the cost of a new well; and
- (ii) Through installed extraction equipment and infrastructure operational at the time of the reserves estimate if the extraction is by means not involving a well.

(7) *Development costs*. Costs incurred to obtain access to proved reserves and to provide facilities for extracting, treating, gathering and storing the oil and gas. More specifically,

development costs, including depreciation and applicable operating costs of support equipment and facilities and other costs of development activities, are costs incurred to:

- (i) Gain access to and prepare well locations for drilling, including surveying well locations for the purpose of determining specific development drilling sites, clearing ground, draining, road building, and relocating public roads, gas lines, and power lines, to the extent necessary in developing the proved reserves.
- (ii) Drill and equip development wells, development-type stratigraphic test wells, and service wells, including the costs of platforms and of well equipment such as casing, tubing, pumping equipment, and the wellhead assembly.
- (iii) Acquire, construct, and install production facilities such as lease flow lines, separators, treaters, heaters, manifolds, measuring devices, and production storage tanks, natural gas cycling and processing plants, and central utility and waste disposal systems.
- (iv) Provide improved recovery systems.

(8) *Development project*. A development project is the means by which petroleum resources are brought to the status of economically producible. As examples, the development of a single reservoir or field, an incremental development in a producing field, or the integrated development of a group of several fields and associated facilities with a common ownership may constitute a development project.

(9) *Development well*. A well drilled within the proved area of an oil or gas reservoir to the depth of a stratigraphic horizon known to be productive.

(10) *Economically producible*. The term economically producible, as it relates to a resource, means a resource which generates revenue that exceeds, or is reasonably expected to exceed, the costs of the operation. The value of the products that generate revenue shall be determined at the terminal point of oil and gas producing activities as defined in paragraph (a)(16) of this section.

(11) *Estimated ultimate recovery (EUR)*. Estimated ultimate recovery is the sum of reserves remaining as of a given date and cumulative production as of that date.

(12) *Exploration costs*. Costs incurred in identifying areas that may warrant examination and in examining specific areas that are considered to have prospects of containing oil and gas reserves, including costs of drilling exploratory wells and exploratory-type stratigraphic test wells. Exploration costs may be incurred both before acquiring the related property (sometimes referred to in part as prospecting costs) and after acquiring the property. Principal types of exploration costs, which include depreciation and applicable operating costs of support equipment and facilities and other costs of exploration activities, are:

- (i) Costs of topographical, geographical and geophysical studies, rights of access to properties to conduct those studies, and salaries and other expenses of geologists, geophysical crews, and others conducting those studies. Collectively, these are sometimes referred to as geological and geophysical or G&G costs.
- (ii) Costs of carrying and retaining undeveloped properties, such as delay rentals, ad valorem taxes on properties, legal costs for title defense, and the maintenance of land and lease records.
- (iii) Dry hole contributions and bottom hole contributions.
- (iv) Costs of drilling and equipping exploratory wells.
- (v) Costs of drilling exploratory-type stratigraphic test wells.

(13) *Exploratory well*. An exploratory well is a well drilled to find a new field or to find a new reservoir in a field previously found to be productive of oil or gas in another reservoir.



Generally, an exploratory well is any well that is not a development well, an extension well, a service well, or a stratigraphic test well as those items are defined in this section.

(14) *Extension well.* An extension well is a well drilled to extend the limits of a known reservoir.

(15) *Field.* An area consisting of a single reservoir or multiple reservoirs all grouped on or related to the same individual geological structural feature and/or stratigraphic condition. There may be two or more reservoirs in a field that are separated vertically by intervening impervious, strata, or laterally by local geologic barriers, or by both. Reservoirs that are associated by being in overlapping or adjacent fields may be treated as a single or common operational field. The geological terms structural feature and stratigraphic condition are intended to identify localized geological features as opposed to the broader terms of basins, trends, provinces, plays, areas-of-interest, etc.

(16) *Oil and gas producing activities.*

(i) Oil and gas producing activities include:

(A) The search for crude oil, including condensate and natural gas liquids, or natural gas ("oil and gas") in their natural states and original locations;

(B) The acquisition of property rights or properties for the purpose of further exploration or for the purpose of removing the oil or gas from such properties;

(C) The construction, drilling, and production activities necessary to retrieve oil and gas from their natural reservoirs, including the acquisition, construction, installation, and maintenance of field gathering and storage systems, such as:

( 1 ) Lifting the oil and gas to the surface; and

( 2 ) Gathering, treating, and field processing (as in the case of processing gas to extract liquid hydrocarbons); and

(D) Extraction of saleable hydrocarbons, in the solid, liquid, or gaseous state, from oil sands, shale, coalbeds, or other nonrenewable natural resources which are intended to be upgraded into synthetic oil or gas, and activities undertaken with a view to such extraction.

*Instruction 1 to paragraph (a)(16)(i):* The oil and gas production function shall be regarded as ending at a "terminal point", which is the outlet valve on the lease or field storage tank. If unusual physical or operational circumstances exist, it may be appropriate to regard the terminal point for the production function as:

a. The first point at which oil, gas, or gas liquids, natural or synthetic, are delivered to a main pipeline, a common carrier, a refinery, or a marine terminal; and

b. In the case of natural resources that are intended to be upgraded into synthetic oil or gas, if those natural resources are delivered to a purchaser prior to upgrading, the first point at which the natural resources are delivered to a main pipeline, a common carrier, a refinery, a marine terminal, or a facility which upgrades such natural resources into synthetic oil or gas.

*Instruction 2 to paragraph (a)(16)(i):* For purposes of this paragraph (a)(16), the term saleable hydrocarbons means hydrocarbons that are saleable in the state in which the hydrocarbons are delivered.

(ii) Oil and gas producing activities do not include:

(A) Transporting, refining, or marketing oil and gas;

(B) Processing of produced oil, gas or natural resources that can be upgraded into synthetic oil or gas by a registrant that does not have the legal right to produce or a

revenue interest in such production;

(C) Activities relating to the production of natural resources other than oil, gas, or natural resources from which synthetic oil and gas can be extracted; or

(D) Production of geothermal steam.

(17) *Possible reserves*. Possible reserves are those additional reserves that are less certain to be recovered than probable reserves.

(i) When deterministic methods are used, the total quantities ultimately recovered from a project have a low probability of exceeding proved plus probable plus possible reserves. When probabilistic methods are used, there should be at least a 10% probability that the total quantities ultimately recovered will equal or exceed the proved plus probable plus possible reserves estimates.

(ii) Possible reserves may be assigned to areas of a reservoir adjacent to probable reserves where data control and interpretations of available data are progressively less certain. Frequently, this will be in areas where geoscience and engineering data are unable to define clearly the area and vertical limits of commercial production from the reservoir by a defined project.

(iii) Possible reserves also include incremental quantities associated with a greater percentage recovery of the hydrocarbons in place than the recovery quantities assumed for probable reserves.

(iv) The proved plus probable and proved plus probable plus possible reserves estimates must be based on reasonable alternative technical and commercial interpretations within the reservoir or subject project that are clearly documented, including comparisons to results in successful similar projects.

(v) Possible reserves may be assigned where geoscience and engineering data identify directly adjacent portions of a reservoir within the same accumulation that may be separated from proved areas by faults with displacement less than formation thickness or other geological discontinuities and that have not been penetrated by a wellbore, and the registrant believes that such adjacent portions are in communication with the known (proved) reservoir. Possible reserves may be assigned to areas that are structurally higher or lower than the proved area if these areas are in communication with the proved reservoir.

(vi) Pursuant to paragraph (a)(22)(iii) of this section, where direct observation has defined a highest known oil (HKO) elevation and the potential exists for an associated gas cap, proved oil reserves should be assigned in the structurally higher portions of the reservoir above the HKO only if the higher contact can be established with reasonable certainty through reliable technology. Portions of the reservoir that do not meet this reasonable certainty criterion may be assigned as probable and possible oil or gas based on reservoir fluid properties and pressure gradient interpretations.

(18) *Probable reserves*. Probable reserves are those additional reserves that are less certain to be recovered than proved reserves but which, together with proved reserves, are as likely as not to be recovered.

(i) When deterministic methods are used, it is as likely as not that actual remaining quantities recovered will exceed the sum of estimated proved plus probable reserves. When probabilistic methods are used, there should be at least a 50% probability that the actual quantities recovered will equal or exceed the proved plus probable reserves estimates.

(ii) Probable reserves may be assigned to areas of a reservoir adjacent to proved reserves where data control or interpretations of available data are less certain, even if the interpreted reservoir continuity of structure or productivity does not meet the

reasonable certainty criterion. Probable reserves may be assigned to areas that are structurally higher than the proved area if these areas are in communication with the proved reservoir.

(iii) Probable reserves estimates also include potential incremental quantities associated with a greater percentage recovery of the hydrocarbons in place than assumed for proved reserves.

(iv) See also guidelines in paragraphs (a)(17)(iv) and (a)(17)(vi) of this section.

(19) *Probabilistic estimate.* The method of estimation of reserves or resources is called probabilistic when the full range of values that could reasonably occur for each unknown parameter (from the geoscience and engineering data) is used to generate a full range of possible outcomes and their associated probabilities of occurrence.

(20) *Production costs.*

(i) Costs incurred to operate and maintain wells and related equipment and facilities, including depreciation and applicable operating costs of support equipment and facilities and other costs of operating and maintaining those wells and related equipment and facilities. They become part of the cost of oil and gas produced. Examples of production costs (sometimes called lifting costs) are:

(A) Costs of labor to operate the wells and related equipment and facilities.

(B) Repairs and maintenance.

(C) Materials, supplies, and fuel consumed and supplies utilized in operating the wells and related equipment and facilities.

(D) Property taxes and insurance applicable to proved properties and wells and related equipment and facilities.

(E) Severance taxes.

(ii) Some support equipment or facilities may serve two or more oil and gas producing activities and may also serve transportation, refining, and marketing activities. To the extent that the support equipment and facilities are used in oil and gas producing activities, their depreciation and applicable operating costs become exploration, development or production costs, as appropriate. Depreciation, depletion, and amortization of capitalized acquisition, exploration, and development costs are not production costs but also become part of the cost of oil and gas produced along with production (lifting) costs identified above.

(21) *Proved area.* The part of a property to which proved reserves have been specifically attributed.

(22) *Proved oil and gas reserves.* Proved oil and gas reserves are those quantities of oil and gas, which, by analysis of geoscience and engineering data, can be estimated with reasonable certainty to be economically producible from a given date forward, from known reservoirs, and under existing economic conditions, operating methods, and government regulations prior to the time at which contracts providing the right to operate expire, unless evidence indicates that renewal is reasonably certain, regardless of whether deterministic or probabilistic methods are used for the estimation. The project to extract the hydrocarbons must have commenced or the operator must be reasonably certain that it will commence the project within a reasonable time.

(i) The area of the reservoir considered as proved includes:

(A) The area identified by drilling and limited by fluid contacts, if any, and

(B) Adjacent undrilled portions of the reservoir that can, with reasonable certainty, be judged to be continuous with it and to contain economically producible oil or gas on

the basis of available geoscience and engineering data.

(ii) In the absence of data on fluid contacts, proved quantities in a reservoir are limited by the lowest known hydrocarbons (LKH) as seen in a well penetration unless geoscience, engineering, or performance data and reliable technology establishes a lower contact with reasonable certainty.

(iii) Where direct observation from well penetrations has defined a highest known oil (HKO) elevation and the potential exists for an associated gas cap, proved oil reserves may be assigned in the structurally higher portions of the reservoir only if geoscience, engineering, or performance data and reliable technology establish the higher contact with reasonable certainty.

(iv) Reserves which can be produced economically through application of improved recovery techniques (including, but not limited to, fluid injection) are included in the proved classification when:

(A) Successful testing by a pilot project in an area of the reservoir with properties no more favorable than in the reservoir as a whole, the operation of an installed program in the reservoir or an analogous reservoir, or other evidence using reliable technology establishes the reasonable certainty of the engineering analysis on which the project or program was based; and

(B) The project has been approved for development by all necessary parties and entities, including governmental entities.

(v) Existing economic conditions include prices and costs at which economic producibility from a reservoir is to be determined. The price shall be the average price during the 12-month period prior to the ending date of the period covered by the report, determined as an unweighted arithmetic average of the first-day-of-the-month price for each month within such period, unless prices are defined by contractual arrangements, excluding escalations based upon future conditions.

(23) *Proved properties.* Properties with proved reserves.

(24) *Reasonable certainty.* If deterministic methods are used, reasonable certainty means a high degree of confidence that the quantities will be recovered. If probabilistic methods are used, there should be at least a 90% probability that the quantities actually recovered will equal or exceed the estimate. A high degree of confidence exists if the quantity is much more likely to be achieved than not, and, as changes due to increased availability of geoscience (geological, geophysical, and geochemical), engineering, and economic data are made to estimated ultimate recovery (EUR) with time, reasonably certain EUR is much more likely to increase or remain constant than to decrease.

(25) *Reliable technology.* Reliable technology is a grouping of one or more technologies (including computational methods) that has been field tested and has been demonstrated to provide reasonably certain results with consistency and repeatability in the formation being evaluated or in an analogous formation.

(26) *Reserves.* Reserves are estimated remaining quantities of oil and gas and related substances anticipated to be economically producible, as of a given date, by application of development projects to known accumulations. In addition, there must exist, or there must be a reasonable expectation that there will exist, the legal right to produce or a revenue interest in the production, installed means of delivering oil and gas or related substances to market, and all permits and financing required to implement the project.

*Note to paragraph (a)(26):* Reserves should not be assigned to adjacent reservoirs isolated by major, potentially sealing, faults until those reservoirs are penetrated and evaluated as economically producible. Reserves should not be assigned to areas that are clearly separated from a known accumulation by a non-productive reservoir ( *i.e.* , absence of reservoir,



structurally low reservoir, or negative test results). Such areas may contain prospective resources ( *i.e.* , potentially recoverable resources from undiscovered accumulations).

(27) *Reservoir*. A porous and permeable underground formation containing a natural accumulation of producible oil and/or gas that is confined by impermeable rock or water barriers and is individual and separate from other reservoirs.

(28) *Resources*. Resources are quantities of oil and gas estimated to exist in naturally occurring accumulations. A portion of the resources may be estimated to be recoverable, and another portion may be considered to be unrecoverable. Resources include both discovered and undiscovered accumulations.

(29) *Service well*. A well drilled or completed for the purpose of supporting production in an existing field. Specific purposes of service wells include gas injection, water injection, steam injection, air injection, salt-water disposal, water supply for injection, observation, or injection for in-situ combustion.

(30) *Stratigraphic test well*. A stratigraphic test well is a drilling effort, geologically directed, to obtain information pertaining to a specific geologic condition. Such wells customarily are drilled without the intent of being completed for hydrocarbon production. The classification also includes tests identified as core tests and all types of expendable holes related to hydrocarbon exploration. Stratigraphic tests are classified as "exploratory type" if not drilled in a known area or "development type" if drilled in a known area.

(31) *Undeveloped oil and gas reserves*. Undeveloped oil and gas reserves are reserves of any category that are expected to be recovered from new wells on undrilled acreage, or from existing wells where a relatively major expenditure is required for recompletion.

(i) Reserves on undrilled acreage shall be limited to those directly offsetting development spacing areas that are reasonably certain of production when drilled, unless evidence using reliable technology exists that establishes reasonable certainty of economic producibility at greater distances.

(ii) Undrilled locations can be classified as having undeveloped reserves only if a development plan has been adopted indicating that they are scheduled to be drilled within five years, unless the specific circumstances, justify a longer time.

(iii) Under no circumstances shall estimates for undeveloped reserves be attributable to any acreage for which an application of fluid injection or other improved recovery technique is contemplated, unless such techniques have been proved effective by actual projects in the same reservoir or an analogous reservoir, as defined in paragraph (a)(2) of this section, or by other evidence using reliable technology establishing reasonable certainty.

(32) *Unproved properties*. Properties with no proved reserves.

#### SUCCESSFUL EFFORTS METHOD

(b) A reporting entity that follows the successful efforts method shall comply with the accounting and financial reporting disclosure requirements of FASB ASC Topic 932, *Extractive Activities—Oil and Gas*.

#### FULL COST METHOD

(c) Application of the full cost method of accounting. A reporting entity that follows the full cost method shall apply that method to all of its operations and to the operations of its subsidiaries, as follows:

(1) Determination of cost centers. Cost centers shall be established on a country-by-country basis.

(2) Costs to be capitalized. All costs associated with property acquisition, exploration, and development activities (as defined in paragraph (a) of this section) shall be capitalized within the appropriate cost center. Any internal costs that are capitalized shall be limited to those

costs that can be directly identified with acquisition, exploration, and development activities undertaken by the reporting entity for its own account, and shall not include any costs related to production, general corporate overhead, or similar activities.

(3) Amortization of capitalized costs. Capitalized costs within a cost center shall be amortized on the unit-of-production basis using proved oil and gas reserves, as follows:

(i) Costs to be amortized shall include

(A) all capitalized costs, less accumulated amortization, other than the cost of properties described in paragraph (ii) below;

(B) the estimated future expenditures (based on current costs) to be incurred in developing proved reserves; and

(C) estimated dismantlement and abandonment costs, net of estimated salvage values.

(ii) The cost of investments in unproved properties and major development projects may be excluded from capitalized costs to be amortized, subject to the following:

(A) All costs directly associated with the acquisition and evaluation of unproved properties may be excluded from the amortization computation until it is determined whether or not proved reserves can be assigned to the properties, subject to the following conditions:

(1) Until such a determination is made, the properties shall be assessed at least annually to ascertain whether impairment has occurred. Unevaluated properties whose costs are individually significant shall be assessed individually. Where it is not practicable to individually assess the amount of impairment of properties for which costs are not individually significant, such properties may be grouped for purposes of assessing impairment. Impairment may be estimated by applying factors based on historical experience and other data such as primary lease terms of the properties, average holding periods of unproved properties, and geographic and geologic data to groupings of individually insignificant properties and projects. The amount of impairment assessed under either of these methods shall be added to the costs to be amortized.

(2) The costs of drilling exploratory dry holes shall be included in the amortization base immediately upon determination that the well is dry.

(3) If geological and geophysical costs cannot be directly associated with specific unevaluated properties, they shall be included in the amortization base as incurred. Upon complete evaluation of a property, the total remaining excluded cost (net of any impairment) shall be included in the full cost amortization base.

(B) Certain costs may be excluded from amortization when incurred in connection with major development projects expected to entail significant costs to ascertain the quantities of proved reserves attributable to the properties under development (e.g., the installation of an offshore drilling platform from which development wells are to be drilled, the installation of improved recovery programs, and similar major projects undertaken in the expectation of significant additions to proved reserves). The amounts which may be excluded are applicable portions of (1) the costs that relate to the major development project and have not previously been included in the amortization base, and (2) the estimated future expenditures associated with the development project. The excluded portion of any common costs associated with the development project should be based, as is most appropriate in the circumstances, on a comparison of either (i) existing proved reserves to total proved reserves expected to be established upon completion of the project, or (ii) the number of



wells to which proved reserves have been assigned and total number of wells expected to be drilled. Such costs may be excluded from costs to be amortized until the earlier determination of whether additional reserves are proved or impairment occurs.

(C) Excluded costs and the proved reserves related to such costs shall be transferred into the amortization base on an ongoing (well-by-well or property-by-property) basis as the project is evaluated and proved reserves established or impairment determined. Once proved reserves are established, there is no further justification for continued exclusion from the full cost amortization base even if other factors prevent immediate production or marketing.

(iii) Amortization shall be computed on the basis of physical units, with oil and gas converted to a common unit of measure on the basis of their approximate relative energy content, unless economic circumstances (related to the effects of regulated prices) indicate that use of units of revenue is a more appropriate basis of computing amortization. In the latter case, amortization shall be computed on the basis of current gross revenues (excluding royalty payments and net profits disbursements) from production in relation to future gross revenues, based on current prices (including consideration of changes in existing prices provided only by contractual arrangements), from estimated production of proved oil and gas reserves. The effect of a significant price increase during the year on estimated future gross revenues shall be reflected in the amortization provision only for the period after the price increase occurs.

(iv) In some cases it may be more appropriate to depreciate natural gas cycling and processing plants by a method other than the unit-of-production method.

(v) Amortization computations shall be made on a consolidated basis, including investees accounted for on a proportionate consolidation basis. Investees accounted for on the equity method shall be treated separately.

#### (4) Limitation on capitalized costs.

(i) For each cost center, capitalized costs, less accumulated amortization and related deferred income taxes, shall not exceed an amount (the cost center ceiling) equal to the sum of:

(A) The present value of estimated future net revenues computed by applying current prices of oil and gas reserves (with consideration of price changes only to the extent provided by contractual arrangements) to estimated future production of proved oil and gas reserves as of the date of the latest balance sheet presented, less estimated future expenditures (based on current costs) to be incurred in developing and producing the proved reserves computed using a discount factor of ten percent and assuming continuation of existing economic conditions; plus

(B) the cost of properties not being amortized pursuant to paragraph (i)(3)(ii) of this section; plus

(C) the lower of cost or estimated fair value of unproven properties included in the costs being amortized; less

(D) income tax effects related to differences between the book and tax basis of the properties referred to in paragraphs (i)(4)(i) (B) and (C) of this section.

(ii) If unamortized costs capitalized within a cost center, less related deferred income taxes, exceed the cost center ceiling, the excess shall be charged to expense and separately disclosed during the period in which the excess occurs. Amounts thus required to be written off shall not be reinstated for any subsequent increase in the cost center ceiling.

(5) Production costs. All costs relating to production activities, including workover costs incurred solely to maintain or increase levels of production from an existing completion interval, shall be charged to expense as incurred.

(6) Other transactions. The provisions of paragraph (h) of this section, "Mineral property conveyances and related transactions if the successful efforts method of accounting is followed," shall apply also to those reporting entities following the full cost method except as follows:

(i) Sales and abandonments of oil and gas properties. Sales of oil and gas properties, whether or not being amortized currently, shall be accounted for as adjustments of capitalized costs, with no gain or loss recognized, unless such adjustments would significantly alter the relationship between capitalized costs and proved reserves of oil and gas attributable to a cost center. For instance, a significant alteration would not ordinarily be expected to occur for sales involving less than 25 percent of the reserve quantities of a given cost center. If gain or loss is recognized on such a sale, total capitalization costs within the cost center shall be allocated between the reserves sold and reserves retained on the same basis used to compute amortization, unless there are substantial economic differences between the properties sold and those retained, in which case capitalized costs shall be allocated on the basis of the relative fair values of the properties. Abandonments of oil and gas properties shall be accounted for as adjustments of capitalized costs; that is, the cost of abandoned properties shall be charged to the full cost center and amortized (subject to the limitation on capitalized costs in paragraph (b) of this section).

(ii) Purchases of reserves. Purchases of oil and gas reserves in place ordinarily shall be accounted for as additional capitalized costs within the applicable cost center; however, significant purchases of production payments or properties with lives substantially shorter than the composite productive life of the cost center shall be accounted for separately.

(iii) Partnerships, joint ventures and drilling arrangements.

(A) Except as provided in paragraph (i)(6)(i) of this section, all consideration received from sales or transfers of properties in connection with partnerships, joint venture operations, or various other forms of drilling arrangements involving oil and gas exploration and development activities (e. g., carried interest, turnkey wells, management fees, etc.) shall be credited to the full cost account, except to the extent of amounts that represent reimbursement of organization, offering, general and administrative expenses, etc., that are identifiable with the transaction, if such amounts are currently incurred and charged to expense.

(B) Where a registrant organizes and manages a limited partnership involved only in the purchase of proved developed properties and subsequent distribution of income from such properties, management fee income may be recognized provided the properties involved do not require aggregate development expenditures in connection with production of existing proved reserves in excess of 10% of the partnership's recorded cost of such properties. Any income not recognized as a result of this limitation would be credited to the full cost account and recognized through a lower amortization provision as reserves are produced.

(iv) Other services. No income shall be recognized in connection with contractual services performed (e. g. drilling, well service, or equipment supply services, etc.) in connection with properties in which the registrant or an affiliate (as defined in § 210.1-02(b)) holds an ownership or other economic interest, except as follows:

(A) Where the registrant acquires an interest in the properties in connection with the service contract, income may be recognized to the extent the cash consideration received exceeds the related contract costs plus the registrant's share of costs incurred and estimated to be incurred in connection with the properties. Ownership

interests acquired within one year of the date of such a contract are considered to be acquired in connection with the service for purposes of applying this rule. The amount of any guarantees or similar arrangements undertaken as part of this contract should be considered as part of the costs related to the properties for purposes of applying this rule.

(B) Where the registrant acquired an interest in the properties at least one year before the date of the service contract through transactions unrelated to the service contract, and that interest is unaffected by the service contract, income from such contract may be recognized subject to the general provisions for elimination of intercompany profit under generally accepted accounting principles.

(C) Notwithstanding the provisions of paragraphs (i)(6)(iv) (A) and (B) of this section, no income may be recognized for contractual services performed on behalf of investors in oil and gas producing activities managed by the registrant or an affiliate. Furthermore, no income may be recognized for contractual services to the extent that the consideration received for such services represents an interest in the underlying property.

(D) Any income not recognized as a result of these rules would be credited to the full cost account and recognized through a lower amortization provision as reserves are produced.

(7) Disclosures. Reporting entities that follow the full cost method of accounting shall disclose all of the information required by paragraph (k) of this section, with each cost center considered as a separate geographic area, except that reasonable groupings may be made of cost centers that are not significant in the aggregate. In addition:

(i) For each cost center for each year that a statement of comprehensive income is required, disclose the total amount of amortization expense (per equivalent physical unit of production if amortization is computed on the basis of physical units or per dollar of gross revenue from production if amortization is computed on the basis of gross revenue).

(ii) State separately on the face of the balance sheet the aggregate of the capitalized costs of unproved properties and major development projects that are excluded, in accordance with paragraph (i)(3) of this section, from the capitalized costs being amortized. Provide a description in the notes to the financial statements of the current status of the significant properties or projects involved, including the anticipated timing of the inclusion of the costs in the amortization computation. Present a table that shows, by category of cost,

(A) the total costs excluded as of the most recent fiscal year; and

(B) the amounts of such excluded costs, incurred (1) in each of the three most recent fiscal years and (2) in the aggregate for any earlier fiscal years in which the costs were incurred. Categories of cost to be disclosed include acquisition costs, exploration costs, development costs in the case of significant development projects and capitalized interest.

(8) For purposes of this paragraph (c), the term “current price” shall mean the average price during the 12-month period prior to the ending date of the period covered by the report, determined as an unweighted arithmetic average of the first-day-of-the-month price for each month within such period, unless prices are defined by contractual arrangements, excluding escalations based upon future conditions.

#### INCOME TAXES

(d) Income taxes. Comprehensive interperiod income tax allocation by a method which complies with generally accepted accounting principles shall be followed for intangible drilling and

development costs and other costs incurred that enter into the determination of taxable income and pretax accounting income in different periods.

[43 FR 60405, Dec. 27, 1978, as amended at 43 FR 60417, Dec. 27, 1978; 44 FR 57036, 57038, Oct. 9, 1979; 45 FR 27749, Apr. 24, 1980. Redesignated and amended at 45 FR 63669, Sept. 25, 1980; 47 FR 57913, Dec. 29, 1982; 48 FR 44200, Sept. 28, 1983; 49 FR 18473, May 1, 1984; 57 FR 45293, Oct. 1, 1992; 61 FR 30401, June 14, 1996; 74 FR 2190, Jan. 14, 2009, 76 FR 50119, Aug. 12, 2011; 83 FR 50200, Oct. 4, 2018]

## > SEC Staff Guidance

### · > Staff Accounting Bulletins

### · · > SAB Topic 2.D, Financial Statements of Oil and Gas Exchange Offers

**932-10-S99-2** The following is the text of SAB Topic 2.D, Financial Statements of Oil and Gas Exchange Offers.

Facts: The oil and gas industry has experienced periods of time where there have been a significant number of "exchange offers" (also referred to as "roll-ups" or "put-togethers") to form a publicly held company, take an existing private company public, or increase the size of an existing publicly held company. An exchange offer transaction involves a swap of shares in a corporation for interests in properties, typically limited partnership interests. Such interests could include direct interests such as working interests and royalties related to developed or undeveloped properties and indirect interests such as limited partnership interests or shares of existing oil and gas companies. Generally, such transactions are structured to be tax-free to the individual or entity trading the property interest for shares of the corporation. Under certain circumstances, however, part or all of the transaction may be taxable. For purposes of the discussion in this Topic, in each of these situations, the entity(ies) or property(ies) are deemed to constitute a business.

One financial reporting issue in exchange transactions involves deciding which prior financial results of the entities should be reported.

Question 1: In Form 10-K filings with the Commission, the staff has permitted limited partnerships to omit certain of the oil and gas reserve value information and the supplemental summary of oil and gas activities disclosures required by FASB ASC Subtopic [932-235](#), Extractive Activities—Oil and Gas—Notes to Financial Statements, in some circumstances. Is it permissible to omit these disclosures from the financial statements included in an exchange offering?

Interpretive Response: No. Normally full disclosures of reserve data and related information are required. The exemptions previously allowed relate only to partnerships where value-oriented data are otherwise available to the limited partners pursuant to the partnership agreement. The staff has previously stated that it will require all of the required disclosures for partnerships which are the subject of exchange offers. <sup>FN2</sup> These disclosures may, however, be presented on a combined basis if the entities are under common control.

FN2 See SAB 40, Topic 12.A.3.c.

The staff believes that the financial statements in an exchange offer registration statement should provide sufficient historical reserve quantity and value-based disclosures to enable offerees and secondary market public investors to evaluate the effect of the exchange proposal. Accordingly, in all cases, it will be necessary to present information as of the latest year-end on reserve quantities and the future net revenues associated with such quantities. In certain circumstances, where the exchange is accounted for using the acquisition method of accounting, the staff will consider, on a case-by-case basis, granting exemptions from (i) the disclosure requirements for year-to-year reconciliations of reserve quantities, and (ii) the requirements for a summary of oil and gas producing activities and a summary of changes in the net present value of reserves. For instance, the staff may consider requests for exemptions in cases where the properties acquired in the exchange transaction are fully explored and developed, particularly if



the management of the emerging company has not been involved in the exploration and development of such properties.

Question 2: If the exchange company will use the full cost method of accounting, does the full cost ceiling limitation apply as of the date of the financial statements reflecting the exchange?

Interpretive Response: Yes. The full cost ceiling limitation on costs capitalized does apply.

However, as discussed under Topic 12.D.3 (Subtopic [932-360](#)), the Commission has stated that in unusual circumstances, registrants may request an exemption if as a result of a major purchase, a write-down would be required even though it can be demonstrated that the fair value of the properties clearly exceeds the unamortized costs.

Question 3: How should "common control accounting" be applied to the specific assets and liabilities of the new exchange company?

Interpretive Response: Consistent with SAB Topic 12.C.2 (Subtopic [932-10](#)), under "common control accounting" the various accounting methods followed by the offeree entities should be conformed to the methods adopted by the new exchange company. It is not appropriate to combine assets and liabilities accounted for on different bases. Accordingly, all of the oil and gas properties of the new entity must be accounted for on the same basis (either full cost or successful efforts) applied retroactively.

Question 4: What pro forma financial information is required in an exchange offering?

Interpretive Response: The requirements for pro forma financial information in exchange offer filings are the same as in any other filings with the Commission and are detailed in Article 11 of Regulation S-X. <sup>FN3</sup> Rule 11-02(b) specifies the presentation requirements, including periods presented and types of adjustments to be made. The general criteria of Rule 11-02(b)(6) are that pro forma adjustments should give effect to events that are (i) directly attributable to the transaction, (ii) expected to have a continuing impact on the registrant, and (iii) factually supportable. In the case of an exchange offer, such adjustments typically are made to:

- (1) Show varying levels of acceptance of the offer.
- (2) Conform the accounting methods used in the historical financial statements to those to be applied by the new entity.
- (3) Recompute the depreciation, depletion and amortization charges, in cases where the new entity will use full-cost accounting, on a combined basis. If this computation is not practicable, and the exchange offer is accounted for as a transaction among entities under common control, historical depreciation, depletion and amortization provisions may be aggregated, with appropriate disclosure.
- (4) Reflect the acquisition in the pro forma statements where the exchange offer is accounted for using the acquisition method of accounting, including depreciation, depletion and amortization based on the measurement guidance in FASB ASC Topic [805](#), Business Combinations.
- (5) Provide pro forma reserve information comparable to the disclosures required by FASB ASC paragraphs [932-235-50-3 through 932-235-50-11B](#) and FASB ASC paragraphs [932-235-50-29 through 50-36](#).
- (6) Reflect significant changes, if any, in levels of operations (revenues or costs), or in income tax status and to reflect debt incurred in connection with the transaction.

In addition, the depreciation, depletion and amortization rate which will apply for the initial period subsequent to consummation of the exchange offer should be disclosed.

FN3 As announced in Financial Reporting Release No. 2 (July 9, 1982).

Question 5: Are there conditions under which the presentation of other than full historical financial statements would be acceptable?



Interpretive Response: Generally, full historical financial statements as specified in Rules 3-01 and 3-02 of Regulation S-X are considered necessary to enable offerees and secondary market investors to evaluate the transaction. Where securities are being registered to offer to the security holders (including limited partners and other ownership interests) of the businesses to be acquired, such financial statements are normally required pursuant to Rule 3-05 of Regulation S-X, either individually for each entity or, where appropriate, separately for the offeror and on a combined basis for other entities, generally excluding corporations. However, certain exceptions may apply as explained in the outline below:

A. Acquisition Method Accounting.

1. If the registrant can demonstrate that full historical financial statements of the offeree partnerships are not reasonably available, the staff may permit presentation of audited Statements of Combined Gross Revenues and Direct Lease Operating Expenses for all years for which an income statement would otherwise be required. In these circumstances, the registrant should also disclose in an unaudited footnote the amounts of total exploration and development costs, and general and administrative expenses along with the reasons why presentation of full historical financial statements is not practicable.
2. The staff will consider requests to waive the requirement for prior year financial statements of the offeree partnerships and instead allow presentation of only the latest fiscal year and interim period, if the registrant can demonstrate that the prior years' data would not be meaningful because the offeree partnerships had no material quantity of production.

B. Common Control Accounting.

The staff would expect the full historical financial statements as specified in Rules 3-01 and 3-02 of Regulation S-X would be included in the registration statement for exchange offers accounted for as reorganizations, including all required supplemental reserve information. The presentation of individual or combined financial statements would depend on the circumstances of the particular exchange offer.

Registrants are also reminded that wherever historical results are presented, it may be appropriate to explain the reasons why historical costs are not necessarily indicative of future expenditures.

· · > SAB Topic 12.C, Methods of Accounting by Oil and Gas Producers

**932-10-S99-3** The following is the text of SAB Topic 12.C, Methods of Accounting by Oil and Gas Producers.

Facts: In ASR 300, the Commission announced that it would allow registrants to change methods of accounting for oil and gas producing activities so long as such changes were in accordance with GAAP. Accordingly, the Commission stated that changes from the full cost method to the successful efforts method would not require a preferability letter because of the position expressed in Statement 25 that successful efforts is considered preferable by the FASB for accounting changes. Changes to full cost, however, would require justification by the company making the change and filing of a preferability letter from the company's independent accountants.

1. First-time Registrants

Question: How does this policy apply to a nonpublic company which changes its accounting method in connection with a forthcoming public offering or initial registration under either the 1933 Act or 1934 Act?

Interpretive Response: The Commission's policy that first time registrants may change their previous accounting methods without filing a preferability letter is applicable. Therefore, such a company may change to the full cost method without filing a preferability letter.

2. Consistent Use of Accounting Methods Within a Consolidated Entity

Facts: Rule 4-10(c) of Regulation S-X states that "a reporting entity that follows the full cost method shall apply that method to all of its operations and to the operations of its subsidiaries."

Question 1: If a parent company uses the successful efforts method of accounting for oil and gas producing activities, may a subsidiary of the parent use the full cost method?

Interpretive Response: No. The use of different methods of accounting in the consolidated financial statements by a parent company and its subsidiary would be inconsistent with the full cost requirement that a parent and its subsidiaries all use the same method of accounting.

The staff's general policy is that an enterprise should account for all its like operations in the same manner. However, Rule 4-10 of Regulation S-X provides that oil and gas companies with cost-of-service oil and gas properties may give effect to any differences resulting from the ratemaking process, including regulatory requirements that a certain accounting method be used for the cost-of-service properties.

Question 2: Must the method of accounting (full cost or successful efforts) followed by a registrant for its oil and gas producing activities also be followed by any fifty percent or less owned companies in which the registrant carries its investment on the equity method (equity investees)?

Interpretive Response: No. Conformity of accounting methods between a registrant and its equity investees, although desirable, may not be practicable and thus is not required. However, if a registrant proportionately consolidates its equity investees, it will be necessary to present them all on the same basis of accounting.

## · · > SAB Topic 12.E, Financial Statements of Royalty Trusts

### **932-10-S99-4** The following is the text of of SAB Topic 12.E, Financial Statements of Royalty Trusts.

Facts: Several oil and gas exploration and production companies have created "royalty trusts." Typically, the creating company conveys a net profits interest in certain of its oil and gas properties to the newly created trust and then distributes units in the trust to its shareholders. The trust is a passive entity which is prohibited from entering into or engaging in any business or commercial activity of any kind and from acquiring any oil and gas lease, royalty or other mineral interest. The function of the trust is to serve as an agent to distribute the income from the net profits interest. The amount to be periodically distributed to the unitholders is defined in the trust agreement and is typically determined based on the cash received from the net profits interest less expenses of the trustee. Royalty trusts have typically reported their earnings on the basis of cash distributions to unitholders. The net profits interest paid to the trust for any month is based on production from a preceding month; therefore, the method of accounting followed by the trust for the net profits interest income is different from the creating company's method of accounting for the related revenue.

Question: Will the staff accept a statement of distributable income which reflects the amounts to be distributed for the period in question under the terms of the trust agreement in lieu of a statement of income prepared under GAAP?

Interpretive Response: Yes. Although financial statements filed with the Commission are normally required to be prepared in accordance with GAAP, the Commission's rules provide that other presentations may be acceptable in unusual situations. Since the operations of a royalty trust are limited to the distribution of income from the net profits interests contributed to it, the staff believes that the item of primary importance to the reader of the financial statements of the royalty trust is the amount of the cash distributions to the unitholders for the period reported. Should there be any change in the nature of the trust's operations due to revisions in the tax laws or other factors, the staff's interpretation would be reexamined.

A note to the financial statements should disclose the method used in determining distributable income and should also describe how distributable income as reported differs from income

determined on the basis of GAAP.

**932-10-S99-5**    [Paragraph superseded by Accounting Standards Update No. 2016-11.](#)

# 932 Extractive Activities—Oil and Gas

## 220 Income Statement—Reporting Comprehensive Income

### 00 Status

**i General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

### General

**932-220-00-1**    The following table identifies the changes made to this Subtopic.

| Paragraph                    | Action | Accounting Standards Update                                                                                                      | Date       |
|------------------------------|--------|----------------------------------------------------------------------------------------------------------------------------------|------------|
| <a href="#">932-220-05-1</a> | Added  | <a href="#">Maintenance Update 2017-19</a>  | 11/15/2017 |
| <a href="#">932-220-15-1</a> | Added  | <a href="#">Maintenance Update 2017-19</a>  | 11/15/2017 |
| <a href="#">932-220-50-1</a> | Added  | <a href="#">Maintenance Update 2017-19</a>  | 11/15/2017 |
| <a href="#">932-220-55-1</a> | Added  | <a href="#">Maintenance Update 2017-19</a>  | 11/15/2017 |

## 05 Overview and Background

**i General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

**932-220-05-1** This Subtopic provides guidance relating to income statements for oil- and gas- producing activities.

## 15 Scope and Scope Exceptions

**i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

### General

#### > Overall Guidance

**932-220-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).

## 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

### General

**932-220-50-1** Incremental industry disclosure requirements relating to the income statement have been kept with other incremental industry disclosure requirements, see paragraphs [932-235-50-21 through 50-28](#).

## 55 Implementation Guidance and Illustrations

**General Note:**The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

**932-220-55-1** An illustration of the results of operations can be found in Example 4 (see paragraph [932-235-55-5](#)).

932 Extractive Activities—Oil and Gas  
225 Income Statement

00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

Status

**932-225-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                    | Action     | Accounting Standards Update                | Date       |
|------------------------------|------------|--------------------------------------------|------------|
| <a href="#">932-225-05-1</a> | Superseded | <a href="#">Maintenance Update 2017-19</a> | 11/15/2017 |
| <a href="#">932-225-15-1</a> | Superseded | <a href="#">Maintenance Update 2017-19</a> | 11/15/2017 |
| <a href="#">932-225-50-1</a> | Superseded | <a href="#">Maintenance Update 2017-19</a> | 11/15/2017 |
| <a href="#">932-225-55-1</a> | Superseded | <a href="#">Maintenance Update 2017-19</a> | 11/15/2017 |

05 Overview and Background



- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**932-225-05-1** [Paragraph superseded by Maintenance Update 2017-19.](#)

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

**932-225-15-1** [Paragraph superseded by Maintenance Update 2017-19.](#)

# 50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

**932-225-50-1** [Paragraph superseded by Maintenance Update 2017-19.](#)

# 55 Implementation Guidance and Illustrations

**i General Note:**The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

## General

**932-225-55-1** [Paragraph superseded by Maintenance Update 2017-19.](#)

# 932 Extractive Activities—Oil and Gas 235 Notes to Financial Statements

## 00 Status

**i General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

## General

**932-235-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                        | Action  | Accounting Standards Update                             | Date       |
|----------------------------------|---------|---------------------------------------------------------|------------|
| <a href="#">Contract</a>         | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| <a href="#">Customer</a>         | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| <a href="#">Exploratory Well</a> | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |

|                                         |            |                                                         |            |
|-----------------------------------------|------------|---------------------------------------------------------|------------|
| Oil- and Gas-Producing Activities       | Added      | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| Production                              | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| Properties                              | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| Proved Developed Oil and Gas Reserves   | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| Proved Oil and Gas Reserves             | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| Proved Undeveloped Oil and Gas Reserves | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| Significant Activities                  | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-1                            | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-1A through 50-1C             | Added      | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-2                            | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-2A                           | Added      | <a href="#">Accounting Standards Update No. 2023-06</a> | 10/09/2023 |
| 932-235-50-4                            | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-6                            | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-6A                           | Added      | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-6B                           | Added      | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-7 through 50-9               | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-11                           | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-11A                          | Added      | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-11B                          | Added      | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-15                           | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-16                           | Superseded | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-19                           | Amended    | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |

|                           |         |                                                         |            |
|---------------------------|---------|---------------------------------------------------------|------------|
| 932-235-50-20             | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-23             | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-24             | Amended | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| 932-235-50-27             | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-28             | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-30             | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-31             | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-33             | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-35             | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-50-35A            | Added   | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| 932-235-55-2 through 55-7 | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |

## 05 Overview and Background

**General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

- 932-235-05-1** This Subtopic addresses supplemental disclosure requirements for oil and gas operations. Required disclosures include:
- a. [Proved oil and gas reserve](#) quantities (see paragraphs [932-235-50-3 through 50-11B](#))
  - b. Capitalized costs relating to oil- and gas-producing activities (see paragraphs [932-235-50-12 through 50-15](#))
  - c. Continued capitalization of [exploratory well](#) costs (see paragraphs [932-235-50-1A through 50-1B](#))

- d. Costs incurred for property acquisition, [exploration](#), and development (see paragraphs [932-235-50-17 through 50-20](#))
- e. Results of operations of oil- and gas-producing activities (see paragraphs [932-235-50-21 through 50-28](#))
- f. A standardized measure of discounted future net cash flows related to proved oil and gas reserve quantities (see paragraphs [932-235-50-29 through 50-33](#))

## 10 Objectives

- i General Note:** The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

### General

- 932-235-10-1** This Subtopic prescribes disclosures related to an entity's oil- and gas-producing activities that are considered necessary for fair presentation of the entity's financial position, results of operations, and changes in financial position in conformity with generally accepted accounting principles (GAAP). Those disclosures are only part of the information that may be needed for investment, regulatory, or national economic planning and energy policy decisions.

## 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

### General

#### > Overall Guidance

- 932-235-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).



# 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Analogous Reservoir

Analogous reservoirs, as used in [resources](#) assessments, have similar rock and fluid properties, reservoir conditions (depth, temperature, and pressure), and drive mechanisms, but are typically at a more advanced stage of development than the reservoir of interest and thus may provide concepts to assist in the interpretation of more limited data and estimation of recovery. When used to support proved reserves, *analogous reservoir* refers to a reservoir that shares all of the following characteristics with the reservoir of interest:

- a. Same geological formation (but not necessarily in pressure communication with the reservoir of interest)
- b. Same environment of deposition
- c. Similar geological structure
- d. Same drive mechanism.

Reservoir properties must, in the aggregate, be no more favorable in the analog than in the reservoir of interest.

## Conduit Debt Securities

Certain limited-obligation revenue bonds, certificates of participation, or similar debt instruments issued by a state or local governmental entity for the express purpose of providing financing for a specific third party (the conduit bond obligor) that is not a part of the state or local government's financial reporting entity. Although conduit debt securities bear the name of the governmental entity that issues them, the governmental entity often has no obligation for such debt beyond the resources provided by a lease or loan agreement with the third party on whose behalf the securities are issued. Further, the conduit bond obligor is responsible for any future financial reporting requirements.

## Consolidated Financial Statements

The financial statements of a consolidated group of entities that include a parent and all its subsidiaries presented as those of a single economic entity.

## Contract

An agreement between two or more parties that creates enforceable rights and obligations.

## Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

### Deterministic Estimate

The method of estimating [reserves](#) or [resources](#) is called deterministic when a single value for each parameter (from the geoscience, engineering, or economic data) in the reserves calculation is used in the reserves estimation procedure.

### Development Project

A development project is the means by which petroleum [resources](#) are brought to the status of [economically producible](#). As examples, the development of a single reservoir or field, an incremental development in a producing field, or the integrated development of a group of several fields and associated facilities with a common ownership may constitute a development project.

### Development Well

A development well is a well drilled within the proved area of an oil or gas reservoir to the depth of a stratigraphic horizon known to be productive.

### Economically Producible

The term *economically producible*, as it relates to a [resource](#), means a resource that generates revenue that exceeds, or is reasonably expected to exceed, the costs of the operation. The value of the products that generate revenue shall be determined at the terminal point of [oil- and gas-producing activities](#).

### Estimated Ultimate Recovery

Estimated ultimate recovery is the sum of [reserves](#) remaining as of a given date and cumulative production as of that date.

### Exploration

Exploration involves both of the following:

- a. Identifying areas that may warrant examination
- b. Examining specific areas that are considered to have prospects of containing oil and gas reserves, including drilling exploratory wells and exploratory-type stratigraphic test wells.

### Exploratory Well

An exploratory well is a well drilled to find a new field or to find a new reservoir in a field previously found to be productive of oil or gas in another reservoir. Generally, an exploratory well is any well that is not a [development well](#), a [service well](#), or a [stratigraphic test well](#).

### Mineral Interests

See [Properties](#).

### Noncontrolling Interest

The portion of equity (net assets) in a subsidiary not attributable, directly or indirectly, to a parent. A noncontrolling interest is sometimes called a minority interest.

## Oil- and Gas-Producing Activities

Paragraph [932-10-15-2A](#) defines the term *oil- and gas-producing activities*.

## Parent

An entity that has a controlling financial interest in one or more subsidiaries. (Also, an entity that is the primary beneficiary of a variable interest entity.)

## Probabilistic Estimate

The method of estimation of [reserves](#) or [resources](#) is called probabilistic when the full range of values that could reasonably occur for each unknown parameter (from the geoscience and engineering data) is used to generate a full range of possible outcomes and their associated probabilities of occurrence.

## Production

Production involves lifting the crude oil and natural gas to the surface, extracting [saleable hydrocarbons](#), in the solid, liquid, or gaseous state from oil sands, shale, coalbeds, or other nonrenewable natural resources that are intended to be upgraded into synthetic oil or gas, gathering, treating, field processing (as in the case of processing gas to extract liquid hydrocarbons), and field storage.

The oil and gas production function shall be regarded as ending at a *terminal point*, which is the outlet valve on the lease or field storage tank. If unusual physical or operational circumstances exist, it may be appropriate to regard the terminal point for the production function as:

- a. The first point at which oil, gas, or gas liquids, natural or synthetic, are delivered to a main pipeline, a common carrier, a refinery, or a marine terminal
- b. In the case of natural resources that are intended to be upgraded into synthetic oil or gas, if those natural resources are delivered to a purchaser before upgrading, the first point at which the natural resources are delivered to a main pipeline, a common carrier, a refinery, a marine terminal, or a facility that upgrades such natural resources into synthetic oil or gas.

## Properties

Mineral interests in properties (hereinafter referred to as properties), which include all of the following:

- a. Fee ownership or a lease
- b. Concession
- c. Other interest representing the legal right to produce or a revenue interest in the production of oil or gas subject to such terms as may be imposed by the conveyance of that interest.

Properties also include:

- a. Royalty interests
- b. Production payments payable in oil or gas
- c. Other nonoperating interests in properties operated by others.

Properties include those agreements with foreign governments or authorities under which an entity participates in the operation of the related properties or otherwise serves as producer of the underlying [reserves](#) (see paragraph [932-235-50-7](#)); but properties do not include other supply agreements or contracts that represent the right to purchase (as opposed to extract) oil and gas.

Properties are classified as [proved properties](#) or [unproved properties](#).

## Proved Area

A proved area is the part of a property to which proved reserves have been specifically attributed.

## Proved Developed Oil and Gas Reserves

Proved developed oil and gas reserves are proved **reserves** that can be expected to be recovered:

- a. Through existing wells with existing equipment and operating methods or in which the cost of the required equipment is relatively minor compared with the cost of a new well
- b. Through installed extraction equipment and infrastructure operational at the time of the reserves estimate if the extraction is by means not involving a well.

## Proved Oil and Gas Reserves

Proved oil and gas reserves are those quantities of oil and gas, which, by analysis of geoscience and engineering data, can be estimated with **reasonable certainty** to be **economically producible** from a given date forward, from known **reservoirs**, and under existing economic conditions, operating methods, and government regulation before the time at which contracts providing the right to operate expire, unless evidence indicates that renewal is reasonably certain, regardless of whether the estimate is a **deterministic estimate** or **probabilistic estimate**.

The project to extract the hydrocarbons must have commenced, or the operator must be reasonably certain that it will commence the project, within a reasonable time.

The area of the reservoir considered as proved includes all of the following:

- a. The area identified by drilling and limited by fluid contacts, if any
- b. Adjacent undrilled portions of the reservoir that can, with reasonable certainty, be judged to be continuous with it and to contain economically producible oil or gas on the basis of available geoscience and engineering data.

In the absence of data on fluid contacts, proved quantities in a reservoir are limited by the lowest known hydrocarbons as seen in a well penetration unless geoscience, engineering, or performance data and **reliable technology** establish a lower contact with reasonable certainty.

Where direct observation from well penetrations has defined a highest known oil elevation and the potential exists for an associated gas cap, proved oil reserves may be assigned in the structurally higher portions of the reservoir only if geoscience, engineering, or performance data and reliable technology establish the higher contact with reasonable certainty.

**Reserves** that can be produced economically through application of improved recovery techniques (including, but not limited to, fluid injection) are included in the proved classification when both of the following occur:

- a. Successful testing by a pilot project in an area of the reservoir with properties no more favorable than in the reservoir as a whole, the operation of an installed program in the reservoir or an **analogous reservoir**, or other evidence using reliable technology establishes the reasonable certainty of the engineering analysis on which the project or program was based.
- b. The project has been approved for development by all necessary parties and entities, including governmental entities.

Existing economic conditions include prices and costs at which economic producibility from a reservoir is to be determined. The price shall be the average price during the 12-month period before the ending date of the period covered by the report, determined as an unweighted arithmetic average of the first-day-of-the-month price for each month within such period, unless prices are defined by contractual arrangements, excluding escalations based upon future conditions.

## Proved Properties

Proved properties are properties with proved reserves.

### Proved Undeveloped Oil and Gas Reserves

Proved undeveloped oil and gas **reserves** are proved reserves that are expected to be recovered from new wells on undrilled acreage, or from existing wells where a relatively major expenditure is required for recompletion.

Reserves on undrilled acreage shall be limited to those directly offsetting development spacing areas that are reasonably certain of production when drilled, unless evidence using reliable technology exists that establishes **reasonable certainty** of **economic producibility** at greater distances.

Undrilled locations can be classified as having undeveloped reserves only if a development plan has been adopted indicating that they are scheduled to be drilled within five years, unless the specific circumstances, justify a longer time.

Under no circumstances shall estimates for proved undeveloped reserves be attributable to any acreage for which an application of fluid injection or other improved recovery technique is contemplated, unless such techniques have been proved effective by actual projects in the same reservoir or an **analogous reservoir**, or by other evidence using **reliable technology** establishing reasonable certainty.

### Publicly Traded Company

A business entity that has any of the following characteristics:

- a. Whose securities are traded in a public market on a domestic stock exchange or in the domestic over-the-counter market (including securities quoted only locally or regionally)
- b. That is a conduit bond obligor for **conduit debt securities** that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets)
- c. Whose financial statements are filed with a regulatory agency in preparation for the sale of any class of securities in a domestic market.

### Reasonable Certainty

If deterministic methods are used, reasonable certainty means a high degree of confidence that the quantities will be recovered. If probabilistic methods are used, there should be at least a 90 percent probability that the quantities actually recovered will equal or exceed the estimate. A high degree of confidence exists if the quantity is much more likely to be achieved than not, and, as changes due to increased availability of geoscience (geological, geophysical, and geochemical), engineering, and economic data are made to **estimated ultimate recovery** with time, reasonably certain estimated ultimate recovery is much more likely to increase or remain constant than to decrease.

### Reliable Technology

Reliable technology is a grouping of one or more technologies (including computational methods) that has been field tested and has been demonstrated to provide reasonably certain results with consistency and repeatability in the formation being evaluated or in an analogous formation.

### Reserves

Reserves are estimated remaining quantities of oil and gas and related substances anticipated to be **economically producible**, as of a given date, by application of **development projects** to known accumulations. In addition, there must exist, or there must be a reasonable expectation that there will exist, the legal right to produce or a revenue interest in the production, installed means of delivering oil and gas or related substances to market, and all permits and financing required to implement the project.



Reserves should not be assigned to adjacent reservoirs isolated by major, potentially sealing, faults until those reservoirs are penetrated and evaluated as economically producible. Reserves should not be assigned to areas that are clearly separated from a known accumulation by a nonproductive reservoir (that is, absence of reservoir, structurally low reservoir, or negative test results). Such areas may contain prospective [resources](#) (that is, potentially recoverable resources from undiscovered accumulations).

## Reservoir

A reservoir is a porous and permeable underground formation containing a natural accumulation of producible oil or gas that is confined by impermeable rock or water barriers and is individual and separate from other reservoirs.

## Resources

Resources are quantities of oil and gas estimated to exist in naturally occurring accumulations. A portion of the resources may be estimated to be recoverable, and another portion may be considered to be unrecoverable. Resources include both discovered accumulations and undiscovered accumulations.

## Saleable Hydrocarbons

Hydrocarbons that are saleable in the state in which the hydrocarbons are delivered.

## Service Well

A service well is a well drilled or completed for the purpose of supporting production in an existing field. Wells in this class are drilled for the following specific purposes: gas injection (natural gas, propane, butane, or flue gas), water injection, steam injection, air injection, salt-water disposal, water supply for injection, observation, or injection for in-situ combustion.

## Significant Oil- and Gas-Producing Activities

An entity is regarded as having significant [oil- and gas-producing activities](#) if it satisfies any of the following criteria. The criteria shall be applied separately for each year for which a complete set of annual financial statements is presented.

- a. Revenues from oil- and gas-producing activities, as defined in paragraph [932-235-50-24](#) (including both sales to unaffiliated customers and sales or transfers to the entity's other operations), are 10 percent or more of the combined revenues (sales to unaffiliated customers and sales or transfers to the entity's other operations) of all of the entity's industry segments. An industry segment is a component of an entity engaged in providing a product or service or a group of related products or services primarily to external customers (that is, customers outside the entity) for a profit.
- b. Results of operations for oil- and gas-producing activities, including equity earnings or losses from oil- and gas- producing activities of equity method investees and excluding the effect of income taxes, are 10 percent or more of the greater of the following:
  1. The combined operating profit (including equity earnings) of all industry segments that did not incur an operating loss
  2. The combined operating loss (including equity losses) of all industry segments that did incur an operating loss.
- c. The identifiable assets of oil- and gas-producing activities (tangible and intangible entity assets that are used by oil- and gas-producing activities, including an allocated portion of assets used jointly with other operations and the investment balance in the oil- and gas-producing activities of

equity method investees) are 10 percent or more of the assets of the entity, excluding assets used exclusively for general corporate purposes.

### Stratigraphic Test Well

A stratigraphic test is a drilling effort, geologically directed, to obtain information pertaining to a specific geologic condition. Such wells customarily are drilled without the intention of being completed for hydrocarbon production. This classification also includes tests identified as core tests and all types of expendable holes related to hydrocarbon exploration. Stratigraphic tests are classified as *exploratory-type* if not drilled in a [proved area](#) or *development-type* if drilled in a proved area.

### Subsidiary

An entity, including an unincorporated entity such as a partnership or trust, in which another entity, known as its parent, holds a controlling financial interest. (Also, a variable interest entity that is consolidated by a primary beneficiary.)

### Support Equipment and Facilities

Support equipment and facilities used in oil- and gas-producing activities, such as seismic equipment, drilling equipment, construction and grading equipment, vehicles, repair shops, warehouses, supply points, camps, and division, district, or field offices.

### Unproved Properties

Unproved properties are properties with no proved reserves.

## 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

 [Related Proposed ASUs](#)

### > All Entities

**932-235-50-1** All entities engaged in [oil- and gas-producing activities](#) shall disclose in their financial statements the method of accounting for costs incurred in those activities and the manner of disposing of capitalized costs relating to those activities.

**932-235-50-1A** An entity that has oil- and gas-producing activities also shall disclose, with complete sets of annual financial statements, information about continued capitalization of [exploratory well](#) costs (see the following paragraph). That disclosure is not considered to be supplementary information.

**932-235-50-1B** An entity shall make the following disclosures in the notes to the annual financial statements to provide information for users of financial statements about management's application of judgment in its evaluation of a project's capitalized exploratory well costs. These disclosures are not required routinely in interim financial statements; however, interim financial statements shall include information about significant changes from the information presented in the most recent annual financial statements. Any impairment of capitalized exploratory well costs that were capitalized for a period of greater than one year after the completion of drilling at the most recent annual balance sheet date shall be considered significant for purposes of determining whether the change shall be disclosed in interim financial statements. All of the following disclosures are required:

- a. The amount of capitalized exploratory well costs that is pending the determination of proved reserves. An entity also shall separately disclose for each annual period that an income statement is presented changes in those capitalized exploratory well costs resulting from all of the following:
  1. Additions to capitalized exploratory well costs that are pending the determination of proved reserves
  2. Capitalized exploratory well costs that were reclassified to wells, equipment, and facilities based on the determination of proved reserves
  3. Capitalized exploratory well costs that were charged to expense.

This disclosure shall not include amounts that were capitalized and subsequently expensed in the same annual period.

b. The amount of exploratory well costs that have been capitalized for a period of greater than one year after the completion of drilling at the most recent balance sheet date and the number of projects for which those costs relate. Additionally, for exploratory well costs that have been capitalized for periods greater than one year at the most recent balance sheet date, an entity shall provide an aging of those amounts by year, or by using a range of years, and the number of projects to which those costs relate.

c. For exploratory well costs that continue to be capitalized for more than one year after the completion of drilling at the most recent balance sheet date, a description of the projects and the activities that the entity has undertaken to date in order to evaluate the reserves and the projects, and the remaining activities required to classify the associated reserves as proved.

## > Publicly Traded Companies

**932-235-50-1C** An entity is not required to make the disaggregated disclosures about its equity method investments required by paragraphs [932-235-50-2 through 50-36](#) if both of the following conditions are met:

- a. The entity's equity method investments were acquired before December 31, 2009.
- b. After making an exhaustive effort, the entity is unable to obtain the information necessary to provide the required disclosures.

If the preceding conditions are met, the entity shall continue to provide the disclosures required by those paragraphs in the aggregate and it shall disclose why it was not able to obtain the disaggregated information. This paragraph applies only as long as the entity continues to be unable to obtain the necessary information.

**932-235-50-2** [Publicly traded companies](#) that have [significant oil- and gas-producing activities](#) shall disclose with complete sets of annual financial statements the information required by the remainder of this Section. Those disclosures relate to the following and are considered to be supplementary information:

- a. [Proved oil and gas reserve](#) quantities (see paragraphs [932-235-50-3 through 50-11B](#))
- b. Capitalized costs relating to oil- and gas-producing activities (see paragraphs [932-235-50-12 through 50-15](#))

- c. [Subparagraph superseded by Accounting Standards Update No. 2010-03.](#)
- d. Costs incurred for property acquisition, [exploration](#), and development activities (see paragraphs [932-235-50-17 through 50-20](#))
- e. Results of operations for oil- and gas-producing activities (see paragraphs [932-235-50-21 through 50-28](#))
- f. A standardized measure of discounted future net cash flows relating to proved oil and gas reserve quantities (see paragraphs [932-235-50-29 through 50-33](#))
- g. Changes in the standardized measure of discounted future net cash flows (see paragraphs [932-235-50-34 through 50-36](#)).

**932-235-50-2A** PENDING CONTENT 

**Transition Date:**  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

For disclosure requirements in paragraphs [932-235-50-3 through 50-36](#), an entity shall disclose all of the following:

- a. Information that relates to annual periods for each annual period for which a statement of comprehensive income is required
- b. Information required as of the end of an annual period for which a balance sheet is required
- c. Information required as of the beginning of an annual period for each annual period for which a statement of comprehensive income is required.

## · &gt; Proved Oil and Gas Reserve Quantities

**932-235-50-3** See Example 1 (paragraph [932-235-55-2](#)) for an illustration of these requirements.

**932-235-50-4** Net quantities of an entity's interests in proved oil and gas reserves, [proved developed oil and gas reserves](#), and [proved undeveloped oil and gas reserves](#) of each of the following shall be disclosed as of the beginning and the end of the year:

- a. Crude oil, including condensate and natural gas liquids (If significant, the reserve quantity information shall be disclosed separately for natural gas liquids.)
- b. Natural gas
- c. Synthetic oil
- d. Synthetic gas
- e. Other nonrenewable natural resources that are intended to be upgraded into synthetic oil and gas.

Net quantities of reserves include those relating to the entity's operating and nonoperating interests in [properties](#). Quantities of reserves relating to royalty interests owned shall be included in net quantities if the necessary information is available to the entity; if reserves relating to royalty interests owned are not included because the information is unavailable, that fact and the entity's share of oil and gas produced for those royalty interests shall be disclosed for the year. Net quantities shall not include reserves relating to interests of others in properties owned by the entity.

**932-235-50-5** Changes in the net quantities of an entity's proved reserves of oil and of gas during the year shall be disclosed. Changes resulting from all of the following shall be shown separately with appropriate explanation of significant changes:

- a. Revisions of previous estimates. Revisions represent changes in previous estimates of proved reserves, either upward or downward, resulting from new information (except for an increase in proved acreage) normally obtained from development drilling and [production](#) history or resulting from a change in economic factors.
- b. Improved recovery. Changes in reserve estimates resulting from application of improved recovery techniques shall be shown separately, if significant. If not significant, such changes shall be included in revisions of previous estimates.
- c. Purchases of minerals in place.
- d. Extensions and discoveries. Additions to proved reserves that result from either of the following:
  - 1. Extension of the proved acreage of previously discovered (old) reservoirs through additional drilling in periods subsequent to discovery
  - 2. Discovery of new fields with proved reserves or of new reservoirs of proved reserves in old fields.
- e. Production.
- f. Sales of minerals in place.

**932-235-50-6** The disclosures of net quantities of proved reserves of oil and of gas and changes in them required by paragraphs [932-235-50-4 through 50-5](#) shall be presented in the aggregate and separately by geographic area (see the following paragraph) in which significant reserves (see paragraph [932-235-50-6B](#)) are located. If an entity's proved reserves of oil and of gas are located entirely within its home country, the entity shall disclose that fact.

**932-235-50-6A** Any one of the following may constitute a geographic area, as appropriate for meaningful disclosure in the circumstances:

- a. An individual country
- b. A group of countries within a continent
- c. A continent.

**932-235-50-6B** In determining whether reserves are significant:

- a. An entity shall consider all facts and circumstances and not solely the quantity of reserves.
- b. At a minimum, net quantities of reserves shall be presented in the aggregate and separately by geographic area and for each country containing 15 percent or more of an entity's proved reserves, expressed on an oil-equivalent-barrels basis.

Reserves shall include an entity's proportionate share of reserves of equity method investees.

**932-235-50-7** Net quantities disclosed in conformity with paragraphs [932-235-50-4 through 50-6B](#) shall not include oil or gas subject to purchase under long-term supply, purchase, or similar agreements and contracts, including such agreements with governments or authorities. However, quantities of oil or gas subject to such agreements with governments or authorities as of the end of the year, and the net quantity of oil or gas received under the agreements during the year, shall be separately disclosed if the entity participates in the operation of the properties in which the oil or gas is located or otherwise serves as the producer of those reserves, as opposed, for example, to being an independent purchaser, broker, dealer, or importer.

**932-235-50-8** In determining the reserve quantities to be disclosed in conformity with paragraphs [932-235-50-4 through 50-7](#):

- a. If the entity issues [consolidated financial statements](#), 100 percent of the net reserve quantities attributable to the [parent](#) and 100 percent of the net reserve quantities attributable to



its consolidated [subsidiaries](#) (whether or not wholly owned) shall be included. If a significant portion of those reserve quantities at the end of the year is attributable to a consolidated subsidiary or subsidiaries in which there is a significant [noncontrolling interest](#), that fact and the approximate portion shall be disclosed.

b. If the entity's financial statements include investments that are proportionately consolidated, the entity's reserve quantities shall include its proportionate share of the investees' net oil and gas reserves.

c. If the entity's financial statements include investments that are accounted for by the equity method, the entity shall separately disclose the net reserve quantities required by paragraphs [932-235-50-4 through 50-7](#) for both of the following:

1. Consolidated entities
2. The entity's share of equity method investees.

The entity may, in addition to separate disclosure, disclose a combined total for items (1) and (2) for each of the quantities required to be disclosed by this paragraph.

**932-235-50-9** In reporting reserve quantities and changes in them, oil and synthetic oil reserves and natural gas liquids reserves shall be stated in barrels, and gas and synthetic gas reserves in cubic feet.

**932-235-50-10** If important economic factors or significant uncertainties affect particular components of an entity's proved reserves, explanation shall be provided. Examples include unusually high expected development or lifting costs, the necessity to build a major pipeline or other major facilities before production of the reserves can begin, and contractual obligations to produce and sell a significant portion of reserves at prices that are substantially below those at which the oil or gas could otherwise be sold in the absence of the contractual obligation.

**932-235-50-11** An entity need not disclose the proved reserves in either of the following circumstances:

- a. The government of a country containing reserves prohibits disclosing reserves in that country.
- b. The government of a country containing reserves prohibits disclosing a particular field, and disclosing reserves in that country would have the effect of disclosing reserves in particular fields.

**932-235-50-11A** If a country's government prohibits disclosing the reserves in that country but does not prohibit including those reserves as part of a more aggregated total quantity of reserves (for example, the quantity of reserves disclosed for a group of countries within a continent or a continent), the entity shall include the reserves located in that country in total reserves disclosed for the most disaggregated geographic area that does not violate specific government prohibitions.

**932-235-50-11B** If a government restricts the disclosure of estimated reserves for properties under its authority, or of amounts under long-term supply, purchase, or similar agreements or contracts, or if the government requires the disclosure of reserves other than proved, the entity shall indicate that the disclosed reserve estimates or amounts do not include figures for the named country or that reserve estimates include reserves other than proved.

## · > Capitalized Costs

**932-235-50-12** See Example 2 (paragraph [932-235-55-3](#)) for an illustration of these requirements.

**932-235-50-13** The aggregate capitalized costs relating to an entity's oil- and gas-producing activities (see paragraph [932-360-25-4](#)) and the aggregate related accumulated depreciation, depletion, amortization, and valuation allowances shall be disclosed as of the end of the year. Paragraph [360-10-50-1](#) requires disclosure of balances of major classes of depreciable assets, by nature or function. Thus, separate

disclosure of capitalized costs for asset categories in paragraph [932-360-25-4](#) or for a combination of those categories often may be appropriate.

**932-235-50-14** If significant, capitalized costs of [unproved properties](#) shall be separately disclosed. Capitalized costs of [support equipment and facilities](#) may be disclosed separately or included, as appropriate, with capitalized costs of proved and unproved properties.

**932-235-50-15** If the entity's financial statements include investments that are accounted for by the equity method, the entity shall separately disclose the amounts required by paragraphs [932-235-50-13 through 50-14](#) for both of the following:

- a. Consolidated entities
- b. The entity's share of equity method investees.

The entity shall not disclose the combined total of items (a) and (b).

**932-235-50-16** [Paragraph superseded by Accounting Standards Update No. 2010-03.](#)

## · > Costs Incurred for Property Acquisition, Exploration, and Development Activities

**932-235-50-17** See Example 3 (paragraph [932-235-55-4](#)) for an illustration of these requirements.

**932-235-50-18** All of the following types of costs for the year shall be disclosed (whether those costs are capitalized or charged to expense at the time they are incurred under the provisions of paragraphs [932-360-25-7 through 25-14](#), [932-360-40-2](#), and [932-720-25-1](#)):

- a. Property acquisition costs
- b. Exploration costs
- c. Development costs.

As defined in paragraphs [932-360-25-9](#) and [932-360-25-13](#), exploration and development costs include depreciation of support equipment and facilities used in those activities and do not include the expenditures to acquire support equipment and facilities.

**932-235-50-19** The amounts in the preceding paragraph shall be disclosed separately for each of the geographic areas for which reserve quantities are disclosed in accordance with paragraphs [932-235-50-6 through 50-6B](#). If significant costs have been incurred to acquire [mineral interests](#) that have proved reserves, those costs shall be disclosed separately from the costs of acquiring unproved properties.

**932-235-50-20** If the entity's financial statements include investments that are accounted for by the equity method, the entity shall separately disclose the amounts required by paragraphs [932-235-50-18 through 50-19](#) for both of the following:

- a. Consolidated entities
- b. The entity's share of equity method investees.

The entity shall not disclose the combined total of items (a) and (b).

## · > Results of Operations for Oil- and Gas-Producing Activities

**932-235-50-21** See Example 4 (paragraph [932-235-55-5](#)) for an illustration of these requirements.

**932-235-50-22** If oil- and gas-producing activities represent substantially all of the business activities of the reporting entity and those oil- and gas-producing activities are located substantially in a single geographic area, the information required in paragraphs [932-235-50-22 through 50-28](#) need not be disclosed if that information is provided elsewhere in the financial statements. If oil- and gas-producing activities

constitute an operating segment, as discussed in paragraphs [280-10-50-1 through 50-18](#), information about the results of operations required in paragraphs [932-235-50-22 through 50-28](#) may be included with segment information disclosed elsewhere in the financial report.

- 932-235-50-23** The results of operations for oil- and gas-producing activities shall be disclosed for the year. That information shall be disclosed in the aggregate and for each geographic area for which reserve quantities are disclosed in accordance with paragraphs [932-235-50-6 through 50-6B](#). All of the following information relating to those activities shall be presented:
- a. Revenues (see the following paragraph)
  - b. Production (lifting) costs
  - c. Exploration expenses (Generally, only entities utilizing the successful efforts accounting method will have exploration expenses to disclose, since entities utilizing the full cost accounting method generally capitalize all exploration costs when incurred and subsequently reflect those costs in the determination of earnings through depreciation, depletion, and amortization, and valuation provisions.)
  - d. Depreciation, depletion, and amortization, and valuation provisions
  - e. Income tax expenses (see paragraph [932-235-50-25](#))
  - f. Results of operations for oil- and gas-producing activities (excluding corporate overhead and interest costs) (see paragraphs [932-235-50-26 through 50-27](#)).

## · · > Revenues

- 932-235-50-24** Revenues shall include sales to unaffiliated entities and sales or transfers to the entity's other operations (for example, refineries or chemical plants). Sales to unaffiliated entities may be [contracts](#) with [customers](#) within the scope of Topic [606](#); see disclosure requirements in Section [606-10-50](#). Sales to unaffiliated entities and sales or transfers to the entity's other operations shall be disclosed separately. Revenues shall include sales to unaffiliated entities attributable to net working interests, royalty interests, oil payment interests, and net profits interests of the reporting entity. Sales or transfers to the entity's other operations shall be based on market prices determined at the point of delivery from the producing unit. Those market prices shall represent prices equivalent to those that could be obtained in an arm's-length transaction. Production or severance taxes shall not be deducted in determining gross revenues, but rather shall be included as part of production costs. Royalty payments and net profits disbursements shall be excluded from gross revenues.

## · · > Income Taxes

- 932-235-50-25** Income taxes shall be computed using the statutory tax rate for the period, applied to revenues less production (lifting) costs; exploration expenses; depreciation, depletion, and amortization; and valuation provisions. Calculation of income tax expenses shall reflect tax deductions and tax credits and allowances relating to the oil- and gas-producing activities that are reflected in the entity's consolidated income tax expense for the period.

## · · > Results of Operations

- 932-235-50-26** Results of operations for oil- and gas-producing activities are defined as revenues less production (lifting) costs; exploration expenses; depreciation, depletion, and amortization; valuation provisions; and income tax expenses. General corporate overhead and interest costs shall not be deducted in computing the results of operations for an entity's oil- and gas-producing activities. The disposition of interest costs that have been capitalized as part of the cost of acquiring qualifying assets used in oil- and gas-producing activities shall be the same as that of other components of those assets' costs. However, some expenses incurred at an entity's central administrative office may not be general corporate expenses, but rather may be operating expenses of oil- and gas-producing activities, and therefore shall be reported as such. The nature of an expense rather than the location of its

incurrence shall determine whether it is an operating expense. Only those expenses identified by their nature as operating expenses shall be allocated as operating expenses in computing the results of operations for oil- and gas-producing activities.

**932-235-50-27** The amounts disclosed in conformity with paragraphs [932-235-50-21 through 50-28](#) shall include an entity's interests in [proved oil and gas reserves](#) (see paragraphs [932-235-50-3 through 50-11B](#)) and in oil and gas subject to purchase under long-term supply, purchase, or similar agreements and contracts in which the entity participates in the operation of the properties on which the oil or gas is located or otherwise serves as the producer of those reserves (see paragraph [932-235-50-7](#)).

## · · > Equity Investments

**932-235-50-28** If the entity's financial statements include investments that are accounted for by the equity method, the entity shall separately disclose the amounts required by paragraphs [932-235-50-22 through 50-27](#) for both of the following:

- a. Consolidated entities
- b. The entity's share of equity method investees.

The entity shall not disclose the combined total of items (a) and (b), except that an entity may, in addition to separate disclosure, disclose the combined total of items (a) and (b) for the amounts required by paragraph [932-235-50-23\(f\)](#).

## · > Standardized Measure of Discounted Future Cash Flows

**932-235-50-29** See Example 5 (paragraph [932-235-55-6](#)) for an illustration of these requirements.

**932-235-50-30** A standardized measure of discounted future net cash flows relating to an entity's interests in both of the following shall be disclosed as of the end of the year:

- a. Proved oil and gas reserves (see paragraphs [932-235-50-3 through 50-11B](#))
- b. Oil and gas subject to purchase under long-term supply, purchase, or similar agreements and contracts in which the entity participates in the operation of the properties on which the oil or gas is located or otherwise serves as the producer of those reserves (see paragraph [932-235-50-7](#)).

The standardized measure of discounted future net cash flows relating to those two types of interests in reserves may be combined for reporting purposes.

**932-235-50-31** All of the following information shall be disclosed in the aggregate and for each geographic area for which reserve quantities are disclosed in accordance with paragraphs [932-235-50-3 through 50-11B](#):

- a. Future cash inflows. These shall be computed by applying prices used in estimating the entity's proved oil and gas reserves to the year-end quantities of those reserves. Future price changes shall be considered only to the extent provided by contractual arrangements in existence at year-end.
- b. Future development and production costs. These costs shall be computed by estimating the expenditures to be incurred in developing and producing the proved oil and gas reserves at the end of the year, based on year-end costs and assuming continuation of existing economic conditions. If estimated development expenditures are significant, they shall be presented separately from estimated production costs.
- c. Future income tax expenses. These expenses shall be computed by applying the appropriate year-end statutory tax rates, with consideration of future tax rates already legislated, to the future pretax net cash flows relating to the entity's proved oil and gas reserves, less the tax basis of the properties involved. The future income tax expenses shall give effect to tax deductions and tax credits and allowances relating to the entity's proved oil and gas reserves.



- d. Future net cash flows. These amounts are the result of subtracting future development and production costs and future income tax expenses from future cash inflows.
- e. Discount. This amount shall be derived from using a discount rate of 10 percent a year to reflect the timing of the future net cash flows relating to proved oil and gas reserves.
- f. Standardized measure of discounted future net cash flows. This amount is the future net cash flows less the computed discount.

**932-235-50-32** If a significant portion of the economic interest in the consolidated standardized measure of discounted future net cash flows reported is attributable to a consolidated subsidiary or subsidiaries in which there is a significant noncontrolling interest, that fact and the approximate portion shall be disclosed.

**932-235-50-33** If the financial statements include investments that are accounted for by the equity method, the entity shall separately disclose the amounts required by paragraphs [932-235-50-30 through 50-32](#) for both of the following:

- a. Consolidated entities
- b. The entity's share of equity method investees.

The entity may, in addition to separate disclosure, disclose a combined total for items (a) and (b) for each of the amounts required to be disclosed by this paragraph.

## · · > Changes in Standardized Discounted Cash Flows

**932-235-50-34** See Example 6 (paragraph [932-235-55-7](#)) for an illustration of these requirements.

**932-235-50-35** The aggregate change in the standardized measure of discounted future net cash flows shall be disclosed for the year. If individually significant, all of the following sources of change shall be presented separately:

- a. Net change in sales and transfer prices and in production (lifting) costs related to future production
- b. Changes in estimated future development costs
- c. Sales and transfers of oil and gas produced during the period
- d. Net change due to extensions, discoveries, and improved recovery
- e. Net change due to purchases and sales of minerals in place
- f. Net change due to revisions in quantity estimates
- g. Previously estimated development costs incurred during the period
- h. Accretion of discount
- i. Other—unspecified
- j. Net change in income taxes.

In computing the amounts under each of the above categories, the effects of changes in prices and costs shall be computed before the effects of changes in quantities. As a result, changes in quantities shall be stated at prices used in estimating proved oil and gas reserves and year-end costs. The change in computed income taxes shall reflect the effect of income taxes incurred during the period as well as the change in future income tax expenses. Therefore, all changes except income taxes shall be reported pretax.

**932-235-50-35A** If the financial statements include investments that are accounted for by the equity method, the entity shall separately disclose the amounts required by the preceding paragraph for both of the following:

- a. Consolidated entities
- b. The entity's share of equity method investees.



The entity may, in addition to separate disclosure, disclose a combined total for items (a) and (b) for each of the amounts required to be disclosed by this paragraph.

**932-235-50-36** Additional information necessary to prevent the disclosure of the standardized measure of discounted future net cash flows and changes therein from being misleading also shall be provided.

## 55 Implementation Guidance and Illustrations

**General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

### General

#### > Illustrations

**932-235-55-1** The following Examples present formats that may be used to disclose certain information required by this Subtopic when a complete set of annual financial statements is presented for one year.

#### · > Example 1: Disclosure of Reserve Quantities

**932-235-55-2** This Example illustrates the guidance in paragraphs [932-235-50-3 through 50-11B](#).

RESERVE QUANTITY INFORMATION <sup>(a)</sup>  
FOR THE YEAR ENDED DECEMBER 31, 20X0

|                                                                                                                   | Total<br>All<br>Products | Total—by Product |                  | Continent A |                  | Continent B—Country A |                  | Other Countries in<br>Continent B |                  | Other Continents /<br>Countries |                  |
|-------------------------------------------------------------------------------------------------------------------|--------------------------|------------------|------------------|-------------|------------------|-----------------------|------------------|-----------------------------------|------------------|---------------------------------|------------------|
|                                                                                                                   |                          | Oil              | Synthetic<br>Oil | Oil         | Synthetic<br>Oil | Oil                   | Synthetic<br>Oil | Oil                               | Synthetic<br>Oil | Oil                             | Synthetic<br>Oil |
| Proved developed and undeveloped reserves<br>(consolidated entities only):                                        |                          |                  |                  |             |                  |                       |                  |                                   |                  |                                 |                  |
| Beginning of year                                                                                                 | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Revisions of previous estimates                                                                                   | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Improved recovery                                                                                                 | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Purchases of minerals in place                                                                                    | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Extensions and discoveries                                                                                        | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Production                                                                                                        | (X)                      | (X)              | (X)              | (X)         | (X)              | (X)                   | (X)              | (X)                               | (X)              | (X)                             | (X)              |
| Sales of minerals in place                                                                                        | (X)                      | (X)              | (X)              | (X)         | (X)              | (X)                   | (X)              | (X)                               | (X)              | (X)                             | (X)              |
| End of year                                                                                                       | X <sup>(b)</sup>         | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Entity's share of proved developed and<br>undeveloped reserves of investees accounted<br>for by the equity method |                          |                  |                  |             |                  |                       |                  |                                   |                  |                                 |                  |
| Beginning of year                                                                                                 | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Revisions of previous estimates                                                                                   | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Improved recovery                                                                                                 | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Purchases of minerals in place                                                                                    | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Extensions and discoveries                                                                                        | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Production                                                                                                        | (X)                      | (X)              | (X)              | (X)         | (X)              | (X)                   | (X)              | (X)                               | (X)              | (X)                             | (X)              |
| Sales of minerals in place                                                                                        | (X)                      | (X)              | (X)              | (X)         | (X)              | (X)                   | (X)              | (X)                               | (X)              | (X)                             | (X)              |
| Entity's share of reserves of investees<br>accounted for by the equity method—end of<br>year                      | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |
| Total consolidated and equity interests in<br>reserves—end of year                                                | X                        | X                | X                | X           | X                | X                     | X                | X                                 | X                | X                               | X                |

Note: Total consolidated and equity interests in reserves—end of year is permitted, but is not required (see paragraph 932-235-50-8(c)).

**RESERVE QUANTITY INFORMATION**  
**FOR THE YEAR ENDED DECEMBER 31, 20X0**  
 Continued

|                                                                                                                                                                                                                                                                                                  | Total        | Total—by Product |               | Continent A |               | Continent B—Country A |               | Other Countries in Continent B |               | Other Continents / Countries |               |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|------------------|---------------|-------------|---------------|-----------------------|---------------|--------------------------------|---------------|------------------------------|---------------|
|                                                                                                                                                                                                                                                                                                  | All Products | Oil              | Synthetic Oil | Oil         | Synthetic Oil | Oil                   | Synthetic Oil | Oil                            | Synthetic Oil | Oil                          | Synthetic Oil |
| Proved developed reserves (consolidated entities only):                                                                                                                                                                                                                                          |              |                  |               |             |               |                       |               |                                |               |                              |               |
| Beginning of year                                                                                                                                                                                                                                                                                | X            | X                | X             | X           | X             | X                     | X             | X                              | X             | X                            | X             |
| End of year                                                                                                                                                                                                                                                                                      | X            | X                | X             | X           | X             | X                     | X             | X                              | X             | X                            | X             |
| Proved undeveloped reserves (consolidated entities only):                                                                                                                                                                                                                                        |              |                  |               |             |               |                       |               |                                |               |                              |               |
| Beginning of year                                                                                                                                                                                                                                                                                | X            | X                | X             | X           | X             | X                     | X             | X                              | X             | X                            | X             |
| End of year                                                                                                                                                                                                                                                                                      | X            | X                | X             | X           | X             | X                     | X             | X                              | X             | X                            | X             |
| Oil and gas subject to long-term supply, purchase, or similar agreements with governments or authorities in which the entity participates in the operation of the properties where the oil or gas is located or otherwise serves as the producer of those reserves (consolidated entities only): |              |                  |               |             |               |                       |               |                                |               |                              |               |
| Total under contract (quantity subject to agreement)—end of year                                                                                                                                                                                                                                 | X            | X                | X             | X           | X             | X                     | X             | X                              | X             | X                            | X             |
| Received during the year                                                                                                                                                                                                                                                                         | X            | X                | X             | X           | X             | X                     | X             | X                              | X             | X                            | X             |

(a) Oil and synthetic oil reserves stated in barrels.

(b) Includes reserves of X barrels attributable to a consolidated subsidiary in which there is an X percent noncontrolling interest.

**Notes:**

If applicable, reserve quantity information is required for gas and synthetic gas reserves, and other products by paragraph 932-235-50-4.

The table above discloses quantities of proved developed and undeveloped reserves, and oil and gas subject to long-term supply, purchase, or similar agreements with governments or authorities in which the entity participates in the operation of the properties where the oil or gas is located or otherwise serves as the producer of those reserves, attributable to consolidated entities (see paragraphs 932-235-50-4 and 932-235-50-7). The entity shall disclose the same information for the entity's share of reserves of investees accounted for by the equity method, if applicable (see paragraph 932-235-50-8).

The table above discloses information for the total quantity of reserves for all products, in addition to disclosing the information by product. This disclosure is permitted, but is not required (see paragraph 932-235-50-4).

## • > Example 2: Capitalized Costs

**932-235-55-3** This Example illustrates the guidance in paragraphs [932-235-50-12](#) through [50-15](#).

**CAPITALIZED COSTS RELATING TO**  
**OIL- AND GAS-PRODUCING ACTIVITIES**  
**AT DECEMBER 31, 20X0**

|                                                                                 | Consolidated | Entity's Share of Equity Method Investees |
|---------------------------------------------------------------------------------|--------------|-------------------------------------------|
| Unproved oil and gas properties                                                 | \$X          | \$X                                       |
| Proved oil and gas properties                                                   | X            | X                                         |
| Accumulated depreciation, depletion, and amortization, and valuation allowances | X            | X                                         |
| Net capitalized costs                                                           | \$X          | \$X                                       |

## • > Example 3: Costs Incurred in Oil and Gas Property Acquisition, Exploration, and Development

**932-235-55-4** This Example illustrates the guidance in paragraphs [932-235-50-17](#) through [50-20](#).

**COSTS INCURRED IN OIL AND GAS PROPERTY ACQUISITION,**  
**EXPLORATION, AND DEVELOPMENT**  
**FOR THE YEAR ENDED DECEMBER 31, 20X0**

|                                            | Total | Continent A | Continent B—Country A | Other Countries in Continent B | Other Continents / Countries |
|--------------------------------------------|-------|-------------|-----------------------|--------------------------------|------------------------------|
| Consolidated entities:                     |       |             |                       |                                |                              |
| Acquisition of properties                  |       |             |                       |                                |                              |
| Proved                                     | \$X   | \$X         | \$X                   | \$X                            | \$X                          |
| Unproved                                   | X     | X           | X                     | X                              | X                            |
| Exploration costs                          | X     | X           | X                     | X                              | X                            |
| Development costs                          | X     | X           | X                     | X                              | X                            |
| Entity's share of equity method investees: |       |             |                       |                                |                              |
| Acquisition of properties                  |       |             |                       |                                |                              |
| Proved                                     | \$X   | \$X         | \$X                   | \$X                            | \$X                          |
| Unproved                                   | X     | X           | X                     | X                              | X                            |
| Exploration costs                          | X     | X           | X                     | X                              | X                            |
| Development costs                          | X     | X           | X                     | X                              | X                            |

## • > Example 4: Results of Operations

**932-235-55-5**

This Example illustrates the guidance in paragraphs [932-235-50-21 through 50-28](#).

| RESULTS OF OPERATIONS FOR OIL- AND GAS- PRODUCING ACTIVITIES<br>FOR THE YEAR ENDED DECEMBER 31, 20X0                                            |            |             |                       |                                   |                                 |
|-------------------------------------------------------------------------------------------------------------------------------------------------|------------|-------------|-----------------------|-----------------------------------|---------------------------------|
|                                                                                                                                                 | Total      | Continent A | Continent B—Country A | Other Countries<br>in Continent B | Other Continents /<br>Countries |
| Consolidated entities:                                                                                                                          |            |             |                       |                                   |                                 |
| Revenues                                                                                                                                        |            |             |                       |                                   |                                 |
| Sales                                                                                                                                           | \$X        | \$X         | \$X                   | \$X                               | \$X                             |
| Transfers                                                                                                                                       | X          | X           | X                     | X                                 | X                               |
| Total                                                                                                                                           | <u>X</u>   | <u>X</u>    | <u>X</u>              | <u>X</u>                          | <u>X</u>                        |
| Production costs                                                                                                                                | (X)        | (X)         | (X)                   | (X)                               | (X)                             |
| Exploration expenses                                                                                                                            | (X)        | (X)         | (X)                   | (X)                               | (X)                             |
| Depreciation, depletion, and amortization, and valuation provisions                                                                             | (X)        | (X)         | (X)                   | (X)                               | (X)                             |
|                                                                                                                                                 | <u>X</u>   | <u>X</u>    | <u>X</u>              | <u>X</u>                          | <u>X</u>                        |
| Income tax expenses                                                                                                                             | (X)        | (X)         | (X)                   | (X)                               | (X)                             |
| Results of operations from producing activities (excluding corporate overhead and interest costs)                                               | <u>\$X</u> | <u>\$X</u>  | <u>\$X</u>            | <u>\$X</u>                        | <u>\$X</u>                      |
| Entity's share of equity method investees:                                                                                                      |            |             |                       |                                   |                                 |
| Revenues                                                                                                                                        |            |             |                       |                                   |                                 |
| Sales                                                                                                                                           | \$X        | \$X         | \$X                   | \$X                               | \$X                             |
| Transfers                                                                                                                                       | X          | X           | X                     | X                                 | X                               |
| Total                                                                                                                                           | <u>X</u>   | <u>X</u>    | <u>X</u>              | <u>X</u>                          | <u>X</u>                        |
| Production costs                                                                                                                                | (X)        | (X)         | (X)                   | (X)                               | (X)                             |
| Exploration expenses                                                                                                                            | (X)        | (X)         | (X)                   | (X)                               | (X)                             |
| Depreciation, depletion, and amortization, and valuation provisions                                                                             | (X)        | (X)         | (X)                   | (X)                               | (X)                             |
|                                                                                                                                                 | <u>X</u>   | <u>X</u>    | <u>X</u>              | <u>X</u>                          | <u>X</u>                        |
| Income tax expenses                                                                                                                             | (X)        | (X)         | (X)                   | (X)                               | (X)                             |
| Results of operations for producing activities (excluding corporate overhead and interest costs)                                                | <u>\$X</u> | <u>\$X</u>  | <u>\$X</u>            | <u>\$X</u>                        | <u>\$X</u>                      |
| Total consolidated and equity method investees results of operations for producing activities (excluding corporate overhead and interest costs) | <u>\$X</u> | <u>\$X</u>  | <u>\$X</u>            | <u>\$X</u>                        | <u>\$X</u>                      |

Note: Disclosure of the total consolidated and equity method investees results of operations for producing activities (excluding corporate overhead and interest costs) is permitted, but is not required (see paragraph 935-235-50-28).

· > Example 5: Standardized Measure for Discounted Future Net Cash Flows

**932-235-55-6**

This Example illustrates the guidance in paragraphs [932-235-50-29 through 50-33](#).

| STANDARDIZED MEASURE OF DISCOUNTED FUTURE NET CASH FLOWS<br>AT DECEMBER 31, 20X0                    |                           |             |                           |                                   |                                 |
|-----------------------------------------------------------------------------------------------------|---------------------------|-------------|---------------------------|-----------------------------------|---------------------------------|
|                                                                                                     | Total                     | Continent A | Continent B<br>—Country A | Other Countries in<br>Continent B | Other Continents /<br>Countries |
| Consolidated entities:                                                                              |                           |             |                           |                                   |                                 |
| Future cash inflows <sup>(a)</sup>                                                                  | \$X                       | \$X         | \$X                       | \$X                               | \$X                             |
| Future production and development costs <sup>(a)</sup>                                              | (X)                       | (X)         | (X)                       | (X)                               | (X)                             |
| Future income tax expenses <sup>(a)</sup>                                                           | (X)                       | (X)         | (X)                       | (X)                               | (X)                             |
| Future net cash flows                                                                               | X                         | X           | X                         | X                                 | X                               |
| 10% annual discount for estimated timing of cash flows                                              | (X)                       | (X)         | (X)                       | (X)                               | (X)                             |
| Standardized measure of discounted future net cash flows                                            | <u>\$X <sup>(b)</sup></u> | <u>\$X</u>  | <u>\$X</u>                | <u>\$X</u>                        | <u>\$X</u>                      |
| Entity's share of equity method investees:                                                          |                           |             |                           |                                   |                                 |
| Future cash inflows <sup>(a)</sup>                                                                  | \$X                       | \$X         | \$X                       | \$X                               | \$X                             |
| Future production and development costs <sup>(a)</sup>                                              | (X)                       | (X)         | (X)                       | (X)                               | (X)                             |
| Future income tax expenses <sup>(a)</sup>                                                           | (X)                       | (X)         | (X)                       | (X)                               | (X)                             |
| Future net cash flows                                                                               | X                         | X           | X                         | X                                 | X                               |
| 10% annual discount for estimated timing of cash flows                                              | (X)                       | (X)         | (X)                       | (X)                               | (X)                             |
| Standardized measure of discounted future net cash flows                                            | <u>\$X</u>                | <u>\$X</u>  | <u>\$X</u>                | <u>\$X</u>                        | <u>\$X</u>                      |
| Total consolidated and equity interests in the standardized measure of discounted future cash flows | <u>\$X</u>                | <u>\$X</u>  | <u>\$X</u>                | <u>\$X</u>                        | <u>\$X</u>                      |

(a) Future net cash flows were computed using prices used in estimating the entity's (or the investee's) proved oil and gas reserves, and year-end costs, and statutory tax rates (adjusted for tax deductions) that relate to existing proved oil and gas reserves. This includes those mineral interests related to long-term supply agreements with governments for which the entity (or the investee) participates in the operation of the related properties or otherwise serves as the producer of the reserves, but does not include other supply arrangements or contracts that represent the right to purchase (as opposed to extract) oil and gas (see paragraph 932-235-50-7).

(b) Includes \$X attributable to a consolidated subsidiary in which there is an X percent noncontrolling interest.

Note: Disclosure of total consolidated and equity interests in the standardized measure of discounted future cash flows is permitted, but is not required (see paragraph 935-235-50-33).

· > Example 6: Changes in the Standardized Measure for Discounted Cash Flows

**932-235-55-7** This Example illustrates the guidance in paragraphs [932-235-50-34](#) through [50-35A](#).

| CHANGES IN THE STANDARDIZED MEASURE FOR DISCOUNTED CASH FLOWS<br>FOR THE YEAR ENDED DECEMBER 31, 20X0                                                          |              |                                                 |                                                                        |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|-------------------------------------------------|------------------------------------------------------------------------|
|                                                                                                                                                                | Consolidated | Entity's Share of<br>Equity Method<br>Investees | Total Consolidated and<br>Entity's Share of Equity<br>Method Investees |
| Net change in sales and transfer prices<br>and in production (lifting) costs related<br>to future production                                                   | \$X          | \$X                                             | \$X                                                                    |
| Changes in estimated future<br>development costs                                                                                                               | X            | X                                               | X                                                                      |
| Sales and transfers of oil and gas<br>produced during the period                                                                                               | (X)          | (X)                                             | (X)                                                                    |
| Net change due to extensions,<br>discoveries, and improved recovery                                                                                            | X            | X                                               | X                                                                      |
| Net change due to purchases and<br>sales of minerals in place                                                                                                  | X            | X                                               | X                                                                      |
| Net change due to revisions in quantity<br>estimates                                                                                                           | X            | X                                               | X                                                                      |
| Previously estimated development<br>costs incurred during the period                                                                                           | X            | X                                               | X                                                                      |
| Accretion of discount                                                                                                                                          | X            | X                                               | X                                                                      |
| Other—unspecified                                                                                                                                              | X            | X                                               | X                                                                      |
| Net change in income taxes                                                                                                                                     | X            | X                                               | X                                                                      |
| Aggregate change in the standardized<br>measure of discounted future net cash<br>flows for the year                                                            | X            | X                                               | X                                                                      |
| Note: Disclosure of total consolidated and entity's share of equity method investees amounts is permitted, but is not required (see paragraph 935-235-50-35A). |              |                                                 |                                                                        |

## S00 Status

**General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

### General

|                      |                                                                   |         |                                                         |
|----------------------|-------------------------------------------------------------------|---------|---------------------------------------------------------|
| <b>932-235-S00-1</b> | The following table identifies the changes made to this Subtopic. |         |                                                         |
|                      | Paragraph                                                         | Action  | Accounting Standards Update                             |
|                      | <a href="#">932-235-S99-1</a>                                     | Amended | <a href="#">Accounting Standards Update No. 2012-03</a> |
|                      |                                                                   |         | Date                                                    |
|                      |                                                                   |         | 08/27/2012                                              |

## S50 Disclosure

**General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

### > Disclosures Related to Oil- and Gas-Producing Activities

#### · > Limited Partnerships

**932-235-S50-1** See paragraph [932-235-S99-1](#), SAB Topic 12.A.3.c, for SEC Staff views on disclosures related to oil- and gas-producing activities to be provided by limited partnerships in Form 10-K.

**932-235-S50-2** See paragraph [932-235-S99-1](#), SAB Topic 12.A.3.d, for SEC Staff views on disclosures related to the general partner in the registration statement of the limited partnership.

#### · > Rate-Regulated Entities

**932-235-S50-3** See paragraph [932-235-S99-1](#), SAB Topic 12.A.3.e, for SEC Staff views on disclosures for rate-regulated entities.

## S99 SEC Materials

**General Note:** As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

## General

### > SEC Staff Guidance

#### · > Staff Accounting Bulletins

· · > SAB Topic 12.A, Accounting Series Release 257—Requirements for Financial Accounting and Reporting Practices for Oil and Gas Producing Activities



... > SAB Topic 12.A.3, Disclosure of Reserve Information

**932-235-S99-1** The following is the text of SAB Topic 12.A.3, Disclosure of Reserve Information.

c. Limited partnership 10-K reports.

Facts: Securities Act Industry Guide 2 contains an exemption from the requirements of the Guide to disclose certain information relating to oil and gas operations for "limited partnerships or joint ventures that conduct, operate, manage, or report upon oil and gas drilling income programs which acquire properties either for drilling and production, or for production of oil, gas, or geothermal steam."

Limited partnership agreements often contain buy-out provisions under which the general partner agrees to purchase limited partnership interests that are offered for sale, based upon a specified valuation formula. Because of these arrangements, the requirements for disclosure of reserve value information may be of little significance to the limited partners.

Question: Must the financial statements of limited partnerships included in reports on Form 10-K contain the disclosures of estimated future net revenues, present values and changes therein, and supplemental summary of oil and gas activities specified by in FASB ASC paragraphs [932-235-50-23 through 50-36](#) (Extractive Activities—Oil and Gas Topic)?

Interpretive Response: The staff will not take exception to the omission of these disclosures in a limited partnership Form 10-K if reserve value information is available to the limited partners pursuant to the partnership agreement (even though the valuations may be computed differently and may be as of a date other than year end). However, the staff will require all of the information listed in FASB ASC paragraphs [932-235-50-23 through 50-36](#) for partnerships which are the subject of a merger or exchange offer under which various limited partnerships are to be combined into a single entity.

e. Rate regulated companies.

Question: If a company has cost-of-service oil and gas producing properties, how should they be treated in the supplemental disclosures of reserve quantities and related future net revenues provided pursuant to FASB ASC paragraphs [932-235-50-29 through 50-36](#)?

Interpretive Response: Rule 4-10 provides that registrants may give effect to differences arising from the ratemaking process for cost-of-service oil and gas properties. Accordingly, in these circumstances, the staff believes that the company's supplemental reserve quantity disclosures should indicate separately the quantities associated with properties subject to cost-of-service ratemaking, and that it is appropriate to exclude those quantities from the future net revenue disclosures. The company should also disclose the nature and impact of its cost-of-service ratemaking, including the unamortized cost included in the balance sheet.

## 932 Extractive Activities—Oil and Gas 270 Interim Reporting

### 05 Overview and Background

**i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**932-270-05-1** This Subtopic addresses interim reporting issues specific to the oil and gas industry.

# 15 Scope and Scope Exceptions

**i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**932-270-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#) with transaction exceptions noted below.

### > Transactions

**932-270-15-2** The guidance in this Subtopic is limited to interim reporting issues only.

# 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

**932-270-50-1** The disclosures set forth in Subtopic [932-235](#) are not required in interim financial reports. However, interim financial reports shall include information about a major discovery or other favorable or adverse event that causes a significant change from the information presented in the most recent annual financial report concerning oil and gas reserve quantities.

# 932 Extractive Activities—Oil and Gas

## 280 Segment Reporting

### 05 Overview and Background

**i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

#### General

**932-280-05-1** This Subtopic addresses segment reporting for oil and gas activities.

### 15 Scope and Scope Exceptions

**i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

#### General

##### > Overall Guidance

**932-280-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).

# 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

**932-280-50-1** Industry-specific segment disclosure requirements are included with the rest of the disclosure requirements specific to the oil and gas industry, see paragraphs [932-235-50-22 through 50-23](#).

# 932 Extractive Activities—Oil and Gas

## 323 Investments—Equity Method and Joint Ventures

## 05 Overview and Background

**i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**932-323-05-1** This Subtopic addresses the equity method and joint ventures in the oil and gas industry.

## 15 Scope and Scope Exceptions

**General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**932-323-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).

# 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

**General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

## General

**932-323-25-1** Joint interest (also referred to as joint venture) operations result from an agreement among two or more working interest owners whereby one party is designated as the operator for the development and operation of the jointly owned property included in the joint venture. In joint interest operations, each working interest owner retains an undivided interest in the jointly operated property. This direct ownership is usually included in the financial statements of the investor through direct inclusion of its proportional share of the expenses, revenues, and assets. Joint interest operations are designed to



accomplish the objectives of sharing risk, obtaining capital, maximizing efficiency of development and operations, and enhancing the recovery of reserves.

**932-323-25-2** See Subtopic [932-810](#) for proportional consolidation.

## 45 Other Presentation Matters

**i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

### General

**932-323-45-1** Industry practice allows investors to account for investments in unincorporated legal entities on a proportional basis (see paragraph [810-10-45-14](#)).

## 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

### General

**932-323-50-1** See paragraph [932-235-50-28](#) for various disclosure requirements for oil and gas equity method investments.

## 932 Extractive Activities—Oil and Gas 330 Inventory

# 00 Status

**General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

## General

**932-330-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                    | Action  | Accounting Standards Update                             | Date       |
|------------------------------|---------|---------------------------------------------------------|------------|
| <a href="#">932-330-35-1</a> | Amended | <a href="#">Accounting Standards Update No. 2016-19</a> | 12/14/2016 |
| <a href="#">932-330-35-1</a> | Amended | <a href="#">Accounting Standards Update No. 2012-04</a> | 10/01/2012 |

# 05 Overview and Background

**General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**932-330-05-1** This Subtopic addresses accounting for inventory in the oil and gas industry.

# 15 Scope and Scope Exceptions

**General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**932-330-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).

# 35 Subsequent Measurement

**i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

**932-330-35-1** Energy trading contracts that are not accounted for as derivatives in accordance with Topic [815](#) on derivatives and hedging shall not be measured subsequently at fair value through earnings. Entities shall not measure physical inventories at fair value, except as provided by guidance in other Topics.

### > Exchanges of Inventory

**932-330-35-2** For exchanges of inventories, the buying and selling of inventory with the same counterparty, see paragraphs [845-10-15-5 through 15-9](#).

# 932 Extractive Activities—Oil and Gas 350 Intangibles—Goodwill and Other

## 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

- 932-350-05-1** This Subtopic addresses an exception for the oil and gas industry to the disclosure rules for intangible assets.

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

- 932-350-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).

# 50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

- 932-350-50-1

The scope exception in paragraph [350-10-15-4\(b\)](#) includes the balance sheet classification and disclosures for drilling and mineral rights of oil- and gas-producing entities that are within the scope of this Topic. The accounting framework for oil- and gas-producing entities is based on the level of established reserves—not whether an asset is tangible or intangible. Accordingly, the scope exception extends to its disclosure provisions for drilling and mineral rights of oil- and gas-producing entities. However, an entity is not precluded from providing information about its drilling and mineral rights in addition to the information required by Section [932-235-50](#).
- 932-350-50-2

Entities should not analogize this guidance to other items listed in paragraph [350-10-15-4](#).

932 Extractive Activities—Oil and Gas

360 Property, Plant, and Equipment

00 Status

 **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

**932-360-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                                   | Action  | Accounting Standards Update                                                                                                      | Date       |
|---------------------------------------------|---------|----------------------------------------------------------------------------------------------------------------------------------|------------|
| <a href="#">Exploratory Well</a>            | Amended | <a href="#">Accounting Standards Update No. 2010-03</a>                                                                          | 01/06/2010 |
| <a href="#">Production</a>                  | Amended | <a href="#">Accounting Standards Update No. 2010-03</a>                                                                          | 01/06/2010 |
| <a href="#">Properties</a>                  | Amended | <a href="#">Accounting Standards Update No. 2010-03</a>                                                                          | 01/06/2010 |
| <a href="#">Proved Oil and Gas Reserves</a> | Amended | <a href="#">Accounting Standards Update No. 2010-03</a>                                                                          | 01/06/2010 |
| <a href="#">Stratigraphic Test Well</a>     | Amended | <a href="#">Accounting Standards Update No. 2010-03</a>                                                                          | 01/06/2010 |
| <a href="#">932-360-25-3</a>                | Amended | <a href="#">Maintenance Update 2014-20</a>  | 09/29/2014 |
| <a href="#">932-360-35-14</a>               | Amended | <a href="#">Accounting Standards Update No. 2012-04</a>                                                                          | 10/01/2012 |
| <a href="#">932-360-50-1</a>                | Amended | <a href="#">Accounting Standards Update No. 2010-03</a>                                                                          | 01/06/2010 |



|                             |            |                                         |            |
|-----------------------------|------------|-----------------------------------------|------------|
| 932-360-55-15 through 55-19 | Superseded | Accounting Standards Update No. 2012-04 | 10/01/2012 |
| 932-360-60-1                | Added      | Accounting Standards Update No. 2012-04 | 10/01/2012 |

# 05 Overview and Background

**General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

- 932-360-05-1** This Subtopic addresses accounting and reporting for industry-specific property, plant, and equipment in the oil and gas industry. Property, plant, and equipment include:
- a. Mineral interests in properties

b. Wells and related equipment and facilities

c. Support equipment and facilities

d. Uncompleted wells, equipment, and facilities.

# 15 Scope and Scope Exceptions

**General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

- 932-360-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 932-10-15.

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Analogous Reservoir

Analogous reservoirs, as used in [resources](#) assessments, have similar rock and fluid properties, reservoir conditions (depth, temperature, and pressure), and drive mechanisms, but are typically at a more advanced stage of development than the reservoir of interest and thus may provide concepts to assist in the interpretation of more limited data and estimation of recovery. When used to support proved reserves, *analogous reservoir* refers to a reservoir that shares all of the following characteristics with the reservoir of interest:

- Same geological formation (but not necessarily in pressure communication with the reservoir of interest)
- Same environment of deposition
- Similar geological structure
- Same drive mechanism.

Reservoir properties must, in the aggregate, be no more favorable in the analog than in the reservoir of interest.

### Deterministic Estimate

The method of estimating [reserves](#) or [resources](#) is called deterministic when a single value for each parameter (from the geoscience, engineering, or economic data) in the reserves calculation is used in the reserves estimation procedure.

### Development Project

A development project is the means by which petroleum [resources](#) are brought to the status of [economically producible](#). As examples, the development of a single reservoir or field, an incremental development in a producing field, or the integrated development of a group of several fields and associated facilities with a common ownership may constitute a development project.

### Development Well

A development well is a well drilled within the proved area of an oil or gas reservoir to the depth of a stratigraphic horizon known to be productive.

### Economically Producible

The term *economically producible*, as it relates to a [resource](#), means a resource that generates revenue that exceeds, or is reasonably expected to exceed, the costs of the operation. The value of the products that generate revenue shall be determined at the terminal point of [oil- and gas-producing activities](#).

### Estimated Ultimate Recovery

Estimated ultimate recovery is the sum of [reserves](#) remaining as of a given date and cumulative production as of that date.

### Exploration

Exploration involves both of the following:

- a. Identifying areas that may warrant examination
- b. Examining specific areas that are considered to have prospects of containing oil and gas reserves, including drilling exploratory wells and exploratory-type stratigraphic test wells.

### Exploration Costs

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(12), for the definition of exploration costs as used within that Rule.

### Exploratory Well

An exploratory well is a well drilled to find a new field or to find a new reservoir in a field previously found to be productive of oil or gas in another reservoir. Generally, an exploratory well is any well that is not a [development well](#), a [service well](#), or a [stratigraphic test well](#).

### Field

A field is an area consisting of a single reservoir or multiple reservoirs all grouped on or related to the same individual geological structural feature and/or stratigraphic condition. There may be two or more reservoirs in a field which are separated vertically by intervening impervious strata, or laterally by local geologic barriers, or by both. Reservoirs that are associated by being in overlapping or adjacent fields may be treated as a single or common operational field. The geological terms structural feature and stratigraphic condition are intended to identify localized geological features as opposed to the broader terms of basins, trends, provinces, plays, areas-of-interest, and so forth.

### Mineral Interests

See [Properties](#).

### Oil- and Gas-Producing Activities

Paragraph [932-10-15-2A](#) defines the term *oil- and gas-producing activities*.

### Probabilistic Estimate

The method of estimation of [reserves](#) or [resources](#) is called probabilistic when the full range of values that could reasonably occur for each unknown parameter (from the geoscience and engineering data) is used to generate a full range of possible outcomes and their associated probabilities of occurrence.

### Production

Production involves lifting the crude oil and natural gas to the surface, extracting [saleable hydrocarbons](#), in the solid, liquid, or gaseous state from oil sands, shale, coalbeds, or other nonrenewable natural resources that are intended to be upgraded into synthetic oil or gas, gathering, treating, field processing (as in the case of processing gas to extract liquid hydrocarbons), and field storage.

The oil and gas production function shall be regarded as ending at a *terminal point*, which is the outlet valve on the lease or field storage tank. If unusual physical or operational circumstances exist, it may be appropriate to regard the terminal point for the production function as:

- a. The first point at which oil, gas, or gas liquids, natural or synthetic, are delivered to a main pipeline, a common carrier, a refinery, or a marine terminal
- b. In the case of natural resources that are intended to be upgraded into synthetic oil or gas, if those natural resources are delivered to a purchaser before upgrading, the first point at which the natural resources are delivered to a main pipeline, a common carrier, a refinery, a marine terminal, or a facility that upgrades such natural resources into synthetic oil or gas.

## Properties

Mineral interests in properties (hereinafter referred to as properties), which include all of the following:

- a. Fee ownership or a lease
- b. Concession
- c. Other interest representing the legal right to produce or a revenue interest in the production of oil or gas subject to such terms as may be imposed by the conveyance of that interest.

Properties also include:

- a. Royalty interests
- b. Production payments payable in oil or gas
- c. Other nonoperating interests in properties operated by others.

Properties include those agreements with foreign governments or authorities under which an entity participates in the operation of the related properties or otherwise serves as producer of the underlying [reserves](#) (see paragraph [932-235-50-7](#)); but properties do not include other supply agreements or contracts that represent the right to purchase (as opposed to extract) oil and gas. Properties are classified as [proved properties](#) or [unproved properties](#).

## Proved Area

A proved area is the part of a property to which proved reserves have been specifically attributed.

## Proved Oil and Gas Reserves

Proved oil and gas reserves are those quantities of oil and gas, which, by analysis of geoscience and engineering data, can be estimated with [reasonable certainty](#) to be [economically producible](#) from a given date forward, from known [reservoirs](#), and under existing economic conditions, operating methods, and government regulation before the time at which contracts providing the right to operate expire, unless evidence indicates that renewal is reasonably certain, regardless of whether the estimate is a [deterministic estimate](#) or [probabilistic estimate](#).

The project to extract the hydrocarbons must have commenced, or the operator must be reasonably certain that it will commence the project, within a reasonable time.

The area of the reservoir considered as proved includes all of the following:

- a. The area identified by drilling and limited by fluid contacts, if any
- b. Adjacent undrilled portions of the reservoir that can, with reasonable certainty, be judged to be continuous with it and to contain economically producible oil or gas on the basis of available

geoscience and engineering data.

In the absence of data on fluid contacts, proved quantities in a reservoir are limited by the lowest known hydrocarbons as seen in a well penetration unless geoscience, engineering, or performance data and [reliable technology](#) establish a lower contact with reasonable certainty.

Where direct observation from well penetrations has defined a highest known oil elevation and the potential exists for an associated gas cap, proved oil reserves may be assigned in the structurally higher portions of the reservoir only if geoscience, engineering, or performance data and reliable technology establish the higher contact with reasonable certainty.

[Reserves](#) that can be produced economically through application of improved recovery techniques (including, but not limited to, fluid injection) are included in the proved classification when both of the following occur:

- a. Successful testing by a pilot project in an area of the reservoir with properties no more favorable than in the reservoir as a whole, the operation of an installed program in the reservoir or an [analogous reservoir](#), or other evidence using reliable technology establishes the reasonable certainty of the engineering analysis on which the project or program was based.
- b. The project has been approved for development by all necessary parties and entities, including governmental entities.

Existing economic conditions include prices and costs at which economic producibility from a reservoir is to be determined. The price shall be the average price during the 12-month period before the ending date of the period covered by the report, determined as an unweighted arithmetic average of the first-day-of-the-month price for each month within such period, unless prices are defined by contractual arrangements, excluding escalations based upon future conditions.

## Proved Properties

Proved properties are properties with proved reserves.

## Reasonable Certainty

If deterministic methods are used, reasonable certainty means a high degree of confidence that the quantities will be recovered. If probabilistic methods are used, there should be at least a 90 percent probability that the quantities actually recovered will equal or exceed the estimate. A high degree of confidence exists if the quantity is much more likely to be achieved than not, and, as changes due to increased availability of geoscience (geological, geophysical, and geochemical), engineering, and economic data are made to [estimated ultimate recovery](#) with time, reasonably certain estimated ultimate recovery is much more likely to increase or remain constant than to decrease.

## Reliable Technology

Reliable technology is a grouping of one or more technologies (including computational methods) that has been field tested and has been demonstrated to provide reasonably certain results with consistency and repeatability in the formation being evaluated or in an analogous formation.

## Reserves

Reserves are estimated remaining quantities of oil and gas and related substances anticipated to be [economically producible](#), as of a given date, by application of [development projects](#) to known accumulations. In addition, there must exist, or there must be a reasonable expectation that there will exist, the legal right to produce or a revenue interest in the production, installed means of delivering oil and gas or related substances to market, and all permits and financing required to implement the project.

Reserves should not be assigned to adjacent reservoirs isolated by major, potentially sealing, faults until those reservoirs are penetrated and evaluated as economically producible. Reserves should not be assigned to areas that are clearly separated from a known accumulation by a nonproductive



reservoir (that is, absence of reservoir, structurally low reservoir, or negative test results). Such areas may contain prospective [resources](#) (that is, potentially recoverable resources from undiscovered accumulations).

### Reservoir

A reservoir is a porous and permeable underground formation containing a natural accumulation of producible oil or gas that is confined by impermeable rock or water barriers and is individual and separate from other reservoirs.

### Resources

Resources are quantities of oil and gas estimated to exist in naturally occurring accumulations. A portion of the resources may be estimated to be recoverable, and another portion may be considered to be unrecoverable. Resources include both discovered accumulations and undiscovered accumulations.

### Saleable Hydrocarbons

Hydrocarbons that are saleable in the state in which the hydrocarbons are delivered.

### Service Well

A service well is a well drilled or completed for the purpose of supporting production in an existing field. Wells in this class are drilled for the following specific purposes: gas injection (natural gas, propane, butane, or flue gas), water injection, steam injection, air injection, salt-water disposal, water supply for injection, observation, or injection for in-situ combustion.

### Stratigraphic Test Well

A stratigraphic test is a drilling effort, geologically directed, to obtain information pertaining to a specific geologic condition. Such wells customarily are drilled without the intention of being completed for hydrocarbon production. This classification also includes tests identified as core tests and all types of expendable holes related to hydrocarbon exploration. Stratigraphic tests are classified as *exploratory-type* if not drilled in a [proved area](#) or *development-type* if drilled in a proved area.

### Support Equipment and Facilities

Support equipment and facilities used in oil- and gas-producing activities, such as seismic equipment, drilling equipment, construction and grading equipment, vehicles, repair shops, warehouses, supply points, camps, and division, district, or field offices.

### Uncompleted Wells, Equipment, and Facilities

Uncompleted wells, equipment, and facilities, the costs of which include those incurred to:

- a. Drill and equip wells that are not yet completed
- b. Acquire or construct equipment and facilities that are not yet completed and installed.

### Unproved Properties

Unproved properties are properties with no proved reserves.

### Wells and Related Equipment and Facilities

Wells and related equipment and facilities are often referred to in the oil and gas industry as lease and well equipment even though, technically, the property may have been acquired other than by a lease. The costs include those incurred to:

- a. Drill and equip those exploratory wells and exploratory-type stratigraphic test wells that have found proved reserves
- b. Obtain access to proved reserves and provide facilities for extracting, treating, gathering, and storing the oil and gas, including the drilling and equipping of development wells and development-type stratigraphic test wells (whether those wells are successful or unsuccessful) and service wells.

## 25 Recognition

**i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

#### > Full Cost

**932-360-25-1** Full cost accounting is addressed in the Securities and Exchange Commission (SEC) literature.

#### > Successful Efforts

**932-360-25-2** The guidance in this Subtopic deals with accounting under a successful efforts method.

**932-360-25-3** Only those [exploration costs](#) and development costs that relate directly to specific oil and gas reserves are capitalized; costs that do not relate directly to specific reserves are charged to expense. The successful efforts method of accounting conforms to the traditional concept of the historical cost of an asset. Under the successful efforts method, certain types of costs may be capitalized as construction-in-progress pending further information about the existence of future benefits, but as soon as the additional information becomes available, and it is known whether future benefits exist, those costs are either reclassified as an amortizable asset or charged to expense.

**932-360-25-4** An entity's oil- and gas-producing activities involve certain special types of assets. Costs of those assets shall be capitalized when incurred. Those assets broadly defined are: mineral interests in properties, sometimes called [properties](#); [wells and related equipment and facilities](#); [support equipment and facilities](#); and [uncompleted wells, equipment, and facilities](#).

#### > Accounting at the Time Costs Are Incurred

**932-360-25-5** In the oil and gas industry, ultimately the expected future benefits that an entity is attempting to obtain through its acquisition, exploration, and development activities are represented by oil and gas reserves. But other than by purchasing minerals-in-place, an entity does not acquire reserves directly. Rather, it acquires properties (rights to extract any reserves that may be discovered in the future) and it acquires (develops) systems capable of producing the oil and gas reserves that are discovered.

**932-360-25-6** The effect of paragraphs [932-360-25-7 through 25-16](#), which deal with accounting at the time costs are incurred, is to recognize as assets all of the following:

- a. [Unproved properties](#)
- b. [Proved properties](#)
- c. Wells and related equipment and facilities (which consist of all development costs plus the costs of drilling those [exploratory wells](#) and exploratory-type stratigraphic test wells that find proved reserves)
- d. Support equipment and facilities used in oil- and gas-producing activities
- e. Uncompleted wells, equipment, and facilities.

## · > Acquisition

**932-360-25-7** Costs incurred to purchase, lease, or otherwise acquire a property (whether unproved or proved) shall be capitalized when incurred. They include all of the following:

- a. The costs of lease bonuses and options to purchase or lease properties
- b. The portion of costs applicable to minerals when land including mineral rights is purchased in fee
- c. Brokers' fees
- d. Recording fees
- e. Legal costs
- f. Other costs incurred in acquiring properties.

## · > Exploration

**932-360-25-8** Exploration costs may be incurred both before acquiring the related property (sometimes referred to in part as prospecting costs) and after acquiring the property.

**932-360-25-9** All of the following are principal types of exploration costs, which include depreciation and applicable operating costs of support equipment and facilities (see paragraph [932-360-25-16](#)) and other costs of exploration activities:

- a. Costs of topographical, geological, and geophysical studies, rights of access to properties to conduct those studies, and salaries and other expenses of geologists, geophysical crews, and others conducting those studies. Collectively, those are sometimes referred to as geological and geophysical costs.
- b. Costs of carrying and retaining undeveloped properties, such as delay rentals, ad valorem taxes on the properties, legal costs for title defense, and the maintenance of land and lease records.
- c. Dry hole contributions and bottom hole contributions.
- d. Costs of drilling and equipping exploratory wells.
- e. Costs of drilling exploratory-type [stratigraphic test wells](#). While the costs of drilling stratigraphic test wells are sometimes considered to be geological and geophysical costs, they are accounted for separately under this Subtopic for reasons explained in paragraphs [932-360-25-17 through 25-18](#).

- 932-360-25-10** The costs of drilling exploratory wells and the costs of drilling exploratory-type stratigraphic test wells shall be capitalized as part of the entity's uncompleted wells, equipment, and facilities pending determination of whether the well has found proved reserves.
- 932-360-25-11** An entity sometimes conducts geological and geophysical studies and other exploration activities on a property owned by another party, in exchange for which the entity is contractually entitled to receive an interest in the property if proved reserves are found or to be reimbursed by the owner for the geological and geophysical and other costs incurred if proved reserves are not found. In that case, the entity conducting the geological and geophysical studies and other exploration activities shall account for those costs as a receivable when incurred and, if proved reserves are found, they shall become the cost of the proved property acquired.

· > Development

- 932-360-25-12** Development costs are incurred to obtain access to proved reserves and to provide facilities for extracting, treating, gathering, and storing the oil and gas.
- 932-360-25-13** More specifically, development costs, including depreciation and applicable operating costs of support equipment and facilities (see paragraph [932-360-25-16](#)) and other costs of development activities, are costs incurred to:
- a. Gain access to and prepare well locations for drilling, including all of the following:
    1. Surveying well locations for the purpose of determining specific development drilling sites
    2. Clearing ground
    3. Draining
    4. Road building
    5. Relocating public roads, gas lines, and power lines, to the extent necessary in developing the proved reserves.
  - b. Drill and equip [development wells](#), development-type stratigraphic test wells, and [service wells](#), including the costs of platforms and of well equipment such as:
    1. The wellhead assembly
    2. Pumping equipment
    3. Tubing
    4. Casing.
  - c. Acquire, construct, and install production facilities such as:
    1. Lease flow lines
    2. Separators
    3. Treaters
    4. Heaters
    5. Manifolds
    6. Measuring devices
    7. Production storage tanks
    8. Natural gas cycling and processing plants
    9. Utility and waste disposal systems.
  - d. Provide improved recovery systems.

**932-360-25-14** Development costs shall be capitalized as part of the cost of an entity's wells and related equipment and facilities. Thus, all costs incurred to drill and equip development wells, development-type stratigraphic test wells, and service wells are development costs and shall be capitalized, whether the well is successful or unsuccessful. Costs of drilling those wells and costs of constructing equipment and facilities shall be included in the entity's uncompleted wells, equipment, and facilities until drilling or construction is completed.

#### · > Production

**932-360-25-15** **Production** costs are those costs incurred to operate and maintain an entity's wells and related equipment and facilities, including depreciation and applicable operating costs of support equipment and facilities (see the following paragraph) and other costs of operating and maintaining those wells and related equipment and facilities. They become part of the cost of oil and gas produced. Examples of production costs (sometimes called lifting costs) are:

- a. Costs of labor to operate the wells and related equipment and facilities
- b. Repairs and maintenance
- c. Materials, supplies, and fuel consumed and services utilized in operating the wells and related equipment and facilities
- d. Property taxes and insurance applicable to proved properties and wells and related equipment and facilities
- e. Severance taxes.

Depreciation, depletion, and amortization of capitalized acquisition, exploration, and development costs also become part of the cost of oil and gas produced along with production (lifting) costs identified in this paragraph.

#### · > Support Equipment and Facilities

**932-360-25-16** The cost of acquiring or constructing support equipment and facilities used in oil- and gas-producing activities shall be capitalized. Examples of support equipment and facilities include:

- a. Seismic equipment
- b. Drilling equipment
- c. Construction and grading equipment
- d. Vehicles
- e. Repair shops
- f. Warehouses
- g. Supply points
- h. Camps
- i. Division, district, or field offices.

Some support equipment or facilities are acquired or constructed for use exclusively in a single activity—exploration, development, or production. Other support equipment or facilities may serve two or more of those activities and may also serve the entity's transportation, refining, and marketing activities. To the extent that the support equipment and facilities are used in oil- and gas-producing activities, their depreciation and applicable operating costs become an exploration, development, or production cost, as appropriate.

### > Stratigraphic Test Wells

**932-360-25-17** Stratigraphic test wells are drilled to obtain information. They are not normally intended to be completed for hydrocarbon production and are customarily abandoned after drilling is completed and



the information is obtained. Normally, stratigraphic test wells are drilled offshore to determine whether an offshore property contains sufficient reserves to justify the cost of constructing and installing a production platform and to determine where to locate such a platform.

**932-360-25-18** Stratigraphic test wells are divided into two types—exploratory-type and development-type—and the standards of accounting for the two types parallel the accounting for exploratory wells and development wells, respectively. Thus, an exploratory-type [stratigraphic test well](#) is accounted for in a manner similar to an [exploratory well](#) drilled in an area requiring a major capital expenditure before production could begin (see paragraph [932-360-25-10](#)). The costs of drilling the exploratory-type stratigraphic test well are capitalized pending determination of whether proved reserves are found, subject to the condition that those costs shall not continue to be carried as assets if the entity is not making sufficient progress assessing the reserves and the economic and operating viability of the project or if the quantity of reserves found would not justify completion of the well for production had it not been simply a stratigraphic test well. Thus if an exploratory-type stratigraphic test well discovers reserves that are classified as proved and facilities are to be installed to produce those reserves, the cost of the exploratory-type stratigraphic test well is accounted for as part of the cost of the facilities even though the particular well itself may be abandoned. Accounting for the other type of stratigraphic test well—development-type—is identical to accounting for development wells and other development costs generally: capitalize as part of the cost of an entity's wells and related equipment and facilities (as discussed in paragraph [932-360-25-14](#)).

## > Links to Other Relevant Topics

**932-360-25-19** Land that is not undergoing developmental activities necessary to get it ready for its intended use is not an asset qualifying for interest capitalization. See paragraph [835-20-15-8](#) for the criteria and methods for capitalizing interest costs.

**932-360-25-20** See Section [255-10-50](#) for methods of determining discounted future net cash flows relating to proved oil and gas reserve quantities.

# 35 Subsequent Measurement

**i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

### > Successful Efforts

**932-360-35-1** The following guidance addresses successful efforts accounting. The Securities and Exchange Commission (SEC) literature addresses full cost accounting issues.

## · > Introduction

**932-360-35-2** This Section deals with disposition of the costs of assets (see paragraphs [932-360-25-5 through 25-14](#) and [932-360-25-16 through 25-17](#)) after capitalization. Among other things, those paragraphs provide that the acquisition costs of [proved properties](#) and the costs of [wells and related equipment and facilities](#) shall be amortized (see paragraphs [932-360-35-3 through 35-7](#)) to become part of the cost of oil and gas produced; that impairment (see paragraphs [932-360-35-11](#) and [932-360-35-16 through 35-18](#)) of [unproved properties](#) shall be recognized; and that unproved [properties](#) shall be reclassified to proved (see paragraph [932-360-35-15](#)) or expensed (see Section [932-360-40](#)) subject to sufficient progress (see paragraph [932-360-35-18](#)) being made toward proving the reserves.

## · > Depreciation, Depletion, and Amortization

**932-360-35-3** The costs of an entity's wells and related equipment and facilities and the costs of the related proved properties shall be amortized as the related oil and gas reserves are produced. That amortization plus [production](#) (lifting) costs become part of the cost of oil and gas produced. Estimated residual salvage values shall be taken into account in determining amortization and depreciation rates.

**932-360-35-4** Depreciation of [support equipment and facilities](#) used in oil- and gas-producing activities shall be accounted for as [exploration](#) cost, development cost, or production cost, as appropriate (see paragraph [932-360-25-16](#)).

**932-360-35-5** The unit-of-production method of amortization requires that the total number of units of oil or gas reserves in a property or group of properties be estimated and that the number of units produced in the current period be determined. Many properties contain both oil and gas reserves. In those cases, the oil and gas reserves and the oil and gas produced shall be converted to a common unit of measure on the basis of their approximate relative energy content (without considering their relative sales values). However, if the relative proportion of gas and oil extracted in the current period is expected to continue throughout the remaining productive life of the property, unit-of-production amortization may be computed on the basis of one of the two minerals only; similarly, if either oil or gas clearly dominates both the reserves and the current production (with dominance determined on the basis of relative energy content), unit-of-production amortization may be computed on the basis of the dominant mineral only.

## · · > Proved Properties

**932-360-35-6** Capitalized acquisition costs of proved properties shall be amortized (depleted) by the unit-of-production method so that each unit produced is assigned a pro rata portion of the unamortized acquisition costs. Under the unit-of-production method, amortization (depletion) may be computed either on a property-by-property basis or on the basis of some reasonable aggregation of properties with a common geological structural feature or stratigraphic condition, such as a [reservoir](#) or [field](#). When an entity has a relatively large number of royalty interests whose acquisition costs are not individually significant, they may be aggregated, for the purpose of computing amortization, without regard to commonality of geological structural features or stratigraphic conditions; if information is not available to estimate reserve quantities applicable to royalty interests owned (see paragraph [932-235-50-4](#)), a method other than the unit-of-production method may be used to amortize their acquisition costs. The unit cost shall be computed on the basis of the total estimated units of [proved oil and gas reserves](#). (Joint production of both oil and gas is discussed in the preceding paragraph.) Unit-of-production amortization rates shall be revised whenever there is an indication of the need for revision but at least once a year; those revisions shall be accounted for prospectively as changes in accounting estimates (see paragraphs [250-10-45-17 through 45-20](#)).

## · · > Exploratory Wells and Additional Development

**932-360-35-7** Capitalized costs of exploratory wells and exploratory-type stratigraphic test wells that have found proved reserves and capitalized development costs shall be amortized (depreciated) by the unit-of-production method so that each unit produced is assigned a pro rata portion of the unamortized costs. It may be more appropriate, in some cases, to depreciate natural gas cycling and processing plants by a method other than the unit-of-production method. Under the unit-of-production method, amortization (depreciation) may be computed either on a property-by-property basis or on the basis of some reasonable aggregation of properties with a common geological structural feature or stratigraphic condition, such as a reservoir or field. The unit cost shall be computed on the basis of the total estimated units of proved developed reserves, rather than on the basis of all proved reserves, which is the basis for amortizing acquisition costs of proved properties. If significant development costs (such as the cost of an off-shore production platform) are incurred in connection with a planned group of development wells before all of the planned wells have been drilled, it shall be necessary to exclude a portion of those development costs in determining the unit-of-production amortization rate until the additional development wells are drilled. Similarly it shall be necessary to exclude, in computing the amortization rate, those proved developed reserves that will be produced only after significant additional development costs are incurred, such as for improved recovery systems. However, in no case shall future development costs be anticipated in computing the amortization rate. (Joint production of both oil and gas is discussed in paragraph [932-360-35-5](#).) Unit-of-production amortization rates shall be revised whenever there is an indication of the need for revision but at least once a year; those revisions shall be accounted for prospectively as changes in accounting estimates (see paragraphs [250-10-45-17 through 45-20](#)).

## · > Impairment

**932-360-35-8** Typically the evaluation of oil and gas producing properties is on a field-by-field basis or by logical grouping of assets if there is a significant shared infrastructure (for example, platform). The undiscounted future cash flows shall be based on total proved and risk-adjusted probable and possible reserves. That assessment shall be based on the carrying amount of the asset (asset group) at the date it is tested for recoverability. The impairment loss shall be measured as the amount by which the carrying amount of a long-lived asset (asset group) exceeds its fair value.

**932-360-35-9** The following paragraphs provide guidance specific to the oil and gas industry on asset impairment. However the general rules (see the [Impairment or Disposal of Long-Lived Assets Subsection](#) of Section 360-10-15 and the [Impairment or Disposal of Long-Lived Assets Subsection](#) of Section 360-10-35) for asset impairment shall also be followed.

## · · > Proved Properties

**932-360-35-10** See paragraphs [360-10-35-15 through 35-49](#) for impairment standards applicable to the costs of an entity's wells and related equipment and facilities and the costs of the related proved properties.

## · · > Unproved Properties

**932-360-35-11** Unproved properties shall be assessed periodically to determine whether they have been impaired. A property would likely be impaired, for example, if a dry hole has been drilled on it and the entity has no firm plans to continue drilling. Also, the likelihood of partial or total impairment of a property increases as the expiration of the lease term approaches if drilling activity has not commenced on the property or on nearby properties. If the results of the assessment indicate impairment, a loss shall be recognized by providing a valuation allowance. Impairment of individual unproved properties whose acquisition costs are relatively significant shall be assessed on a property-by-property basis, and an indicated loss shall be recognized by providing a valuation allowance. When an entity has a relatively large number of unproved properties whose acquisition costs are not individually significant, it may not be practical to assess impairment on a property-by-property basis, in which case the amount of loss to be recognized and the amount of the valuation allowance needed to provide for impairment of those

properties shall be determined by amortizing those properties, either in the aggregate or by groups, on the basis of the experience of the entity in similar situations and other information about such factors as the primary lease terms of those properties, the average holding period of unproved properties, and the relative proportion of such properties on which proved reserves have been found in the past.

**932-360-35-12** The impairment provisions relating to unproved properties referred to in paragraphs [932-360-35-11](#), [932-360-35-19](#), [932-360-40-1 through 40-2](#), and [932-360-55-8 through 55-9](#) remain applicable to unproved properties.

#### · · > Completed Exploratory Wells

**932-360-35-13** If the sufficient progress criteria (see paragraphs [932-360-35-18 through 35-20](#)) is not met, or if an entity obtains information that raises substantial doubt about the economic or operational viability of the project, the [exploratory well](#) or exploratory-type stratigraphic well shall be assumed to be impaired and its costs, net of any salvage value, shall be charged to expense. Further, an entity shall not continue to capitalize exploratory well costs on the chance that either of the following might occur:

- Current market conditions will change (for example, an increase in the market price of oil or gas).
- Technology will be developed to make the development of the project economically and operationally viable.

#### · · > Specialized Equipment

**932-360-35-14** An illustration of specialized equipment impairment can be seen in Example 12 (see paragraphs [360-10-55-50 through 55-54](#)).

#### · > Reclassification of Unproved Properties

**932-360-35-15** A property shall be reclassified from unproved properties to proved properties when proved reserves are discovered on or otherwise attributed to the property; occasionally, a single property, such as a foreign lease or concession, covers so vast an area that only the portion of the property to which the proved reserves relate—determined on the basis of geological structural features or stratigraphic conditions—shall be reclassified from unproved to proved. For a property whose impairment has been assessed individually in accordance with paragraph [932-360-35-11](#), the net carrying amount (acquisition cost minus valuation allowance) shall be reclassified to proved properties; for properties amortized by providing a valuation allowance on a group basis, the gross acquisition cost shall be reclassified.

#### · > Reclassification of Completed Exploratory Wells

**932-360-35-16** As specified in paragraph [932-360-25-10](#), the costs of drilling an exploratory well or an exploratory-type stratigraphic well shall be capitalized as part of the entity's [uncompleted wells, equipment, and facilities](#) pending the determination of whether the well has found proved reserves.

**932-360-35-17** If proved reserves are found, the capitalized costs of drilling the well shall be reclassified as part of the costs of the entity's wells and related equipment and facilities at that time (even though the well may not be completed as a producing well). If proved reserves are not found, the capitalized costs of drilling the well shall be charged to expense.

#### · > Sufficient Progress Assessment

**932-360-35-18** An exploratory well or an exploratory-type stratigraphic well may be determined to have found oil and gas reserves, but those reserves cannot be classified as proved when drilling is completed. In those cases, the capitalized drilling costs shall continue to be capitalized if the well has found a sufficient



quantity of reserves to justify its completion as a producing well and the entity is making sufficient progress assessing the reserves and the economic and operating viability of the project. Note that an entity is not required to complete the exploratory or exploratory-type stratigraphic well as a producing well. For purposes of determining whether capitalized drilling costs shall continue to be capitalized pending the determination of proved reserves, a project may include more than one exploratory well or exploratory-type stratigraphic well if the reserves are intended to be extracted in a single, integrated producing operation (for example, the producing wells will operate with shared infrastructure).

**932-360-35-19** All relevant facts and circumstances shall be evaluated when determining whether an entity is making sufficient progress on assessing the reserves and the economic and operating viability of the project. The following are some indicators, among others, that an entity is making sufficient progress (see the following paragraph). No single indicator is determinative. An entity shall evaluate indicators in conjunction with all other relevant facts and circumstances. These indicators include:

- a. Commitment of project personnel who are at the appropriate levels and who have the appropriate skills
- b. Costs that are being incurred to assess the reserves and their potential development
- c. An assessment process covering the economic, legal, political, and environmental aspects of the potential development is in progress
- d. Existence (or active negotiations) of sales contracts with customers for the oil and gas
- e. Existence (or active negotiations) of agreements with governments, lenders, and venture partners
- f. Outstanding requests for proposals for development of any required facilities
- g. Existence of firm plans, established timetables, or contractual commitments, which may include seismic testing and drilling of additional exploratory wells
- h. Progress that is being made on contractual arrangements that will permit future development
- i. Identification of existing transportation and other infrastructure that is or will be available for the project (subject to negotiations for use).

Long delays in the assessment or development plan (whether anticipated or unexpected) may raise doubts about whether the entity is making sufficient progress to continue the capitalization of exploratory well or exploratory-type stratigraphic well costs after the completion of drilling. The longer the assessment process for the reserves and the project, the more difficult it is to conclude that the entity is making sufficient progress to continue the capitalization of those exploratory well or exploratory-type stratigraphic well costs.

**932-360-35-20** If an entity has not engaged in substantial activities to assess the reserves or the development of the project in a reasonable period of time after the drilling of the well is completed or activities have been suspended, any capitalized costs associated with that well shall be expensed net of any salvage value. After a reasonable period of time, the planning of future activities without engaging in substantial activities shall not be sufficient to continue the capitalization of exploratory well or exploratory-type stratigraphic well costs. However, brief interruptions in activities required to assess the reserves or the project, or other delays resulting from governmental or other third-party evaluation of a proposed project, do not require capitalized exploratory well or exploratory-type stratigraphic well costs to be expensed.

## · > Subsequent Events

**932-360-35-21** Information that becomes available after the end of the period covered by the financial statements but before those financial statements are issued or are available to be issued (as discussed in Section [855-10-25](#)) shall be taken into account in evaluating conditions that existed at the balance sheet date, for example, in assessing unproved properties (see paragraph [932-360-35-11](#)) and in determining whether an exploratory well or exploratory-type [stratigraphic test well](#) had found proved reserves (see paragraphs [932-360-35-18](#) through [35-20](#)).



# 40 Derecognition

**i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

## General

### > Surrender or Abandonment of Properties

#### · > Unproved Properties

**932-360-40-1** When an unproved property is surrendered, abandoned, or otherwise deemed worthless, capitalized acquisition costs relating thereto shall be charged against the related allowance for impairment to the extent an allowance has been provided; if the allowance previously provided is inadequate, a loss shall be recognized (see Topic 410 for asset retirement obligations).

**932-360-40-2** If a well has not found proved reserves, the capitalized costs of drilling the well, net of any salvage value, shall be charged to expense. The costs of an [exploratory well](#) or exploratory-type [stratigraphic test well](#) shall be charged to expense if the well is determined not to have found proved reserves.

#### · > Individual Wells or Items of Equipment

**932-360-40-3** Normally, no gain or loss shall be recognized if only an individual well or individual item of equipment is abandoned or retired or if only a single lease or other part of a group of [proved properties](#) constituting the amortization base is abandoned or retired as long as the remainder of the property or group of [properties](#) continues to produce oil or gas. Instead, the asset being abandoned or retired shall be deemed to be fully amortized, and its cost shall be charged to accumulated depreciation, depletion, or amortization. When the last well on an individual property (if that is the amortization base) or group of properties (if amortization is determined on the basis of an aggregation of properties with a common geological structure) ceases to produce and the entire property or property group is abandoned, gain or loss shall be recognized. Occasionally, the partial abandonment or retirement of a proved property or group of proved properties or the abandonment or retirement of wells or related equipment or facilities may result from a catastrophic event or other major abnormality. In those cases, a loss shall be recognized at the time of abandonment or retirement.

### > Mineral Property Conveyances and Related Transactions

**932-360-40-4** [Mineral interests](#) in properties are frequently conveyed to others for a variety of reasons, including the desire to spread risks, to obtain financing, to improve operating efficiency, and to achieve tax benefits. Conveyances of those interests may involve the transfer of all or a part of the rights and responsibilities of operating a property (operating interest). The transferor may or may not retain an

interest in the oil and gas produced that is free of the responsibilities and costs of operating the property (a nonoperating interest). A transaction may, on the other hand, involve the transfer of a nonoperating interest to another party and retention of the operating interest.

**932-360-40-5** Implementation guidance for different types of conveyances can be found in paragraphs [932-360-55-2 through 55-14](#).

#### · > Conveyances as Borrowings

**932-360-40-6** Certain conveyance transactions are in substance borrowings repayable in cash or its equivalent and shall be accounted for as borrowings (see paragraph [932-470-25-1](#)).

#### · > No Gain or Loss on Conveyance

**932-360-40-7** In a pooling of assets in a joint undertaking intended to find, develop, or produce oil or gas from a particular property or group of properties, gain or loss shall not be recognized at the time of the conveyance.

**932-360-40-8** In both of the following types of conveyances, gain shall not be recognized at the time of the conveyance (see paragraphs [932-360-55-2 through 55-8](#)):

- a. A part of an interest owned is sold and substantial uncertainty exists about recovery of the costs applicable to the retained interest.
- b. A part of an interest owned is sold and the seller has a substantial obligation for future performance, such as an obligation to drill a well or to operate the property without proportional reimbursement for that portion of the drilling or operating costs applicable to the interest sold.

#### · > Gain or Loss on Conveyance

**932-360-40-9** If a conveyance is not one of the types described in paragraphs [932-360-40-7 through 40-8](#), gain or loss shall be recognized unless there are other aspects of the transaction that would prohibit such recognition under accounting principles applicable to entities in general (see paragraphs [932-360-55-8 through 55-14](#)).

## > Completed Exploratory Well Information Available after Balance Sheet Date

**932-360-40-10** If an exploratory well or exploratory-type stratigraphic test well is in progress at the end of a period and the well is determined not to have found proved reserves before the financial statements for that period are issued or are available to be issued (as discussed in Section [855-10-25](#)), the costs incurred through the end of the period, net of any salvage value, shall be charged to expense for that period. Previously issued financial statements shall not be retroactively restated.

# 50 Disclosure

**General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

- 932-360-50-1** Section [932-235-50](#) provides various disclosure requirements for oil and gas [properties](#), including:
- [Proved oil and gas reserve](#) quantities (see paragraphs [932-235-50-3 through 50-11B](#))
  - Capitalized costs (see paragraphs [932-235-50-12 through 50-15](#))
  - Continued capitalization (see paragraph [932-235-50-1B](#))
  - Costs incurred for property acquisition [exploration](#) and development activities (see paragraphs [932-235-50-17 through 50-20](#))
  - Standardized measure of discounted future cash flows (see paragraphs [932-235-50-29 through 50-33](#))
  - Change in standardized discounted cash flows (see paragraphs [932-235-50-34 through 50-36](#)).

# 55 Implementation Guidance and Illustrations

**General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

## General

### > Implementation Guidance

- 932-360-55-1** In accordance with paragraphs [932-360-40-4 through 40-9](#), the following types of transactions shall be accounted for as indicated in each Example. No attempt has been made to include the many variations of those arrangements that occur, but those paragraphs shall, where applicable, determine the accounting for those other arrangements as well.

#### · > Obligation to Deliver a Specific Quantity of Oil or Gas

**932-360-55-2** Some [production](#) payments differ from those described in paragraph [932-470-25-1](#) in that the seller's obligation is not expressed in monetary terms but as an obligation to deliver, free and clear of all expenses associated with operation of the property, a specified quantity of oil or gas to the purchaser out of a specified share of future production. Such a transaction is a sale of a mineral interest for which gain shall not be recognized because the seller has a substantial obligation for future performance. The seller shall account for the funds received as unearned revenue to be recognized as the oil or gas is delivered. The purchaser of such a production payment has acquired an interest in a mineral property that shall be recorded at cost and amortized by the unit-of-production method as delivery takes place. The related reserve estimates and production data shall be reported as those of the purchaser of the production payment and not of the seller (see paragraphs [932-235-50-4 through 50-11](#)).

#### · > Assignment of Operating Interest in Unproved Property for Drilling, Development, and Operations by the Assignee

**932-360-55-3** An assignment of the operating interest in an unproved property with retention of a nonoperating interest in return for drilling, development, and operation by the assignee is a pooling of assets in a joint undertaking for which the assignor shall not recognize gain or loss. The assignor's cost of the original interest shall become the cost of the interest retained. The assignee shall account for all costs incurred as specified by Sections [932-360-25](#) and [932-360-35](#) and shall allocate none of those costs to the mineral interest acquired. If oil or gas is discovered, each party shall report its share of reserves and production (see paragraphs [932-235-50-4 through 50-11](#)).

#### · > Assignment of Part of an Operating Interest in Unproved Property in Exchange for a Free Well

**932-360-55-4** An assignment of a part of an operating interest in an [unproved property](#) in exchange for a free well with provision for joint ownership and operation is a pooling of assets in a joint undertaking by the parties. The assignor shall record no cost for the obligatory well; the assignee shall record no cost for the mineral interest acquired. All drilling, development, and operating costs incurred by either party shall be accounted for as specified by this Topic. If the conveyance agreement requires the assignee to incur geological or geophysical expenditures instead of, or in addition to, a drilling obligation, those costs shall likewise be accounted for by the assignee as specified by this Topic. If reserves are discovered, each party shall report its share of reserves and production (see paragraphs [932-235-50-4 through 50-11](#)).

#### · > Carried Interest

**932-360-55-5** A part of an operating interest in an unproved property may be assigned to effect an arrangement called a carried interest whereby the assignee (the carrying party) agrees to defray all costs of drilling, developing, and operating the property and is entitled to all of the revenue from production from the property, excluding any third party interest, until all of the assignee's costs have been recovered, after which the assignor will share in both costs and production. Such an arrangement represents a pooling of assets in a joint undertaking by the assignor and assignee. The carried party shall make no accounting for any costs and revenue until after recoupment (payout) of the carried costs by the carrying party. Subsequent to payout the carried party shall account for its share of revenue, operating expenses, and (if the agreement provides for subsequent sharing of costs rather than a carried interest) subsequent development costs. During the payout period the carrying party shall record all costs, including those carried, as specified by this Topic and shall record all revenue from the property including that applicable to the recovery of costs carried. The carried party shall report as oil or gas reserves only its share of proved reserves estimated to remain after payout, and unit-of-production amortization of the carried party's property cost shall not commence prior to payout. Prior to payout the carrying party's reserve estimates and production data shall include the quantities applicable to recoupment of the carried costs (see paragraphs [932-235-50-4 through 50-11](#)).



## · > Exchange of Operating Interest for Operating Interest

**932-360-55-6** A part of an operating interest owned may be exchanged for a part of an operating interest owned by another party. The purpose of such an arrangement, commonly called a joint venture in the oil and gas industry, often is to avoid duplication of facilities, diversify risks, and achieve operating efficiencies. No gain or loss shall be recognized by either party at the time of the transaction. In some joint ventures that may or may not involve an exchange of interests, the parties may share different elements of costs in different proportions. In such an arrangement a party may acquire an interest in a property or in wells and related equipment that is disproportionate to the share of costs borne by it. As in the case of a carried interest or a free well, each party shall account for its own cost under the provisions of this Subtopic. No gain shall be recognized for the acquisition of an interest in joint assets, the cost of which may have been paid in whole or in part by another party.

## · > Unitization

**932-360-55-7** In a unitization all the operating and nonoperating participants pool their assets in a producing area (normally a [field](#)) to form a single unit and in return receive an undivided interest (of the same type as previously held) in that unit. Unitizations generally are undertaken to obtain operating efficiencies and to enhance recovery of reserves, often through improved recovery operations. Participation in the unit is generally proportionate to the oil and gas reserves contributed by each. Because the [properties](#) may be in different stages of development at the time of unitization, some participants may pay cash and others may receive cash to equalize contributions of [wells and related equipment and facilities](#) with the ownership interests in reserves. In those circumstances, cash paid by a participant shall be recorded as an additional investment in wells and related equipment and facilities, and cash received by a participant shall be recorded as a recovery of cost. The cost of the assets contributed plus or minus cash paid or received is the cost of the participant's undivided interest in the assets of the unit. Each participant shall include its interest in reporting reserve estimates and production data (see paragraphs [932-235-50-4 through 50-11](#)).

## · > Sale of Interest in Unproved Property

**932-360-55-8** If the entire interest in an unproved property is sold for cash or cash equivalent, recognition of gain or loss depends on whether, in applying paragraph [932-360-35-11](#), impairment had been assessed for that property individually or by amortizing that property as part of a group. If impairment was assessed individually, gain or loss shall be recognized. For a property amortized by providing a valuation allowance on a group basis, neither gain nor loss shall be recognized when an unproved property is sold unless the sales price exceeds the original cost of the property, in which case gain shall be recognized in the amount of such excess.

## · > Partial Interest in Unproved Property Sold

**932-360-55-9** If a part of the interest in an unproved property is sold, even though for cash or cash equivalent, substantial uncertainty usually exists as to recovery of the cost applicable to the interest retained. Consequently, the amount received shall be treated as a recovery of cost. The carrying amount of the interest retained shall continue to be subject to the assessment for impairment as required by paragraph [932-360-35-11](#). However, if the sales price exceeds the carrying amount of a property whose impairment has been assessed individually in accordance with that paragraph, or exceeds the original cost of a property amortized by providing a valuation allowance on a group basis, gain shall be recognized in the amount of such excess.

## · > Sale of Entire Interest in a Proved Property with Separate Amortization Base

**932-360-55-10** The sale of an entire interest in a proved property that constitutes a separate amortization base is not one of the types of conveyances described in paragraphs [932-360-40-7 through 40-8](#). The difference



between the amount of sales proceeds and the unamortized cost shall be recognized as a gain or loss.

· > Sale of Part Interest in a Proved Property or Interest Constituting Part of an Amortization Base

**932-360-55-11** The sale of a part of a proved property, or of an entire proved property constituting a part of an amortization base, shall be accounted for as the sale of an asset, and a gain or loss shall be recognized, since it is not one of the conveyances described in paragraphs [932-360-40-7 through 40-8](#). The unamortized cost of the property or group of properties a part of which was sold shall be apportioned to the interest sold and the interest retained on the basis of the fair values of those interests. However, the sale may be accounted for as a normal retirement under the provisions of paragraph [932-360-40-3](#) with no gain or loss recognized if doing so does not significantly affect the unit-of-production amortization rate.

· > Sale of Operating Interest with Retention of a Nonoperating Interest

**932-360-55-12** The sale of the operating interest in a proved property for cash with retention of a nonoperating interest is not one of the types of conveyances described in paragraphs [932-360-40-7 through 40-8](#). Accordingly, it shall be accounted for as the sale of an asset, and any gain or loss shall be recognized. The seller shall allocate the cost of the proved property to the operating interest sold and the nonoperating interest retained on the basis of the fair values of those interests. A retained production payment denominated in money is not a mineral interest (see paragraphs [932-360-25-4](#) and [932-470-25-1](#)).

· > Sale of a Proved Property Subject to a Retained Production Payment Expressed as a Fixed Dollar Amount

**932-360-55-13** The sale of a proved property subject to a retained production payment that is expressed as a fixed sum of money payable only from a specified share of production from that property, with the purchaser of the property obligated to incur the future costs of operating the property, shall be accounted for as follows:

- a. If satisfaction of the retained production payment is reasonably assured, the seller of the property, who retained the production payment, shall record the transaction as a sale, with recognition of any resulting gain or loss. The retained production payment shall be recorded as a receivable, with interest accounted for in accordance with the provisions of Subtopic [835-30](#). The purchaser shall record as the cost of the assets acquired the cash consideration paid plus the present value of the retained production payment, which shall be recorded as a payable. The oil and gas reserve estimates and production data, including those applicable to liquidation of the retained production payment, shall be reported by the purchaser of the property (see paragraphs [932-235-50-4 through 50-11](#)).
- b. If satisfaction of the retained production payment is not reasonably assured, the transaction is in substance a sale with retention of an overriding royalty that shall be accounted for in accordance with the preceding paragraph.

· > Sale of a Proved Property Subject to a Retained Production Payment Expressed as a Specific Quantity of Oil or Gas

**932-360-55-14** The sale of a proved property subject to a retained production payment that is expressed as a right to a specified quantity of oil or gas out of a specified share of future production shall be accounted for in accordance with paragraph [932-360-55-12](#).

**932-360-55-15** Paragraphs [932-360-55-15 through 55-19](#) superseded by Accounting Standards Update No. 2012-04.

# 60 Relationships

**General Note:**The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

## General

**932-360-60-1** See paragraphs [360-10-55-50 through 55-54](#) for an illustration of the disclosure of risks and uncertainties related to impairment of specialized equipment.

# S00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

## General

**932-360-S00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                     | Action  | Accounting Standards Update                             | Date       |
|-------------------------------|---------|---------------------------------------------------------|------------|
| <a href="#">932-360-S99-1</a> | Amended | <a href="#">Accounting Standards Update No. 2009-03</a> | 08/24/2009 |
| <a href="#">932-360-S99-1</a> | Amended | <a href="#">Accounting Standards Update No. 2009-07</a> | 09/15/2009 |
| <a href="#">932-360-S99-2</a> | Amended | <a href="#">Accounting Standards Update No. 2012-03</a> | 08/27/2012 |
| <a href="#">932-360-S99-2</a> | Amended | <a href="#">Accounting Standards Update No. 2009-03</a> | 08/24/2009 |

# S25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

## General

### > Successful Efforts Method

**932-360-S25-1** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(b), for the requirements of an entity that follows the successful efforts method, including smaller reporting companies.

### > Full Cost Method

**932-360-S25-2** See the following rules within paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c), for the application of the full cost method of accounting, including smaller reporting companies.

#### · > Determination of Cost Centers

**932-360-S25-3** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(1), for how to determine cost centers for purposes of the full cost method.

#### · > Costs to Be Capitalized

**932-360-S25-4** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(2), for discussion of which costs are required to be capitalized under the full cost method.

#### · > Production Costs

**932-360-S25-5** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(5), for the required accounting for production costs under the full cost method.

#### · > Sales and Abandonments of Oil and Gas Properties

**932-360-S25-6** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(6)(i), for the required accounting for sales and abandonments of oil and gas properties under the full cost method.

#### · > Purchases of Reserves

**932-360-S25-7** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(6)(ii), for the required accounting for purchases of oil and gas reserves in place under the full cost method.

#### · > Partnerships, Joint Ventures, and Drilling Arrangements

**932-360-S25-8** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(6)(iii), for the required accounting for partnerships, joint venture operations, and other drilling arrangements under the full cost method.

- > Other Services

**932-360-S25-9** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(6)(iv), for the a discussion of when income can be recognized in connection with contractual services performed under the full cost method.

## S35 Subsequent Measurement

**i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

### General

- > Full Cost Method

- > Amortization of Capitalized Costs

**932-360-S35-1** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(3), for the requirements for amortizing capitalized costs under the full cost method of accounting.

- > Limitation on Capitalized Costs

**932-360-S35-2** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(4), for the requirement limiting capitalized costs under the full cost method of accounting.

## S50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

### General

- > Capitalized Costs

**932-360-S50-1** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(7), for required disclosures under the full cost method of accounting.

## > Limitation on Capitalized Costs

**932-360-S50-2** See paragraph [932-360-S99-2](#), SAB Topic 12.D.3.b, for SEC Staff views on disclosure requirements when cash flow hedges are used in the computation of the limitation on capitalized costs.

**932-360-S50-3** See paragraph [932-360-S99-2](#), SAB Topic 12.D.3.c, for SEC Staff views on disclosure requirements when subsequent events affect the computation of the limitation on capitalized costs.

**932-360-S50-4** See paragraph [932-360-S99-2](#), SAB Topic 12.D.4.a, for SEC Staff views on disclosure requirements pertaining to the interaction of FASB Statement No. 143, Accounting for Asset Retirement Obligations, and the full cost rules.

## > Amortization of Capitalized Costs

**932-360-S50-5** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(c)(7)(i), for required disclosures pertaining to the amortization of capitalized costs.

**932-360-S50-6** See paragraph [932-360-S99-3](#), SAB Topic 12.F, for SEC Staff views on disclosures when entities apply the gross revenue method of amortizing capitalized costs.

## > Unproved Reserves

**932-360-S50-7** See paragraph [932-360-S99-1](#), SAB Topic 12.A.3.b, for SEC Staff views on disclosures for unproved properties.

## > Inclusion of Methane Gas in Proved Reserves

**932-360-S50-8** See paragraph [932-360-S99-4](#), SAB Topic 12.G, for SEC Staff views on disclosure requirements when methane gas is included in proved reserves.

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# S55 Implementation Guidance and Illustrations



**i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

## General

### > Proved Reserves

#### · > Estimates of Quantities of Proved Reserves

**932-360-S55-1** See paragraph [932-360-S99-1](#), SAB Topic 12.A.1, for SEC Staff views on estimating quantities of proved reserves.

#### · > Estimates of Future Net Revenues

**932-360-S55-2** See paragraph [932-360-S99-1](#), SAB Topic 12.A.2, for SEC Staff views on estimating future net revenues for the purposes of determining proved reserves.

#### · > Inclusion of Methane Gas

**932-360-S55-3** See paragraph [932-360-S99-4](#), SAB Topic 12.G, for SEC Staff views on the inclusion of methane gas within the definition of proved reserves for purposes of the disclosures relating to oil and gas producing activities and the full cost ceiling test.

### > Limitation on Capitalized Costs

#### · > Income Tax Effects

**932-360-S55-4** See paragraph [932-360-S99-2](#), SAB Topic 12.D.1, for SEC Staff views for the consideration of income tax effects in determining the full cost ceiling.

#### · > Exemptions for Purchased Properties

**932-360-S55-5** See paragraph [932-360-S99-2](#), SAB Topic 12.D.3.a, for SEC Staff views on an exemption to the full cost ceiling limitation for purchased properties.

#### · > Use of Cash Flow Hedges

**932-360-S55-6** See paragraph [932-360-S99-2](#), SAB Topic 12.D.3.b, for SEC Staff views on use of cash flow hedges in the computation of the limitation on capitalized costs.

#### · > Effect of Subsequent Events

**932-360-S55-7** See paragraph [932-360-S99-2](#), SAB Topic 12.D.3.c, for SEC Staff views on the effect of subsequent events on the computation of the limitation on capitalized costs.

· > Effect of FASB Statement No. 143, Accounting for Asset Retirement Obligations

**932-360-S55-8** See paragraph [932-360-S99-2](#), SAB Topic 12.D.4.b, for SEC Staff views on the effect of FASB Statement No. 143 on the full cost ceiling test.

## > Amortization of Capitalized Costs

**932-360-S55-9** See paragraph [932-360-S99-2](#), SAB Topic 12.D.2, for SEC Staff views on the exclusion of costs from amortization.

· > Effect of FASB Statement No. 143

**932-360-S55-10** See paragraph [932-360-S99-2](#), SAB Topic 12.D.4.b, for SEC Staff views on the effect of FASB Statement No. 143 on the calculation of depreciation, depletion, and amortization.

· > Gross Revenue Method

**932-360-S55-11** See paragraph [932-360-S99-3](#), SAB Topic 12.F, for SEC Staff views on using the gross revenue method when substantial production is not subject to pricing regulation.

# S99 SEC Materials

 **General Note:**As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

## General

### > SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 12.A, Accounting Series Release 257—Requirements for Financial Accounting and Reporting Practices for Oil and Gas Producing Activities

**932-360-S99-1** The following is the text of SAB Topic 12.A, Accounting Series Release 257—Requirements for Financial Accounting and Reporting Practices for Oil and Gas Producing Activities.

1. Estimates of Quantities of Proved Reserves

Facts: Rule 4-10 contains definitions of proved reserves, proved developed reserves, and proved undeveloped reserves to be used in determining quantities of oil and gas reserves to be reported in filings with the Commission.

Question 1: The definition of proved reserves states that reservoirs are considered proved if "economic producibility is supported by either actual production or conclusive formation test." May oil and gas reserves be considered proved if economic producibility is supported only by core analyses and/or electric or other log interpretations?

Interpretive Response: Economic producibility of estimated proved reserves can be supported to the satisfaction of the Office of Engineering if geological and engineering data demonstrate with reasonable certainty that those reserves can be recovered in future years under existing economic and operating conditions. The relative importance of the many pieces of geological and engineering data which should be evaluated when classifying reserves cannot be identified in advance. In certain instances, proved reserves may be assigned to reservoirs on the basis of a combination of electrical and other type logs and core analyses which indicate the reservoirs are analogous to similar reservoirs in the same field which are producing or have demonstrated the ability to produce on a formation test.

Question 2: In determining whether "proved undeveloped reserves" encompass acreage on which fluid injection (or other improved recovery technique) is contemplated, is it appropriate to distinguish between (i) fluid injection used for pressure maintenance during the early life of a field and (ii) fluid injection used to effect secondary recovery when a field is in the late stages of depletion? The definition in Rule 4-10(a)(4) does not make this distinction between pressure maintenance activity and fluid injection undertaken for purposes of secondary recovery.

Interpretive Response: The Office of Engineering believes that the distinction identified in the above question may be appropriate in a few limited circumstances, such as in the case of certain fields in the North Sea. The staff will review estimates of proved reserves attributable to fluid injection in the light of the strength of the evidence presented by the registrant in support of a contention that enhanced recovery will be achieved.

Question 3: What volumes of natural gas liquids should be reported as net reserves, that portion recovered in a gas processing plant and allocated to the leasehold interest or the total recovered by a plant from net interest gas?

Interpretive Response: Companies should report reserves of natural gas liquids which are net to their leasehold interests, i.e., that portion recovered in a processing plant and allocated to the leasehold interest. It may be appropriate in the case of natural gas liquids not clearly attributable to leasehold interests ownership to follow instructions to Item 3 of Securities Act Industry Guide 2 and report such reserves separately and describe the nature of the ownership.

Question 4: What pressure base should be used for reporting gas and production, 14.73 psia or the pressure base specified by the state?

Interpretive Response: The reporting instructions to the Department of Energy's Form EIA-28 specify that natural gas reserves are to be reported at 14.73 psia and 60 degrees F. There is no pressure base specified in Regulation S-X or S-K. At the present time the staff will not object to natural gas reserves and production data calculated at other pressure bases, if such other pressure bases are identified in the filing.

## 2. Estimates of Future Net Revenues

Facts: Paragraphs 30-34 of Statement 69 [paragraphs [932-235-50-29](#) through [50-36](#)] require the disclosure of the standardized measure of discounted future net cash flows from production of proved oil and gas reserves, computed by applying year-end prices of oil and gas (with consideration of price changes only to the extent provided by contractual arrangements) to estimated future production as of the latest balance sheet date, less estimated future expenditures (based on current costs) of developing and producing the proved reserves, and assuming continuation of existing economic conditions.

Question 1: For purposes of determining reserves and estimated future net revenues, what price should be used for gas which will be produced after an existing contract expires or after the redetermination date in a contract?

Interpretive Response: The price to be used for gas which will be produced after a contract expires or has a redetermination is the current market price at the end of the fiscal year for that category of gas. This price may be increased thereafter only for additional fixed and determinable escalations, as appropriate, for that category of gas. A fixed and determinable escalation is one which is specified in amount and is not based on future events such as rates of inflation.

Question 2: What price should be applied to gas which at the end of a fiscal year is not yet subject to a gas sales contract?

Interpretive Response: The price to be used is the current market price for similarly situated gas at the end of the fiscal year provided the company can reasonably expect to sell the gas at the prevailing market price.

Question 3: To what extent should price increases announced by OPEC or by certain government agencies not yet effective at the date of the reserve report be considered in determining current prices?

Interpretive Response: Current prices should not reflect price increases announced but not yet effective at the date of the reserve valuation, i.e., the end of the fiscal year.

### 3. Disclosure of Reserve Information

a. Deleted by SAB 103

b. Unproved properties.

Facts: Disclosures of reserve information are based on estimated quantities of proved reserves of oil and gas. Regulation S-K prohibits disclosure of estimated quantities of probable or possible reserves of oil and gas and any estimated value thereof in any document publicly filed with the Commission.

Question: What types of disclosures will be permitted by registrants who wish to indicate that some of their properties have value other than that attributable to proved reserves?

Interpretive Response: The Office of Engineering has, for the past several years, suggested to registrants the following form of disclosure for undeveloped lease acreage:

"In addition to proved reserves, the estimated (or appraised) value of leases or parts of leases to which proved reserves cannot be attributable is \$xxx."

The registrant should describe the basis on which the estimate was made. For example, such estimated values are often based on the market demand for leasehold acreage which, in turn, is based on a number of qualitative factors such as proximity to production. If the disclosed amount is based on an appraisal, the person making the appraisal should be named.

## · · > SAB Topic 12.D, Application of Full Cost Method of Accounting

**932-360-S99-2** The following is the text of SAB Topic 12.D, Application of Full Cost Method of Accounting.

### 1. Treatment of Income Tax Effects in the Computation of the Limitation on Capitalized Costs

Facts: Item (D) of Rule 4-10(c)(4)(i) of Regulation S-X states that the income tax effects related to the properties involved should be deducted in computing the full cost ceiling.

Question 1: What specific types of income tax effects should be considered in computing the income tax effects to be deducted from estimated future net revenues?

Interpretive Response: The rule refers to income tax effects generally. Thus, the computation should take into account (i) the tax basis of oil and gas properties, (ii) net operating loss carryforwards, (iii) foreign tax credit carryforwards, (iv) investment tax credits, (v) minimum taxes on tax preference items, and (vi) the impact of statutory (percentage) depletion.

It may often be difficult to allocate net operating loss carryforwards (NOLs) between oil and gas assets and other assets. However, to the extent that the NOLs are clearly attributable to oil and gas operations and are expected to be realized within the carryforward period, they should be added to tax basis.

Similarly, to the extent that investment tax credit (ITC) carryforwards and foreign tax credit carryforwards are attributable to oil and gas operations and are expected to be realized within the



carryforward period, they should be considered as a deduction from the tax effect otherwise computed. Consideration of NOLs and ITC or foreign tax credit carryforwards should not, of course, reduce the total tax effect below zero.

Question 2: How should the tax effect be computed considering the various factors discussed above?

Interpretive Response: Theoretically, taxable income and tax could be determined on a year-by-year basis and the present value of the related tax computed. However, the "shortcut" method illustrated below is also acceptable.

|                                                                                                |           |       |           |
|------------------------------------------------------------------------------------------------|-----------|-------|-----------|
| <b>ASSUMPTIONS:</b>                                                                            |           |       |           |
| Cost of proved properties being amortized                                                      |           | \$    | 396,000   |
| Lower of cost or estimated fair value of unproved properties to be amortized                   |           |       | 49,000    |
| Cost of properties not being amortized                                                         |           |       | 55,000    |
| Capitalized costs of oil and gas assets                                                        |           |       | 500,000   |
| Accumulated DD&A                                                                               |           |       | (100,000) |
| Book basis of oil and gas assets                                                               |           | \$    | 400,000   |
| Excess of book basis over tax basis (\$270,000) of oil and gas assets                          |           | \$    | (130,000) |
| NOL carryforward *                                                                             |           |       | 20,000    |
|                                                                                                |           |       | (110,000) |
| Statutory tax rate (percent)                                                                   |           | x 46% |           |
|                                                                                                |           |       | (50,600)  |
| Foreign tax credit carryforward *                                                              |           |       | 1,000     |
| ITC carryforward *                                                                             |           |       | 2,000     |
| Related net deferred income tax liability                                                      |           |       | (47,600)  |
| Net book basis to be recovered                                                                 |           | \$    | 352,400   |
| Other Assumptions:                                                                             |           |       |           |
| Present value of ITC relating to future development costs                                      |           | \$    | 1,500     |
| Present value of statutory depletion attributable to future deductions                         |           | \$    | 10,000    |
| Estimated preference (minimum) tax on percentage depletion in excess of cost depletion         |           | \$    | 500       |
| Present value of future net revenue from proved oil and gas reserves                           |           | \$    | 272,000   |
| <b>CALCULATION:</b>                                                                            |           |       |           |
| Present value of future net revenue                                                            |           | \$    | 272,000   |
| Cost of properties not being amortized                                                         |           |       | 55,000    |
| Lower of cost or estimated fair value of unproved properties included in costs being amortized |           |       | 49,000    |
| Total ceiling limitation before tax effects                                                    |           | \$    | 376,000   |
| Tax Effects:                                                                                   |           |       |           |
| Total ceiling limitation before tax effects                                                    |           | \$    | 376,000   |
| Less: Tax basis of properties                                                                  | (270,000) |       |           |
| Statutory depletion                                                                            | (10,000)  |       |           |
| NOL carryforward                                                                               | (20,000)  |       |           |
|                                                                                                |           |       | (300,000) |
| Future taxable income                                                                          |           |       | 76,000    |
| Tax rate (percent)                                                                             |           | x 46% |           |
| Tax at statutory rate                                                                          |           |       | (34,960)  |
| ITC (future development costs and carryforward)                                                |           |       | 3,500     |
| Foreign tax credit carryforward                                                                |           |       | 1,000     |
| Estimated preference tax                                                                       |           |       | (500)     |
| Net tax effects                                                                                |           |       | (30,960)  |
| Cost Center Ceiling                                                                            |           | \$    | 345,040   |
| Less: Net book basis to be recovered                                                           |           |       | 352,400   |
| REQUIRED WRITE-OFF, net of tax **                                                              |           | \$    | (7,360)   |

\* All carryforward amounts in this example represent amounts which are available for tax purposes and which relate to oil and gas operations.

\*\* For accounting purposes, the gross write-off should be recorded to adjust both the oil and gas properties account and the related deferred income taxes.

|                                                   |  |           |           |
|---------------------------------------------------|--|-----------|-----------|
| <b>CALCULATION OF GROSS PRE-TAX WRITE-OFF</b>     |  |           |           |
| Required write-off, net of tax                    |  | \$        | (7,360)   |
| Divided by (100% minus the statutory rate of 46%) |  |           | 54%       |
| Gross pre-tax write-off                           |  | \$        | (13,630)  |
| <b>Related Journal Entries</b>                    |  |           |           |
|                                                   |  | <b>DR</b> | <b>CR</b> |
| Full cost ceiling impairment                      |  | \$ 13,630 |           |
| Oil and gas assets                                |  |           | \$ 13,630 |
| Deferred income tax liability                     |  | \$ 6,270  |           |
| Deferred income tax benefit                       |  |           | \$ 6,270  |

## 2. Exclusion of Costs From Amortization

Facts: Rule 4-10(c)(3)(ii) indicates that the costs of acquiring and evaluating unproved properties may be excluded from capitalized costs to be amortized if the costs are unusually significant in



relation to aggregate costs to be amortized. Costs of major development projects may also be incurred prior to ascertaining the quantities of proved reserves attributable to such properties.

Question: At what point should amortization of previously excluded costs commence—when proved reserves have been established or when those reserves become marketable? For instance, a determination of proved reserves may be made before completion of an extraction plant necessary to process sour crude or a pipeline necessary to market the reserves. May the costs continue to be excluded from amortization until the plant or pipeline is in service?

Interpretive Response: No. The proved reserves and the costs allocable to such reserves should be transferred into the amortization base on an ongoing (well-by-well or property-by-property) basis as the project is evaluated and proved reserves are established.

Once the determination of proved reserves has been made, there is no justification for continued exclusion from the full cost pool, regardless of whether other factors prevent immediate marketing. Moreover, at the same time that the costs are transferred into the amortization base, it is also necessary in accordance with FASB ASC Subtopic [932-835](#), Extractive Activities—Oil and Gas—Interest, and FASB ASC Subtopic [835-20](#), Interest—Capitalization of Interest to terminate capitalization of interest on such properties.

In this regard, registrants are reminded of their responsibilities not to delay recognizing reserves as proved once they have met the engineering standards.

### 3. Full Cost Ceiling Limitation

#### a. Exemptions for purchased properties.

Facts: During 20x1, a registrant purchases proved oil and gas reserves in place ("the purchased reserves") in an arm's length transaction for the sum of \$9.8 million. Primarily because the registrant expects oil and gas prices to escalate, it paid \$1.2 million more for the purchased reserves than the "Present Value of Estimated Future Net Revenues" computed as defined in Rule 4-10(c)(4)(i)(A) of Regulation S-X. An analysis of the registrant's full cost center in which the purchased reserves are located at December 31, 20x1 is as follows:

| (Amounts in 1,000)                                                                         |           |                              |                              |                     |
|--------------------------------------------------------------------------------------------|-----------|------------------------------|------------------------------|---------------------|
|                                                                                            | Total     | Purchased Reserves           | Other Proved Properties      | Unproved Properties |
| Present value of estimated future net revenues                                             | \$ 14,100 | 8,600                        | 5,500                        | -                   |
| Cost, net of amortization                                                                  | \$ 16,300 | 9,800                        | 5,500                        | 1,000               |
| Related deferred taxes                                                                     | \$ 2,300  | -                            | 2,000                        | 300                 |
| Income tax effects related to properties                                                   | \$ 2,500  | -                            | 2,500                        | -                   |
|                                                                                            |           |                              |                              |                     |
|                                                                                            |           | Including Purchased Reserves | Excluding Purchased Reserves |                     |
| Comparison of capitalized costs with limitation on capitalized costs at December 31, 20x1: |           |                              |                              |                     |
| Capitalized costs, net of amortization                                                     |           | \$ 16,300                    | \$ 6,500                     |                     |
| Related deferred taxes                                                                     |           | (2,300)                      | (2,300)                      |                     |
| Net book cost                                                                              |           | 14,000                       | 4,200                        |                     |
| Present value of estimated future net revenues                                             |           | 14,100                       | 5,500                        |                     |
| Lower of cost or market of unproved properties                                             |           | 1,000                        | 1,000                        |                     |
| Income tax effects related to properties                                                   |           | (2,500)                      | (2,500)                      |                     |
| Limitation on capitalized costs                                                            |           | 12,600                       | 4,000                        |                     |
| Excess of capitalized costs over limitation on Capitalized costs, net of tax               |           | \$ 1,400                     | \$ 200                       |                     |

\* For accounting purposes, the gross write-off should be recorded to adjust both the oil and gas properties account and the related deferred income taxes

Question: Is it necessary for the registrant to write down the carrying value of its full cost center at December 31, 20x1 by \$1,400,000?

Interpretive Response: Although the net carrying value of the full cost center exceeds the cost center's limitation on capitalized costs, the text of ASR 258 provides that a registrant may request an exemption from the rule if as a result of a major purchase of proved properties, a write down would be required even though the registrant believes the fair value of the properties in a cost center clearly exceeds the unamortized costs.

Therefore, to the extent that the excess carrying value relates to the purchased reserves, the registrant may seek a temporary waiver of the full-cost ceiling limitation from the staff of the Commission. Registrants requesting a waiver should be prepared to demonstrate that the additional value exists beyond reasonable doubt.

To the extent that the excess costs relate to properties other than the purchased reserves, however, a write-off should be recorded in the current period. In order to determine the portion of the total excess carrying value which is attributable to properties other than the purchased reserves, it is necessary to perform the ceiling computation on a "with and without" basis as shown in the example above. Thus in this case, the registrant must record a write-down of \$200,000 applicable to other reserves. An additional \$1,200,000 write-down would be necessary unless a waiver were obtained.

b. Use of cash flow hedges in the computation of the limitation on capitalized costs.

Facts: Rule 4-10(c)(4) of Regulation S-X provides, in pertinent part, that capitalized costs, net of accumulated depreciation and amortization, and deferred income taxes, should not exceed an amount equal to the sum of [components that include] the present value of estimated future net revenues computed by applying current prices of oil and gas reserves (with consideration of price changes only to the extent provided by contractual arrangements) to estimated future production of proved oil and gas reserves as of the date of the latest balance sheet presented.

As of the reported balance sheet date, capitalized costs of an oil and gas producing company exceed the full cost limitation calculated under the above described rule based on current spot market prices for oil and natural gas. However, prior to the balance sheet date, the company enters into certain hedging arrangements for a portion of its future natural gas and oil production, thereby enabling the company to receive future cash flows that are higher than the estimated future cash flows indicated by use of the spot market price as of the reported balance sheet date. These arrangements qualify as cash flow hedges under the provisions of FASB ASC Topic 815, Derivatives and Hedging, and are documented, designated, and accounted for as such under the criteria of that standard.

Question: Under these circumstances, must the company use the higher prices to be received after taking into account the hedging arrangements ("hedge-adjusted prices") in calculating the current price of the quantities of its future production of oil and gas reserves covered by the hedges as of the reported balance sheet date?

Interpretive Response: Yes. Derivative contracts that qualify as hedging instruments in a cash flow hedge and are accounted for as such pursuant to FASB ASC Topic 815 represent the type of contractual arrangements for which consideration of price changes should be given under the existing rule. While the SEC staff has objected to previous proposals to consider various hedging techniques as being equivalent to the contractual arrangements permitted under the existing rules, the staff's objection was based on concerns that the lack of clear, consistent guidance in the accounting literature would lead to inconsistent application in practice. However, the staff believes that FASB ASC Topic 815 and related guidance (including a more systematic approach to documentation) provides sufficient guidance so that comparable financial reporting in comparable factual circumstances should result.

This interpretive response reflects the SEC staff's view that, assuming compliance with the prerequisite accounting requirements, hedge adjusted prices represent the best measure of estimated cash flows from future production of the affected oil and gas reserves to use in calculating the ceiling limitation. Nonetheless, the staff expects that oil and gas producing companies subject to the full cost rules will clearly indicate the effects of using cash flow hedges in calculating ceiling limitations within their financial statement footnotes. The staff further expects that disclosures will indicate the portion of future oil and gas production being hedged. The dollar amount that would have been charged to income had the effects of the cash flow hedges not been considered in calculating the ceiling limitation also should be disclosed.

The use of hedge-adjusted prices should be consistently applied in all reporting periods, including periods in which the hedge-adjusted price is less than the current spot market price. Oil and gas producers whose computation of the ceiling limitation includes hedge-adjusted prices because of

the use of cash flow hedges also should consider the disclosure requirements under the FASB ASC Section [275-10-50](#), Risks and Uncertainties—Overall—Disclosure. FASB ASC paragraph [275-10-50-9](#) calls for disclosure when it is at least reasonably possible that the effects of cash flow hedges on capitalized costs on the reported balance sheet date will change in the near term due to one or more confirming events, such as potential future changes in commodity prices.

In addition, the use of cash flow hedges in calculating the ceiling limitation may represent a type of critical accounting policy that oil and gas producers should consider disclosing consistent with the cautionary advice provided in FR 60. Through this release, the Commission has encouraged companies to include, within their MD&A disclosures, full explanations, in plain English, of the judgments and uncertainties affecting the application of critical accounting policies, and the likelihood that materially different amounts would be reported under different conditions or using different assumptions.

The staff's guidance on this issue would apply to calculations of ceiling limitations both in interim and annual periods.

c. Effect of subsequent events on the computation of the limitation on capitalized costs.

Facts: Rule 4-10(c)(4)(ii) of Regulation S-X provides that an excess of unamortized capitalized costs within a cost center over the related cost ceiling shall be charged to expense in the period the excess occurs.

Question: Assume that at the date of company's fiscal year-end, its capitalized costs of oil and gas producing properties exceed the limitation prescribed by Rule 4-10(c)(4) of Regulation S-X. Thus, a write down is indicated. Subsequent to year-end but before the date of the auditors' report on the company's financial statements, assume that additional reserves are proved up (excluding the effect of increased oil and gas prices subsequent to year-end) on properties owned at year-end. The present value of future net revenues from the additional reserves is sufficiently large that if the full cost ceiling limitation were recomputed giving effect to those factors as of year-end, the ceiling would more than cover the costs. It is necessary to record a write down?

Interpretive Response: No. In this case, the proving up of additional reserves on properties owned at year-end or the increase in prices indicates that the capitalized costs were not in fact impaired at year-end. However, for purposes of the revised computation of the "ceiling," the net book costs capitalized as of year-end should be increased by the amount of any additional costs incurred subsequent to year-end to prove the additional reserves or by any related costs previously excluded from amortization.

While the fact pattern described herein relates to annual periods, the guidance on the effects of subsequent events applies equally to interim period calculations of the ceiling limitation.

The registrant's financial statements should disclose that capitalized costs exceeded the limitation thereon at year-end and should explain why the excess was not charged against earnings. In addition, the registrant's supplemental disclosures of estimated proved reserve quantities and related future net revenues and costs should not give effect to the reserves proved up or the cost incurred after year-end or to the price increases occurring after year-end. However, such quantities and amounts may be disclosed separately, with appropriate explanations.

Registrants should be aware that oil and gas reserves related to properties acquired after year-end would not justify avoiding a write-off indicated as of year-end. Similarly, the effects of cash flow hedging arrangements entered into after year-end cannot be factored into the calculation of the ceiling limitation at year-end. Such acquisitions and financial arrangements do not confirm situations existing at year-end.

4. Interaction of FASB ASC Subtopic [410-20](#), Asset Retirement and Environmental Obligations—Asset Retirement Obligations, and the Full Cost Rules

a. Impact of FASB ASC Subtopic [410-20](#) on the full cost ceiling test.

Facts: A company following the full cost method of accounting under Rule 4-10(c) of Regulation S-X must periodically calculate a limitation on capitalized costs, i.e., the full cost ceiling. Under FASB ASC Subtopic [410-20](#), a company must recognize a liability for an asset retirement obligation (ARO) at fair value in the period in which the obligation is incurred, if a reasonable



estimate of fair value can be made. The company also must initially capitalize the associated asset retirement costs by increasing long-lived oil and gas assets by the same amount as the liability. Any asset retirement costs capitalized pursuant to FASB ASC Subtopic 410-20 are subject to the full cost ceiling limitation under Rule 4-10(c)(4) of Regulation S-X. If a company were to continue calculating the full cost ceiling by reducing expected future net revenues by the cash flows required to settle the ARO, then the effect would be to "double-count" such costs in the ceiling test. The assets that must be recovered would be increased while the future net revenues available to recover the assets continue to be reduced by the amount of the ARO settlement cash flows.

Question: How should a company compute the full cost ceiling to avoid double-counting the expected future cash outflows associated with asset retirement costs?

Interpretive Response: The future cash outflows associated with settling AROs that have been accrued on the balance sheet should be excluded from the computation of the present value of estimated future net revenues for purposes of the full cost ceiling calculation. <sup>FN1</sup>, <sup>FN2</sup>

FN1 If an obligation for expected asset retirement costs has not been accrued under FASB ASC Subtopic 410-20 for certain asset retirement costs required to be included in the full cost ceiling calculation under Rule 4-10(c)(4), such costs should continue to be included in the full cost ceiling calculation.

FN2 This approach is consistent with the guidance in FASB ASC Subtopic 410-20 on testing for impairment under FASB ASC Section 360-10-35, Property, Plant, and Equipment—Overall—Subsequent Measurement. Under that guidance, the asset tested should include capitalized asset retirement costs. The estimated cash flows related to the associated ARO that has been recognized in the financial statements are to be excluded from both the undiscounted cash flows used to test for recoverability and the discounted cash flows used to measure the asset's fair value.

b. Impact of FASB ASC Subtopic 410-20 on the calculation of depreciation, depletion, and amortization.

Facts: Regarding the base for depreciation, depletion, and amortization (DD&A) of proved reserves, Rule 4-10(c)(3)(i) of Regulation S-X states that "[c]osts to be amortized shall include (A) all capitalized costs, less accumulated amortization, other than the cost of properties described in paragraph (ii) below; <sup>FN3</sup> (B) the estimated future expenditures (based on current costs) to be incurred in developing proved reserves; and (C) estimated dismantlement and abandonment costs, net of estimated salvage values." FASB ASC Subtopic 410-20 requires that upon initial recognition of an ARO, the associated asset retirement costs be included in the capitalized costs of the company. Therefore, the estimated dismantlement and abandonment costs described in (C) above may be included in the capitalized costs described in (A) above, at least to the extent that an ARO has been incurred as a result of acquisition, exploration and development activities to date. Future development activities on proved reserves may result in additional asset retirement obligations when such activities are performed and the associated asset retirement costs will be capitalized at that time.

FN3 The reference to "cost of properties described in paragraph (ii) below" relates to the costs of investments in unproved properties and major development projects, as defined.

Question: Should the costs to be amortized under Rule 4-10(c)(3) of Regulation S-X include an amount for estimated dismantlement and abandonment costs, net of estimated salvage values, that are expected to result from future development activities?

Interpretive Response: Yes. Companies should estimate the amount of dismantlement and abandonment costs that will be incurred as a result of future development activities on proved reserves and include those amounts in the costs to be amortized.

## · · > SAB Topic 12.F, Gross Revenue Method of Amortizing Capitalized Costs

**932-360-S99-3** The following is the text of SAB Topic 12.F, Gross Revenue Method of Amortizing Capitalized Costs.

Facts: Rule 4-10(c)(3)(iii) of Regulation S-X states in part:

Amortization shall be computed on the basis of physical units, with oil and gas converted to a common unit of measure on the basis of their approximate relative energy content, unless economic circumstances (related to the effects of regulated prices) indicate that use of units of revenue is a more appropriate basis of computing amortization. In the latter case, amortization shall be computed on the basis of current gross revenues (excluding royalty payments and net profits disbursements) from production in relation to future gross revenues based on current prices (including consideration of changes in existing prices provided only by contractual arrangements), from estimated production of proved oil and gas reserves.

Question: May entities using the full cost method of accounting for oil and gas producing activities compute amortization based on the gross revenue method described in the above rule when substantial production is not subject to pricing regulation?

Interpretive Response: Yes. Under the existing rules for cost amortization adopted in ASR 258, the use of the gross revenue method of amortization was permitted in those circumstances where, because of the effect of existing pricing regulations, the use of the units of production method would result in an amortization provision that would be inconsistent with the current prices being received. While the effect of regulation on gas prices has lessened, factors other than price regulation (such as changes in typical contract lengths and methods of marketing natural gas) have caused oil and gas prices to be disproportionate to their relative energy content. The staff therefore believes that it may be more appropriate for registrants to compute amortization based on the gross revenue method whenever oil and gas sales prices are disproportionate to their relative energy content to the extent that the use of the units of production method would result in an improper matching of the costs of oil and gas production against the related revenue received. The method should be consistently applied and appropriately disclosed within the financial statements.

· · > SAB Topic 12.G, Inclusion of Methane Gas in Proved Reserves

**932-360-S99-4** The following is the text of SAB Topic 12.G, Inclusion of Methane Gas in Proved Reserves.

Facts: Because of a concern over worldwide oil and gas supplies, Congress, in 1980, provided for tax incentives (credits) for the production of oil and gas from other than conventional sources. As a consequence, significant amounts of gas are now recovered from seams of coal beds. This gas is referred to as coalbed methane. It is produced using conventional drilling methods, but for various reasons, it may be more costly to produce than oil and gas recovered from customary sources and some reserves may not be economical without the tax credits.

Rule 4-10(a)(1)(i)(A) of Regulation S-X indicates that oil and gas producing activities include the search for crude oil, including condensate and natural gas liquids, or natural gas in their natural states and original locations. Rule 4-10(a)(2)(iii)(D) of Regulation S-X states that estimates of proved reserves do not include (among other things) natural gas that can be recovered from coal.<sup>FN5</sup> In addition, the definition of proved oil and gas reserves includes a provision that the quantities of natural gas be recovered from existing reservoirs. Under these definitions, "coalbed methane" gas has generally not been included in the disclosures in Commission filings required by Statement 69. Further, coalbed methane has generally not been counted in proved oil and gas reserves for purposes of the full cost ceiling test in Rule 4-10(c)(4) since that test is based on the same definition of proved oil and gas reserves.

FN5 Similar language appears in Statements 19 and 25 [paragraph [932-10-15-3](#)].

Question: Is it appropriate to consider coalbed methane gas within the definition of proved reserves for purposes of the disclosures relating to oil and gas producing activities and the full cost ceiling test?

Interpretive Response: Yes. The prohibition against the inclusion of gas derived from coal was meant to apply to the recovery of hydrocarbons from the processing of coal. The extraction of



methane gas from coalbed seams using conventional methods was not contemplated at the time Rule 4-10(a) was developed. The staff believes that, since coalbed methane gas can be recovered from coal in its natural state and original location, it should be included in proved reserves, provided that it complies in all other respects with the definition of proved oil and gas reserves as specified in Rule 4-10(a)(2) including the requirement that methane production be economical at current prices, costs (net of the tax credit) and existing operating conditions. <sup>FN6</sup> Methane gas from coalbeds (like any other hydrocarbon obtained from conventional reservoirs) that cannot be produced at a profit under current economic and operating conditions, or for which there is no market or any existing method of delivery to the market, cannot be included in the category of proved reserves.

FN6 Proved oil and gas reserves are the estimated quantities of crude oil, natural gas, and natural gas liquids which geological and engineering data demonstrate with reasonable certainty to be recoverable in future years from known reservoirs under existing economic and operating conditions. (Emphasis added.).

In instances where methane gas is deemed to be economically producible only as a consequence of existing Federal tax incentives, the staff believes that additional disclosure should be provided as to the specific quantities and values of reported proved reserves that are dependent on existing U.S. tax policy together with any other information necessary to inform readers of the risks attendant with any future change to existing Federal tax policy.

# 932 Extractive Activities—Oil and Gas

## 470 Debt

### 00 Status

**i General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

### General

|              |                                                                   |         |                                                         |            |
|--------------|-------------------------------------------------------------------|---------|---------------------------------------------------------|------------|
| 932-470-00-1 | The following table identifies the changes made to this Subtopic. |         |                                                         |            |
|              | Paragraph                                                         | Action  | Accounting Standards Update                             | Date       |
|              | Production                                                        | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |

## 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**932-470-05-1** This Subtopic addresses accounting for debt by entities in the oil and gas industry.

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

## General

### > Overall Guidance

**932-470-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).

# 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Exploration

Exploration involves both of the following:

- a. Identifying areas that may warrant examination
- b. Examining specific areas that are considered to have prospects of containing oil and gas reserves, including drilling exploratory wells and exploratory-type stratigraphic test wells.

## Production

Production involves lifting the crude oil and natural gas to the surface, extracting [saleable hydrocarbons](#), in the solid, liquid, or gaseous state from oil sands, shale, coalbeds, or other nonrenewable natural resources that are intended to be upgraded into synthetic oil or gas, gathering, treating, field processing (as in the case of processing gas to extract liquid hydrocarbons), and field storage.

The oil and gas production function shall be regarded as ending at a *terminal point*, which is the outlet valve on the lease or field storage tank. If unusual physical or operational circumstances exist, it may be appropriate to regard the terminal point for the production function as:

- a. The first point at which oil, gas, or gas liquids, natural or synthetic, are delivered to a main pipeline, a common carrier, a refinery, or a marine terminal
- b. In the case of natural resources that are intended to be upgraded into synthetic oil or gas, if those natural resources are delivered to a purchaser before upgrading, the first point at which the natural resources are delivered to a main pipeline, a common carrier, a refinery, a marine terminal, or a facility that upgrades such natural resources into synthetic oil or gas.

## Saleable Hydrocarbons

Hydrocarbons that are saleable in the state in which the hydrocarbons are delivered.

# 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

**General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

## General

- 932-470-25-1** Certain transactions, sometimes referred to as conveyances, are in substance borrowings repayable in cash or its equivalent and shall be accounted for as borrowings. Both of the following are examples of such transactions:
- Entities seeking supplies of oil or gas sometimes make cash advances to operators to finance [exploration](#) in return for the right to purchase oil or gas discovered. Funds advanced for exploration that are repayable by offset against purchases of oil or gas discovered, or in cash if insufficient oil or gas is produced by a specified date, shall be accounted for as a receivable by the lender and as a payable by the operator.
  - Funds advanced to an operator that are repayable in cash out of the proceeds from a specified share of future [production](#) of a producing property, until the amount advanced plus interest at a specified or determinable rate is paid in full, shall be accounted for as a borrowing. The advance is a payable for the recipient of the cash and a receivable for the party making the advance. Such transactions, as well as those described in paragraph [932-360-55-2](#), are commonly referred to as production payments. The two types differ in substance, however, as explained in that paragraph.

# 932 Extractive Activities—Oil and Gas

## 605 Revenue Recognition

### 00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

|              |                                                                   |            |                                                         |            |
|--------------|-------------------------------------------------------------------|------------|---------------------------------------------------------|------------|
| 932-605-00-1 | The following table identifies the changes made to this Subtopic. |            |                                                         |            |
|              | Paragraph                                                         | Action     | Accounting Standards Update                             | Date       |
|              | 932-605-05-1                                                      | Superseded | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
|              | 932-605-15-1                                                      | Superseded | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
|              | 932-605-25-2                                                      | Superseded | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
|              | 932-605-50-1                                                      | Superseded | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |

05 Overview and Background

**General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

**932-605-05-1** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

**General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.



- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

## General

**932-605-15-1** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

# 25 Recognition

- i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

- i General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

## General

**932-605-25-1** [Paragraph not used.](#)

**932-605-25-2** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

# 50 Disclosure

**General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

**932-605-50-1** Paragraph superseded by Accounting Standards Update No. 2014-09.

# 932 Extractive Activities—Oil and Gas

## 720 Other Expenses

## 00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

## General

**932-720-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph               | Action  | Accounting Standards Update                             | Date       |
|-------------------------|---------|---------------------------------------------------------|------------|
| Exploratory Well        | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| Production Properties   | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| Stratigraphic Test Well | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |

# 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**932-720-05-1** This Subtopic addresses costs unique to the oil and gas industry that are to be expensed immediately.

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**932-720-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).

# 20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Development Project

A development project is the means by which petroleum **resources** are brought to the status of **economically producible**. As examples, the development of a single reservoir or field, an incremental development in a producing field, or the integrated development of a group of several fields and associated facilities with a common ownership may constitute a development project.

## Development Well

A development well is a well drilled within the proved area of an oil or gas reservoir to the depth of a stratigraphic horizon known to be productive.

## Economically Producible

The term *economically producible*, as it relates to a **resource**, means a resource that generates revenue that exceeds, or is reasonably expected to exceed, the costs of the operation. The value of the products that generate revenue shall be determined at the terminal point of **oil- and gas-producing activities**.

## Exploration

Exploration involves both of the following:

- a. Identifying areas that may warrant examination
- b. Examining specific areas that are considered to have prospects of containing oil and gas reserves, including drilling exploratory wells and exploratory-type stratigraphic test wells.

## Exploratory Well

An exploratory well is a well drilled to find a new field or to find a new reservoir in a field previously found to be productive of oil or gas in another reservoir. Generally, an exploratory well is any well that is not a **development well**, a **service well**, or a **stratigraphic test well**.

## Oil- and Gas-Producing Activities

Paragraph **932-10-15-2A** defines the term *oil- and gas-producing activities*.

## Production

Production involves lifting the crude oil and natural gas to the surface, extracting **saleable hydrocarbons**, in the solid, liquid, or gaseous state from oil sands, shale, coalbeds, or other nonrenewable natural resources that are intended to be upgraded into synthetic oil or gas, gathering, treating, field processing (as in the case of processing gas to extract liquid hydrocarbons), and field storage.

The oil and gas production function shall be regarded as ending at a *terminal point*, which is the outlet valve on the lease or field storage tank. If unusual physical or operational circumstances exist, it may be appropriate to regard the terminal point for the production function as:

- a. The first point at which oil, gas, or gas liquids, natural or synthetic, are delivered to a main pipeline, a common carrier, a refinery, or a marine terminal
- b. In the case of natural resources that are intended to be upgraded into synthetic oil or gas, if those natural resources are delivered to a purchaser before upgrading, the first point at which the natural resources are delivered to a main pipeline, a common carrier, a refinery, a marine terminal, or a facility that upgrades such natural resources into synthetic oil or gas.

## Properties

Mineral interests in properties (hereinafter referred to as properties), which include all of the following:

- a. Fee ownership or a lease
- b. Concession
- c. Other interest representing the legal right to produce or a revenue interest in the production of oil or gas subject to such terms as may be imposed by the conveyance of that interest.

Properties also include:

- a. Royalty interests
- b. Production payments payable in oil or gas
- c. Other nonoperating interests in properties operated by others.

Properties include those agreements with foreign governments or authorities under which an entity participates in the operation of the related properties or otherwise serves as producer of the underlying [reserves](#) (see paragraph [932-235-50-7](#)); but properties do not include other supply agreements or contracts that represent the right to purchase (as opposed to extract) oil and gas. Properties are classified as [proved properties](#) or [unproved properties](#).

## Proved Area

A proved area is the part of a property to which proved reserves have been specifically attributed.

## Proved Properties

Proved properties are properties with proved reserves.

## Reserves

Reserves are estimated remaining quantities of oil and gas and related substances anticipated to be [economically producible](#), as of a given date, by application of [development projects](#) to known accumulations. In addition, there must exist, or there must be a reasonable expectation that there will exist, the legal right to produce or a revenue interest in the production, installed means of delivering oil and gas or related substances to market, and all permits and financing required to implement the project.

Reserves should not be assigned to adjacent reservoirs isolated by major, potentially sealing, faults until those reservoirs are penetrated and evaluated as economically producible. Reserves should not be assigned to areas that are clearly separated from a known accumulation by a nonproductive reservoir (that is, absence of reservoir, structurally low reservoir, or negative test results). Such areas may contain prospective [resources](#) (that is, potentially recoverable resources from undiscovered accumulations).

## Resources

Resources are quantities of oil and gas estimated to exist in naturally occurring accumulations. A portion of the resources may be estimated to be recoverable, and another portion may be considered to be unrecoverable. Resources include both discovered accumulations and undiscovered accumulations.

## Saleable Hydrocarbons

Hydrocarbons that are saleable in the state in which the hydrocarbons are delivered.



### Service Well

A service well is a well drilled or completed for the purpose of supporting production in an existing field. Wells in this class are drilled for the following specific purposes: gas injection (natural gas, propane, butane, or flue gas), water injection, steam injection, air injection, salt-water disposal, water supply for injection, observation, or injection for in-situ combustion.

### Stratigraphic Test Well

A stratigraphic test is a drilling effort, geologically directed, to obtain information pertaining to a specific geologic condition. Such wells customarily are drilled without the intention of being completed for hydrocarbon production. This classification also includes tests identified as core tests and all types of expendable holes related to hydrocarbon exploration. Stratigraphic tests are classified as *exploratory-type* if not drilled in a [proved area](#) or *development-type* if drilled in a proved area.

### Unproved Properties

Unproved properties are properties with no proved reserves.

## 25 Recognition

**i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

#### 932-720-25-1

Some costs incurred in an entity's oil- and gas-producing activities do not result in acquisition of an asset and, therefore, shall be charged to expense. Examples include:

- a. Geological and geophysical costs
- b. The costs of carrying and retaining undeveloped [properties](#)
- c. The costs of drilling those [exploratory wells](#) and exploratory-type [stratigraphic test wells](#) that do not find proved reserves.

Geological and geophysical costs, costs of carrying and retaining undeveloped properties, and dry hole and bottom hole contributions shall be charged to expense when incurred. Costs of carrying and retaining undeveloped properties do not increase the potential of those properties to contain oil and gas reserves. Carrying costs are incurred to maintain an entity's rights, not to acquire those rights. In a sense, they are penalties for having delayed drilling and development activities and, thereby, having delayed potential [production](#) of oil and gas. Because carrying costs do not enhance the future benefits from the entity's properties and other assets, they are charged to expense when incurred.

## 30 Initial Measurement

**General Note:**The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

**932-720-30-1** When the operating entity maintains its own [exploration](#) department, it is customary for costs of that department to be accumulated and allocated to exploration activities and projects. The allocation is based on standardized charges, such as cost per day for a crew, costs per shot-point for seismic work, hourly basis for engineers, and the like. Frequently, employment contracts with geologists or geophysicists call for the employee to receive ownership interests in leases acquired as the result of exploration.

932 Extractive Activities—Oil and Gas  
740 Income Taxes

00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

|                     |                                                                   |         |                                                         |            |
|---------------------|-------------------------------------------------------------------|---------|---------------------------------------------------------|------------|
| <b>932-740-00-1</b> | The following table identifies the changes made to this Subtopic. |         |                                                         |            |
|                     | Paragraph                                                         | Action  | Accounting Standards Update                             | Date       |
|                     | <a href="#">Exploratory Well</a>                                  | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

- 932-740-05-1** This Subtopic addresses the accounting for taxes specific to the oil and gas industry, for example, statutory tax depletion.

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

- 932-740-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).

# 20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Development Well

A development well is a well drilled within the proved area of an oil or gas reservoir to the depth of a stratigraphic horizon known to be productive.

### Exploratory Well

An exploratory well is a well drilled to find a new field or to find a new reservoir in a field previously found to be productive of oil or gas in another reservoir. Generally, an exploratory well is any well that is not a [development well](#), a [service well](#), or a [stratigraphic test well](#).

### Proved Area

A proved area is the part of a property to which proved reserves have been specifically attributed.

### Service Well

A service well is a well drilled or completed for the purpose of supporting production in an existing field. Wells in this class are drilled for the following specific purposes: gas injection (natural gas, propane, butane, or flue gas), water injection, steam injection, air injection, salt-water disposal, water supply for injection, observation, or injection for in-situ combustion.

### Stratigraphic Test Well

A stratigraphic test is a drilling effort, geologically directed, to obtain information pertaining to a specific geologic condition. Such wells customarily are drilled without the intention of being completed for hydrocarbon production. This classification also includes tests identified as core tests and all types of expendable holes related to hydrocarbon exploration. Stratigraphic tests are classified as *exploratory-type* if not drilled in a [proved area](#) or *development-type* if drilled in a proved area.

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

**932-740-25-1** The tax benefit of the excess of statutory depletion over cost depletion for tax purposes shall be recognized in the period in which the excess is deducted for income tax purposes.

## 30 Initial Measurement

**General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

## General

**932-740-30-1** In applying the comprehensive interperiod income tax allocation provision, the possibility that statutory depletion in future periods will reduce or eliminate taxable income in future years shall be considered in determining whether it is more likely than not that the tax benefits of deferred tax assets will not be realized.

# 45 Other Presentation Matters

**General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

**932-740-45-1** Some costs incurred in an entity's oil- and gas- producing activities enter into the determination of taxable income and pretax accounting income in different periods. A principal example is intangible drilling and development costs, which are deductible in determining taxable income when incurred but which, for successful [exploratory wells](#) and for all [development wells](#), are capitalized and amortized for financial accounting purposes under the provisions of this Topic. As another example, some geological and geophysical costs, which are charged to expense when incurred under the provisions of this Topic, are deferred and deducted in subsequent periods for income tax purposes.

# 50 Disclosure



**General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

**932-740-50-1** See paragraph [932-235-50-25](#) for various disclosure requirements for oil and gas income taxes.

# S25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

## General

**932-740-S25-1** See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(d), for requirements pertaining to the interperiod tax allocation for intangible drilling and development costs that enter into the determination of taxable income and pretax accounting income in different periods.

# 932 Extractive Activities—Oil and Gas

## 810 Consolidation

## 00 Status

**General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

# General

|              |                                                                   |         |                                         |
|--------------|-------------------------------------------------------------------|---------|-----------------------------------------|
| 932-810-00-1 | The following table identifies the changes made to this Subtopic. |         |                                         |
|              | Paragraph                                                         | Action  | Accounting Standards Update             |
|              | Production                                                        | Amended | Accounting Standards Update No. 2010-03 |
|              |                                                                   |         | Date                                    |
|              |                                                                   |         | 01/06/2010                              |

## 05 Overview and Background

**General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

# General

|              |                                                                                                                                                                                                                     |
|--------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 932-810-05-1 | This Subtopic addresses proportionate consolidation, which is allowed in industries in which it has been industry practice. The oil and gas industry is one of the industries in which this is an allowed practice. |
|--------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

## 15 Scope and Scope Exceptions

**General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

# General

### > Overall Guidance

|              |                                                                                                                       |
|--------------|-----------------------------------------------------------------------------------------------------------------------|
| 932-810-15-1 | This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 932-10-15. |
|--------------|-----------------------------------------------------------------------------------------------------------------------|

## 20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Exploration

Exploration involves both of the following:

- a. Identifying areas that may warrant examination
- b. Examining specific areas that are considered to have prospects of containing oil and gas reserves, including drilling exploratory wells and exploratory-type stratigraphic test wells.

### Production

Production involves lifting the crude oil and natural gas to the surface, extracting [saleable hydrocarbons](#), in the solid, liquid, or gaseous state from oil sands, shale, coalbeds, or other nonrenewable natural resources that are intended to be upgraded into synthetic oil or gas, gathering, treating, field processing (as in the case of processing gas to extract liquid hydrocarbons), and field storage.

The oil and gas production function shall be regarded as ending at a *terminal point*, which is the outlet valve on the lease or field storage tank. If unusual physical or operational circumstances exist, it may be appropriate to regard the terminal point for the production function as:

- a. The first point at which oil, gas, or gas liquids, natural or synthetic, are delivered to a main pipeline, a common carrier, a refinery, or a marine terminal
- b. In the case of natural resources that are intended to be upgraded into synthetic oil or gas, if those natural resources are delivered to a purchaser before upgrading, the first point at which the natural resources are delivered to a main pipeline, a common carrier, a refinery, a marine terminal, or a facility that upgrades such natural resources into synthetic oil or gas.

### Saleable Hydrocarbons

Hydrocarbons that are saleable in the state in which the hydrocarbons are delivered.

## 45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections.

Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Proportionate Consolidation

**932-810-45-1** Paragraph [810-10-45-14](#) explains that a proportionate gross financial statement presentation is not appropriate for an investment in an unincorporated legal entity accounted for by the equity method of accounting unless the investee is in either the construction industry or an extractive industry (as discussed in this Topic and paragraph [930-810-45-1](#)). As indicated in that paragraph, an entity is in an extractive industry only if its activities are limited to the extraction of mineral resources (such as oil and gas [exploration](#) and [production](#)) and not if its activities involve related activities such as refining, marketing, or transporting extracted mineral resources.

932 Extractive Activities—Oil and Gas  
815 Derivatives and Hedging

00 Status

**i General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

|                     |                                                                   |         |                                                         |            |
|---------------------|-------------------------------------------------------------------|---------|---------------------------------------------------------|------------|
| <b>932-815-00-1</b> | The following table identifies the changes made to this Subtopic. |         |                                                         |            |
|                     | Paragraph                                                         | Action  | Accounting Standards Update                             | Date       |
|                     | <a href="#">Production</a>                                        | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**932-815-05-1** This Subtopic provides guidance on gas-balancing arrangements.

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

## General

### > Overall Guidance

**932-815-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).

# 20 Glossary



**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Production

Production involves lifting the crude oil and natural gas to the surface, extracting [saleable hydrocarbons](#), in the solid, liquid, or gaseous state from oil sands, shale, coalbeds, or other nonrenewable natural resources that are intended to be upgraded into synthetic oil or gas, gathering, treating, field processing (as in the case of processing gas to extract liquid hydrocarbons), and field storage.

The oil and gas production function shall be regarded as ending at a *terminal point*, which is the outlet valve on the lease or field storage tank. If unusual physical or operational circumstances exist, it may be appropriate to regard the terminal point for the production function as:

- a. The first point at which oil, gas, or gas liquids, natural or synthetic, are delivered to a main pipeline, a common carrier, a refinery, or a marine terminal
- b. In the case of natural resources that are intended to be upgraded into synthetic oil or gas, if those natural resources are delivered to a purchaser before upgrading, the first point at which the natural resources are delivered to a main pipeline, a common carrier, a refinery, a marine terminal, or a facility that upgrades such natural resources into synthetic oil or gas.

## Saleable Hydrocarbons

Hydrocarbons that are saleable in the state in which the hydrocarbons are delivered.

# 55 Implementation Guidance and Illustrations

**General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

## General

> Gas-Balancing Arrangements

- 932-815-55-1**

A gas-balancing arrangement is a situation where Entities A and B are partners in a gas well. During the current period, Entity B may decide not to sell any gas because it does not have a purchaser or because market conditions are unfavorable. Accordingly, Entity A (the overtaker) agrees to take all the gas [production](#) for the period and sells it to its customer. In the future, Entity B has the right to take more gas than its interest would otherwise allow to make up for Entity A's overtake. Alternatively, A may make payment in kind (using gas from a different well) or pay cash to Entity B.
- 932-815-55-2**

The terms of a gas-balancing arrangement should be analyzed to determine whether it meets the definition of a derivative instrument under Topic [815](#). In particular, the option in the agreement may not meet the criterion in paragraph [815-10-15-83](#) (as further clarified by the guidance in paragraphs [815-10-55-5 through 55-7](#)) with respect to a notional amount, even though it may meet the criterion in paragraph [815-10-15-99](#), in part because the gas is readily convertible to cash. Even if the gas-balancing arrangement meets the definition of a derivative instrument, the cash price used in settlement may result in the derivative instrument always having a fair value of zero. Nevertheless, the disclosures specified in Section [815-10-50](#) would still be required. The option feature of the agreement, if it meets the definition of a derivative instrument, could not qualify for the normal purchases and normal sales exception in paragraph [815-10-15-15](#) because the gas-balancing arrangement is an option contract and it is not probable at inception and throughout the term of the arrangement that the contract will not always settle net and will always result in physical delivery.

932 Extractive Activities—Oil and Gas

835 Interest

00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

**932-835-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                  | Action  | Accounting Standards Update                             | Date       |
|----------------------------|---------|---------------------------------------------------------|------------|
| <a href="#">Contract</a>   | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| <a href="#">Customer</a>   | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| <a href="#">Production</a> | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |
| <a href="#">Properties</a> | Amended | <a href="#">Accounting Standards Update No. 2010-03</a> | 01/06/2010 |

|              |         |                                         |            |
|--------------|---------|-----------------------------------------|------------|
| Revenue      | Added   | Accounting Standards Update No. 2014-09 | 05/28/2014 |
| 932-835-25-2 | Amended | Accounting Standards Update No. 2014-09 | 05/28/2014 |

## 05 Overview and Background

- General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

- 932-835-05-1** This Subtopic addresses interest capitalization under the full cost method of accounting in the oil and gas industry.

## 15 Scope and Scope Exceptions

- General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

### General

#### > Overall Guidance

- 932-835-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [932-10-15](#).

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Contract

An agreement between two or more parties that creates enforceable rights and obligations.

## Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

## Development Project

A development project is the means by which petroleum **resources** are brought to the status of **economically producible**. As examples, the development of a single reservoir or field, an incremental development in a producing field, or the integrated development of a group of several fields and associated facilities with a common ownership may constitute a development project.

## Economically Producible

The term *economically producible*, as it relates to a **resource**, means a resource that generates revenue that exceeds, or is reasonably expected to exceed, the costs of the operation. The value of the products that generate revenue shall be determined at the terminal point of **oil- and gas-producing activities**.

## Exploration

Exploration involves both of the following:

- a. Identifying areas that may warrant examination
- b. Examining specific areas that are considered to have prospects of containing oil and gas reserves, including drilling exploratory wells and exploratory-type stratigraphic test wells.

## Oil- and Gas-Producing Activities

Paragraph **932-10-15-2A** defines the term *oil- and gas-producing activities*.

## Production

Production involves lifting the crude oil and natural gas to the surface, extracting **saleable hydrocarbons**, in the solid, liquid, or gaseous state from oil sands, shale, coalbeds, or other nonrenewable natural resources that are intended to be upgraded into synthetic oil or gas, gathering,

treating, field processing (as in the case of processing gas to extract liquid hydrocarbons), and field storage.

The oil and gas production function shall be regarded as ending at a *terminal point*, which is the outlet valve on the lease or field storage tank. If unusual physical or operational circumstances exist, it may be appropriate to regard the terminal point for the production function as:

- a. The first point at which oil, gas, or gas liquids, natural or synthetic, are delivered to a main pipeline, a common carrier, a refinery, or a marine terminal
- b. In the case of natural resources that are intended to be upgraded into synthetic oil or gas, if those natural resources are delivered to a purchaser before upgrading, the first point at which the natural resources are delivered to a main pipeline, a common carrier, a refinery, a marine terminal, or a facility that upgrades such natural resources into synthetic oil or gas.

## Properties

Mineral interests in properties (hereinafter referred to as properties), which include all of the following:

- a. Fee ownership or a lease
- b. Concession
- c. Other interest representing the legal right to produce or a revenue interest in the production of oil or gas subject to such terms as may be imposed by the conveyance of that interest.

Properties also include:

- a. Royalty interests
- b. Production payments payable in oil or gas
- c. Other nonoperating interests in properties operated by others.

Properties include those agreements with foreign governments or authorities under which an entity participates in the operation of the related properties or otherwise serves as producer of the underlying [reserves](#) (see paragraph [932-235-50-7](#)); but properties do not include other supply agreements or contracts that represent the right to purchase (as opposed to extract) oil and gas.

Properties are classified as [proved properties](#) or [unproved properties](#).

## Proved Properties

Proved properties are properties with proved reserves.

## Reserves

Reserves are estimated remaining quantities of oil and gas and related substances anticipated to be [economically producible](#), as of a given date, by application of [development projects](#) to known accumulations. In addition, there must exist, or there must be a reasonable expectation that there will exist, the legal right to produce or a revenue interest in the production, installed means of delivering oil and gas or related substances to market, and all permits and financing required to implement the project.

Reserves should not be assigned to adjacent reservoirs isolated by major, potentially sealing, faults until those reservoirs are penetrated and evaluated as economically producible. Reserves should not be assigned to areas that are clearly separated from a known accumulation by a nonproductive reservoir (that is, absence of reservoir, structurally low reservoir, or negative test results). Such areas may contain prospective [resources](#) (that is, potentially recoverable resources from undiscovered accumulations).

## Resources

Resources are quantities of oil and gas estimated to exist in naturally occurring accumulations. A portion of the resources may be estimated to be recoverable, and another portion may be considered



to be unrecoverable. Resources include both discovered accumulations and undiscovered accumulations.

### Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

### Saleable Hydrocarbons

Hydrocarbons that are saleable in the state in which the hydrocarbons are delivered.

### Unproved Properties

Unproved properties are properties with no proved reserves.

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

#### > Assets Qualifying for Interest Capitalization

**932-835-25-1** For purposes of applying interest capitalization (see Subtopic 835-20) to oil- and gas-producing operations accounted for by the full cost method, assets whose costs are being currently depreciated, depleted, or amortized are assets in use in the earning activities of the entity and are not assets qualifying for capitalization of interest cost as defined in paragraph 835-20-15-5. Unusually significant investments in [unproved properties](#) and major development projects that are not being currently depreciated, depleted, or amortized and on which [exploration](#) or development activities are in progress are assets qualifying for capitalization of interest cost. Similarly, in a cost center with no [production](#), significant [properties](#) and projects on which exploration or development activities are in progress are assets qualifying for capitalization of interest cost.

#### > Advances Satisfied by Delivery of Future Production

**932-835-25-2** In certain transactions, pipeline entities make advances to encourage exploration. These advances are satisfied by delivery of future production, but there is also a definite obligation to repay if the future production is insufficient to discharge the obligation by a definite date. The advance is covered by the exclusion in paragraph 835-30-15-3(b) even though there may be an obligation to repay should the future production prove insufficient to discharge the obligation. However, if the advance is in a [contract](#)

with a [customer](#) within the scope of Topic [606](#) on [revenue](#) from contracts with customers, the guidance in Topic [606](#) shall be applied.